RISK MANAGEMENT AND PROCEDURES MANUAL REGARDING MONEY LAUNDERING & TERRORIST FINANCING

PM MTF LTD.

July 2025

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1. Document History

Date	Version	Description
11 July 2025	1.0	Approval of Version 1.0 and implementation as binding to the Company

2. Confidentiality

All information contained in this document shall be kept confidential. No part of this document is to be altered or copied without the written agreement of the Company. None of this information shall be divulged to persons other than to authorised employees and contractors of the Company on a need to know basis. The release of this document to other parties must be authorised by the Company, and only once an NDA has been signed with that party.

3. General Definitions

Definitions and terms stated in the text of this Manual shall have the same meanings as those stated in the Law, applicable Directives, Circulars, Regulations and other documents of European Council, MOKAS and the Commission.

For the purposes of this Manual, unless the context shall prescribe otherwise:

"Account Holder"	means the person listed or identified as the holder of a Financial Account by the Financial Institution that maintains the account. A person, other than a Financial Institution, holding a Financial Account for the benefit or account of another person as agent, custodian, nominee, signatory, investment advisor, or intermediary, is not treated as holding the account for purposes of this Agreement, and such other person is treated as holding the account. For purposes of the immediately preceding sentence, the term "Financial Institution" does not include a Financial Institution organized or incorporated in a U.S. Territory. In the case of a Cash Value Insurance Contract or an Annuity Contract, the Account

	Holder is any person entitled to access the Cash Value or change the beneficiary of the contract. If no person can access the Cash Value or change the beneficiary, the Account Holder is any person named as the owner in the contract and any person with a vested entitlement to payment under the terms of the contract. Upon the maturity of a Cash Value Insurance Contract or an Annuity Contract, each person entitled to receive a payment under the contract is treated as an Account Holder.
"Advisory Authority"	means the Advisory Authority for Combating Money Laundering and Terrorist Financing;
"Alternate AMLCO"	means the appointed employee by the Company, who in case the AMLCO is absent replaces him temporarily, performs his duties as defined in the Directive and the Law and fulfil the conditions of appointing an AMLCO.
"AML"	means Anti-Money Laundering;
"**AML Law**"	means The Prevention and Suppression of Money Laundering Activities Law of 2007, as subsequently amended (Law.188(I)/2007)
"**AMLCO**"	means the Anti-Money Laundering Compliance Officer
"**Applicable Legislations**"	means cumulatively: ● The Law for the Prevention and Suppression of Money Laundering and Terrorist Financing Activities Law of 2007 (Law 188(I)/2007), as subsequently amended from time to time.; ● The Directive issued by CySEC, on the prevention of Money Laundering and Terrorist Financing of 2007, as subsequently amended from time to time; ● The EU Directive 2015/849 of the European Parliament and of the Council of 20 May 2015 on the prevention of the use of the financial system for the purposes of money laundering or terrorist financing, as amended from time to time; ● The Implementation of the Provisions of the Resolutions or Decisions of the United Nations Security Council (Sanctions) and of the Decisions and Regulations of the Council of the European Union (Restrictive Measures) Law 58(I) of 2016, as subsequently amended; ● Other laws, directives and regulations of the Republic of Cyprus, issued from time to time, applicable to this Manual; ● Risk Factor Guidelines, issued by the Joint Committee of the European Supervisory Authorities;

- Risk Factor Guidelines and other Guidelines issued by the Financial Action Task Force (FATF);
- Risk Factors Guidelines issued by the European Banking Authority (EBA), as amended from time to time;
- "του περί της Προστασίας των Φυσικών Προσώπων Έναντι της Επεξεργασίας των Δεδομένων Προσωπικού Χαρακτήρα και της Ελεύθερης Κυκλοφορίας των Δεδομένων αυτών Νόμου και του Κανονισμού (ΕΕ) 2016/679» Law;
- Agreement between the Government of the Republic of Cyprus and the Government of the United States of America to Improve International Tax Compliance and to Implement FATCA;
- Automatic Exchange of Financial Account Information Guidance Notes regarding FATCA and CRS issued by the Tax Department of the Ministry of Finance of the Republic of Cyprus;
- Standard for Automatic Exchange of Financial Account Information in Tax Matters regarding CRS;
- Any other legislative act of the European Parliament, MOKAS and the Commission currently in force substituting or amending the above mentioned.

"Beneficial Owner or UBO"

means the natural person or natural persons, who ultimately own or control the Customer and/or the natural person on whose behalf a transaction or activity is being conducted. The Beneficial Owner shall at least include:

- In the case of corporate entities:

  The natural person(s) who ultimately owns or controls a legal entity through direct or indirect ownership of a sufficient percentage of the shares or voting rights or ownership interest in that entity, including through bearer shareholdings, or through control via other means, other than a company listed on a regulated market that is subject to disclosure requirements consistent with Union law or subject to equivalent international standards which ensure adequate transparency of ownership information.

  A shareholding of 25% plus one share or an ownership interest of more than 25% in the client held by a natural person shall be an indication of direct ownership. A shareholding of 25% plus one share or an ownership interest of more than 25% in the client held by a corporate entity, which is under the control of a natural person(s), or by multiple corporate entities, which are under the control of the

	same natural person(s), shall be an indication of indirect ownership. The natural person who holds the position of senior managing official if, after having exhausted all possible means and provided there are no grounds for suspicion, no person is identified as beneficial owner through direct or indirect ownership as set out above, or if there is any doubt that the person identified is the beneficial owner. ● In the case of trusts, all of the following persons: ➢ the settlor; ➢ the trustee(s); ➢ the protector, if any; ➢ the beneficiaries, or where the individuals benefiting from the legal arrangement or entity have yet to be determined, the class of persons in whose main interest the legal arrangement or entity is set up or operates; ➢ any other natural person exercising ultimate control over the trust by means of direct or indirect ownership or by other means. ● In the case of legal entities, such as foundations and legal arrangements similar to trusts: The natural person holding equivalent or similar positions to the person referred to the above paragraph.
"Business Relationship"	means a business, professional or commercial relationship between the customer and the Company, which is connected with the professional activities of the Company and which was expected, at the time when the contact was established, to have an element of duration.
"Board Member Responsible for the implementation of the requirements of the AML Law"	means the appointed member of the Company's Board of Directors who is designated as the responsible person for the implementation of the legal framework related to the prevention and suppression of money laundering and terrorist financing.
"CAP"	means the Clients Acceptance Policy
"Criminal activity"	a criminal activity may be any kind of criminal involvement in the commission of any offence punishable, in accordance with national

	law, by deprivation of liberty or a detention order for a maximum of more than one year or, as regards Member States that have a minimum threshold for offences in their legal systems, any offence punishable by deprivation of liberty or a detention order for a minimum of more than six months. In any case, offences within the following categories are considered a criminal activity:
	● participation in an organised criminal group and racketeering;
	● terrorism;
	● trafficking in human beings and migrant smuggling;
	● sexual exploitation;
	● illicit trafficking in narcotic drugs and psychotropic substances;
	● illicit arms trafficking;
	● illicit trafficking in stolen goods and other goods;
	● corruption;
	● fraud;
	● counterfeiting of currency;
	● counterfeiting and piracy of products;
	● environmental crime;
	● murder, grievous bodily injury;
	● kidnapping, illegal restraint and hostage-taking;
	● robbery or theft;
	● smuggling;
	● tax crimes relating to direct and indirect taxes, as laid down in national law;
	  ○ extortion;
	  ○ forgery;
	  ○ piracy;
	  ○ insider trading and market manipulation;
	  ○ cybercrime.

"Customer/ Client"	means any legal or physical person aiming to conclude a Business Relationship or conduct a single transaction with the Company.
"Custodial Account"	means an account (other than an Insurance Contract or Annuity Contract) for the benefit of another person that holds any financial instrument or contract held for investment (including, but not limited to, a share or stock in a corporation, a note, bond, debenture, or other evidence of indebtedness, a currency or commodity transaction, a credit default swap, a swap based upon a nonfinancial index, a notional principal contract, an Insurance Contract or Annuity Contract, and any option or other derivative instrument).

"CySEC or the Commission"	Means the Cyprus Securities and Exchange Commission.
"CySEC AML Directive"	means the Directive issued by CySEC, on the prevention of Money Laundering and Terrorist Financing of 2007, as subsequently amended from time to time;
"The Company"	means PM MTF Ltd, a private company limited by shares registered in the Republic of Cyprus with Registration No. 452207 within the meaning of Companies Law Cap. 113, as amended, and is a Cyprus Investment Firm (or «CIF») with License No. 458/25 and governed by all applicable EU and local Regulations including European Markets in Financial Instruments Directive II («MiFID II») AND the Cyprus Investment Services and Activities and Regulated Markets of 2017 («Law 87(I)/2017»), as amended.
"Controlling Persons"	means the natural persons who exercise control over an Entity. In the case of a trust, such term means the settlor, the trustees, the protector (if any), the beneficiaries or class of beneficiaries, and any other natural person exercising ultimate effective control over the trust, and in the case of a legal arrangement other than a trust, such term means persons in equivalent or similar positions. The term "Controlling Persons" shall be interpreted in a manner consistent with the Financial Action Task Force Recommendations.
"Competent Authorities"	means the authorities competent for ensuring Company's compliance with the requirements of Directive (EU) 2015/849 as transposed by national legislation.
"The Risk Factors Guidelines"	means the EBA -Guidelines on customer due diligence and the factors credit and financial institution should consider when assessing the money laundering and terrorist financing risk associated with individual business relationships and occasional transactions – the "ML/TF Risk Factors Guidelines", no. GL/2021/02 issued on 1 March 2021.
"Firms"	means credit and financial institutions as defined in Article 3(1) and (2) of Directive (EU) 2015/849.
"High Risk Third Country"	means a third country, designated by the European Commission pursuant to the provisions of section 9 (2) of the EU Directive by the issuance of acts by way of derogation, which presents strategical shortcomings in its national system for combating money laundering and terrorist financing which are considered as important threats for the financial system of the European Union, and a third country,

	which is categorised by the Company as high risk in accordance with the risk assessment foreseen by section 58A of the Law.
"Investment Service"	means the investment service or services as per Part I of the First Appendix of the Law 87(I)/2017 for which the Company has applied to by the Cyprus Securities and Exchange Commission for a license to offer.
"Jurisdictions Associated with Higher ML/TF Risk"	means countries that, based on an assessment of the risk factors set out in Title II of these guidelines, present a higher ML/TF risk. This term includes, but is not limited to, 'high-risk third countries' identified as having strategic deficiencies in their AML regime, which pose a significant threat to the Union's financial system (Article 9 of Directive (EU) 2015/849).
"KYC"	means Know Your Customer procedures.
"Manual"	means the Company's RISK MANAGEMENT AND PROCEDURES MANUAL REGARDING MONEY LAUNDERING & TERRORIST FINANCING (this manual), according to the Directive.
"MOKAS"	means the Unit for Combating Money Laundering
"Money Laundering and Terrorist Financing" or "ML/TF"	means the money laundering offences and terrorist financing offences defined in Section 2 of the Law.
"Occasional Transaction"	means a transaction that is not carried out as part of a business relationship as defined in Article 3(13) of Directive (EU) 2015/849.
"**OFAC**"	means the Office of Foreign Assets Control (United States Department of Treasury)
"**OFSI**"	means the Office of Financial Sanctions Implementation (United Kingdom HM Treasury)
"**Other Business Activities**"	includes the following trust services and company services to third parties: ● forming companies or other legal persons; ● acting as or arranging for another person to act as a director or secretary of a company, a partner of a partnership or a similar position in relation to other legal persons; ● providing a registered office, business address, correspondence or administrative address and other related services for a company, a partnership or any other legal person or arrangement;

- acting as or arranging for another person to act as a trustee of an express trust or a similar legal arrangement;
- acting as or arranging for another person to act as a nominee shareholder for another person.

"Politically Exposed Persons (PEPs)"

means the natural persons who are or have been entrusted with prominent public functions in the Republic of Cyprus or any other country and their immediate family members and / or close relatives of such persons as well as persons known to be close associates of such persons.

Provided that, for the purpose of the present definition, 'prominent public function' means any of the following public functions:

- heads of State, heads of government, ministers and deputy or assistant ministers;
- members of parliament or of similar legislative bodies;
- members of the governing bodies of political parties;
- members of supreme courts, of constitutional courts or of other high-level judicial bodies, the decisions of which are not subject to further appeal, except in exceptional circumstances;
- members of courts of auditors or of the boards of central banks;
- ambassadors, chargés d'affaires and high-ranking officers in the armed forces;
- members of the administrative, management or supervisory bodies of State-owned enterprises;
- directors, deputy directors and members of the board or equivalent function of an international organisation;
- mayor.

Provided further that no public function referred to in points above shall be understood as covering middle-ranking or more junior officials;

Provided furthermore that *"close relatives or immediate family members of a politically exposed person"* includes the following:

- the spouse, or a person considered to be equivalent to a spouse, of a politically exposed person;
- the children and their spouses, or persons considered to be equivalent to a spouse, of a politically exposed person;
- the parents of a politically exposed person;

	Provided even furthermore that *"persons known to be close associates of a politically exposed person"* means natural person: ● who is known to have joint beneficial ownership of legal entities or legal arrangements, or any other close business relations, with a politically exposed person; ● who has sole beneficial ownership of a legal entity or legal arrangement which is known to have been set up for the de facto benefit of a politically exposed person.
"Omnibus Account"	means a "customer account" opened by the Company in the name of legal entities ("third persons"), for example a legal practitioner or notary, from the European Economic Area countries or a third country, for holding their Customers' money. The Customers' money will be commingled, but Customers will not be able directly to instruct the Company to carry out transactions.
"Reportable Account"	means a U.S. Reportable Account or a Cyprus Reportable Account, as the context requires
"Republic"	means the Republic of Cyprus.
"Regulated Market"	means the multilateral system managed or operated by a market operator and which brings together or facilitates the bringing together of multiple third- party buying or/and selling interests in financial instruments - in the system and in accordance with its non-discretionary rules - in a way that results in a contract, in respect of the financial instruments admitted to trading under its rules or/and systems, and which is authorised by member state and functions regularly in accordance with the provisions of Law 87(I)/2017or respective legislation of other member states that are enacted in compliance with Directive 2014/65/EU.
"Risk"	means the impact and likelihood of ML/TF taking place. Risk refers to inherent risk, that is, the level of risk that exists before mitigation. It does not refer to residual risk, that is, the level of risk that remains after mitigation.
"Risk Factors"	means variables that, either on their own or in combination, may increase or decrease the ML/TF risk posed by an individual business relationship or occasional transaction.
"Risk-based Approach"	means an approach whereby competent authorities and firms identify, assess and understand the ML/TF risks to which firms are exposed and take AML measures that are proportionate to those risks.

"Senior Management Official"	means an officer or employee of the Company with sufficient knowledge of the Company's money laundering and terrorist financing risk exposure and sufficient seniority to take decisions affecting its risk exposure: Provided that the 'senior management official' need not be a member of the board of directors of the Company.
"Sanctions"	means any laws, regulations, embargoes, restrictive measures, or other sanctions enacted, administered, imposed, or enforced by any Sanctions Authority, including but not limited to: (a) The European Union (EU) – as implemented through regulations and decisions under the Common Foreign and Security Policy (CFSP), including asset freezes, trade restrictions, and financial prohibitions issued by the European Commission or the Council of the European Union; (b) The United Kingdom (UK) – as enforced under the Sanctions and Anti-Money Laundering Act 2018 (SAMLA) and administered by the Office of Financial Sanctions Implementation (OFSI), including financial restrictions, asset freezes, and trade controls; (c) The United States (US) – as administered by the Office of Foreign Assets Control (OFAC) of the US Department of the Treasury, the US Department of State, or any other applicable US government authority, including primary and secondary sanctions, trade and investment restrictions, and asset freezes; and (d) Any other relevant governmental, supranational, or regulatory authority that imposes similar sanctions, embargoes, or restrictive measures that the Company follows from time to time.
"Shell Bank"	means a credit or a financial institution or an institution engaged in equivalent activities to those carried out by credit institutions and financial institutions, incorporated in a jurisdiction in which it has no physical presence, involving meaningful mind and management, and which is unaffiliated with a regulated financial group.
"Source of Funds"	means the origin of the funds involved in a business relationship or occasional transaction. It includes both the activity that generated the funds used in the business relationship, for example the customer's salary, as well as the means through which the customer's funds were transferred.

"Source of Wealth"	means the origin of the customer's total wealth, for example inheritance or savings.
"Specified U.S. Person"	means a U.S. Person, other than: (i) a corporation the stock of which is regularly traded on one or more established securities markets; (ii) any corporation that is a member of the same expanded affiliated group, as defined in section 1471(e)(2) of the U.S. Internal Revenue Code, as a corporation described in clause (i); (iii) the United States or any wholly owned agency or instrumentality thereof; (iv) any State of the United States, any U.S. Territory, any political subdivision of any of the foregoing, or any wholly owned agency or instrumentality of any one or more of the foregoing; (v) any organization exempt from taxation under section 501(a) of the U.S. Internal Revenue Code or an individual retirement plan as defined in section 7701(a)(37) of the U.S. Internal Revenue Code; (vi) any bank as defined in section 581 of the U.S. Internal Revenue Code; (vii) any real estate investment trust as defined in section 856 of the U.S. Internal Revenue Code; (viii) any regulated investment company as defined in section 851 of the U.S. Internal Revenue Code or any entity registered with the U.S. Securities and Exchange Commission under the Investment Company Act of 1940 (15 U.S.C. 80a-64); (ix) any common trust fund as defined in section 584(a) of the U.S. Internal Revenue Code; (x) any trust that is exempt from tax under section 664(c) of the U.S. Internal Revenue Code or that is described in section 4947(a)(1) of the U.S. Internal Revenue Code; (xi) a dealer in securities, commodities, or derivative financial instruments (including notional principal contracts, futures, forwards, and options) that is registered as such under the laws of the United States or any State; (xii) a broker as defined in section 6045(c) of the U.S. Internal Revenue Code; or (xiii) any tax-exempt trust under a plan that is described in section 403(b) or section 457(g) of the U.S. Internal Revenue Code.
"Third Party"	means a credit institution or financial institution or auditors or accountants or tax advisors or independent legal professionals or persons providing to third parties trust and company services, falling under the applicable legislations who operate in the Republic or other countries in the European Economic Area and which: ● they are subject to mandatory professional registration, recognised by law; and ● (ii) they subject to supervision regarding their compliance with the requirements of the EU Directive;

	A Third Party may be also any other person who is engaged in financial or other business or accountants or independent legal professionals or persons providing to third parties trust and company services and who operate in countries outside the European Economic Area and which according to a decision of the Advisory Authority for Combating Money Laundering and Financing of Terrorism, have been determined that they impose equivalent procedures and measures for the prevention of money laundering and terrorist financing to those laid down by the EU Directive. The terms financial institutions and persons engaged in financial business activities, for the purposes of the Third Party definition, do not include currency exchange bureaux.
"U.S. Reportable Accounts"	means a Financial Account maintained by a Reporting Cyprus Financial Institution and held by one or more Specified U.S. Persons or by a Non-U.S. Entity with one or more Controlling Persons that is a Specified U.S. Person. Notwithstanding the foregoing, an account shall not be treated as a U.S. Reportable Account if such account is not identified as a U.S. Reportable Account after application of the due diligence procedures in **Annex I**.
"U.S. Person"	means a U.S. citizen or resident individual, a partnership or corporation organized in the United States or under the laws of the United States or any State thereof, a trust if (i) a court within the United States would have authority under applicable law to render orders or judgments concerning substantially all issues regarding administration of the trust, and (ii) one or more U.S. persons have the authority to control all substantial decisions of the trust, or an estate of a decedent that is a citizen or resident of the United States. This subparagraph 1(ee) shall be interpreted in accordance with the U.S. Internal Revenue Code.

4. Introduction

The purpose of this Manual is to lay down the Company's internal procedures, policies, regulations and mechanisms of internal control which are established, implemented and maintained by the Company in compliance with the Applicable Legislations, as well as to put proper risk management in place for the purpose of preventing ML/TF.

The Manual is developed and periodically updated by the AMLCO based on the general principles set up by the Company's Board of Directors (hereinafter the "Board") in relation to the prevention of Money Laundering and Terrorist Financing in order to comply with the Applicable Legislations.

All amendments and/or changes of the Manual must be approved by the Board.

The Manual shall be communicated by the AMLCO to all the employees of the Company that manage, monitor or control in any way the Customers' transactions and have the responsibility for the application of the practices, measures, procedures and controls that have been determined herein.

This document is designed strictly for internal use of the Company. The Manual or any part of its contents could be disclosed and/ or made available to other persons, including auditors and supervisory authorities only in cases and on the conditions, which are prescribed by The Manual and Applicable Legislations.

Money Laundering is the process of disguising the illegal sources and ownership of proceeds derived from criminal activities. The criminals may attempt to use the obliged entities in order to conceal and to control the illegitimate proceeds and to use such monetary funds by integrating them with funds derived from legitimate sources without discovery or interruption of the criminal activities. The process of Money Laundering takes place in the following three stages: placement, layering and integration.

The Company acknowledges that combating the financial crime and money laundering is one of its most important tasks and recognizes the importance of the fact that any failure in detection and/ or prevention of such attempts with high probability might entail the financial and reputation damages, regulatory and legal sanctions (legal risk, reputation risk, concentration risk and operational risk).

The objective of this Manual is to protect the Company's reputation, eliminate the possible vulnerability and to prevent the imposition of sanctions against it as a result of any actions and/ or omissions which may lead to the use of the Company, intentionally or unintentionally, for legalization of illegitimate proceeds, through conduct of the business/customer relationship with the Company.

This Manual is implemented through specific procedures, established following the requirements of Applicable Legislations and includes the utilization of relevant information systems for monitoring of transactions and development of Know Your Customer (**«KYC»**) policy.

The Anti-Money Laundering procedures assume the involvement of all the officers, employees, associates and departments of the Company assuming the clear assignment of roles and responsibilities; the most important roles in development, implementation and assessment of these procedures are performed by the Board of Directors, the Designated Board Member and the AMLCO.

4.1 Amendments to the Manual

The Manual is updated by the AMLCO and is submitted to the Board of Directors for approval. Subsequently, the Board of Directors reviews the amendments made within the

Manual and ensures that the new and/or updated procedures described are workable and realistic whilst ensuring compliance with the regulatory regime.

The Manual will be updated, when deemed necessary, to:

- Reflect the legal and regulatory developments;
- Reflect the changes in the activities and services offered by the Company;
- Reflect changes that are deemed necessary for the improvement of the existing policies and procedures to make them more effective and efficient; and/or
- Accommodate the suggestions of CySEC, any member of the Board of Directors, the AMLCO and/or the Internal Auditor.

If the amendments are deemed to be material by the Board of Directors and the AMLCO and/or are required by the Applicable legislations, then a notification package will be prepared and submitted to the CySEC, as well, following the applicable procedures set by the latter.

Any amendments performed in the Manual are documented in the section titled "Document History" and the revised document is kept in the Company's records.

Upon approval of the revised Manual by the Board of Directors, each officer and, where appropriate, any natural or legal persons participating directly or indirectly in the operations of the Company under a delegation agreement, or any agreement whatsoever, shall receive a copy of the revised Manual to familiarize himself/herself with the Company's updated procedures and his/her responsibilities.

The provisions of this Manual are mandatory for all officers, employees and any other persons engaged in the business activities of the Company. All officers, employees and other persons engaged in the business activities of the Company shall read this Manual and provide the Company with a duly executed Employee Acknowledgement, in the form attached hereto in **Annex IV**.

4.2 Money Laundering

Financial crime is any kind of criminal conduct relating to money or to financial services or markets, including any offence involving:

- Fraud or dishonesty; or
- Misconduct in, or misuse of information relating to, a financial market; or
- Handling the proceeds of crime; or
- The financing of terrorism.

The Company aims to identify, mitigate against and prevent financial crime within its business activities by implementing policies and procedures that identify, assess, monitor and manage money laundering risks and any other associated financial crime risks.

Money Laundering ("**ML**") is the process by which criminals attempt to conceal the true origin and ownership of the proceeds of their criminal activities. If undertaken successfully, it allows them to maintain control over those proceeds and ultimately provide a legitimate cover for their source of income.

There is no specific method of laundering money and despite the variety of methods employed, the laundering process is mainly accomplished in three basic stages:

- **Placement**: The placement stage represents the initial entry of proceeds derived from an illegal activity into the financial system. It is during the placement stage when criminal transactions are most vulnerable to detection.

- **Layering**: Layering is the most complex stage of the process, where criminals aim to separate the illegal proceeds from their illicit origin. This is traditionally done via several complex transactions within the international financial systems. It is common for criminals at this stage to transfer funds electronically between jurisdictions and invest them into advanced financial products or overseas markets. This is done repeatedly to obscure the audit trail and decreases the probability of law enforcement authorities tracing the proceeds to their original crime.

- **Integration**: It is at this final stage where the money is returned to the criminal as clean funds as they appear to come from a legitimate source. Having been placed as cash and layered through several complex financial transactions, the criminal proceeds are now integrated into the financial system and can now be used for any purpose. However, it is rare for any one company to be involved in all three stages listed above. This can create difficulties in identifying and combating ML. It is, therefore, paramount that the Company considers all the risks posed.

Criminal property may take any form, including money or money's worth, securities, tangible property, and intangible property. It also includes money, however come by, which is used to fund terrorism. ML activity can include:

- A single act, or complex and sophisticated schemes involving multiple parties.

- Acquiring, using, or possessing criminal property.

- Handling the proceeds of crimes such as theft, fraud, and tax evasion.

- Being knowingly involved in any way with criminal property.

- Concealing or entering into arrangements to facilitate laundering criminal property.

- Utilising anonymous cryptocurrencies for illicit purposes.

- Transferring criminal property.

The commitment of ML offences is punishable upon conviction by a maximum of fourteen (14) years imprisonment or by a pecuniary penalty of up to five hundred thousand (500,000) Euro or both penalties. In those cases that the person ought to have known about a ML offence taking place, the penalty consists of a maximum of five (5) years imprisonment or by a pecuniary penalty of up to fifty thousand (50,000) Euro or both penalties.

Employees, officers and associates are specifically advised that, under the Law:

- failure to report suspicions of ML; and
- "tipping off";

may each constitute a criminal offense that is punishable under the Law. Specifically, failure to disclose knowledge or suspicion that another person is engaged in a ML activity or TF, where the information comes to his attention in the course of his trade, profession, business or employment is punishable upon conviction by a maximum of two (2) years imprisonment or a fine of up to five thousand (5,000) Euro or both penalties, whereas the penalty for tipping off includes a maximum of two (2) years imprisonment or a fine of up to fifty thousand (50,000) Euro or both penalties.

4.3 Terrorist Financing

Terrorist Financing ("**TF**") refers to the funding of terrorist organisations or terrorist activities by companies and individuals. This could be done for ideological, political, or other reasons. TF can be categorised into two separate types of financial activity:

- Money and other assets generated by acts of terrorism.
- Money and other assets intended to fund acts of terrorism.

Compared to ML (which involves the proceeds of all crimes), the amount of money that is used for TF is relatively small. The funding of TF may be from bona fide sources, which can make it more difficult to identify.

The sources of TF can take many forms, including:

- Self-financing from individuals, including but not limited to income from employment, savings, borrowed money from families or friends, and bank loans.
- Funds raised by legitimate charities affiliated to or sympathetic to terrorist ideology.
- States directly or indirectly sponsoring terrorist groups.

The Company is committed to ensuring that:

- Its customers are not terrorist organisations and their affiliates.
- It is not providing the means through which terrorist organisations can be funded (i.e., by providing loans and other services to individuals who intend to finance terrorism).

As part of the Company's due diligence process, databases are screened to ascertain whether any companies or individuals named in them are positive matches. If the Company discovers a positive match or suspects that funds belong to an individual, or legal entity who:

- commits terrorist acts or participates in or facilitates the commission of terrorist acts or the financing of terrorism; or
- is a designated or listed entity,

the Company is required to put on hold these potential or current business relationships and report its findings or suspicions to MOKAS, as set out in this manual.

Furthermore, if the Company knows, or has reasonable grounds to suspect that funds may be used:

- to fund terrorism;
- to fund terrorist acts;
- by terrorist organisations; or
- by those who finance terrorism,

the Company is obliged to file a suspicious transaction report with MOKAS and take any further actions with respect to the Customer, as set out in this Manual.

4.4 Proliferation Financing

Proliferation Financing ("**PF**") refers to the act of providing funds or financial services which are used, in whole or in part, for the manufacture, acquisition, possession, development, export, trans-shipment, brokering, transport, transfer, stockpiling or use of nuclear, chemical, or biological weapons and their means of delivery and related materials (including both technologies and dual-use goods used for non-legitimate purposes), in contravention of national laws or, where applicable, international obligations.

Criminal entities could seek to use virtual assets to facilitate proliferation financing efforts through:

- **Fundraising**: To sustain ongoing needs for financial resources through the acquisition and conversion of financial instruments to fiat currencies in the short term.
- **Stockpiling**: To accumulate reserves of financial instruments with the objective of conversion into fiat currency at one point in the future.
- **Circumvention**: To pay directly for goods and resources that are explicitly prohibited by international sanctions using financial instruments.

The Company has an obligation to prevent the facilitation of PF and does so by undertaking Customer Due Diligence (CDD) and through ongoing monitoring. All customers are appropriately screened to verify their identity, as well as for confirmation that they do not appear on any of the relevant sanctions lists.

If the Company discovers a client is designated as a terrorist entity by the UN Security Council, it will, without delay:

- freeze all funds it holds in the name of a designated entity;
- inform the Attorney-General, MOKAS and CySEC that it holds funds belonging to a designated entity and provide details; and
- avoid informing the designated entity that any funds held have been frozen if it could lead to tipping off.

4.5 Legal and Regulatory Framework

The Manual has been prepared in accordance with Applicable Legislations including amongst others the following:

- The AML Law;
- The Directive for the Prevention of Money Laundering and Terrorist Financing issued by the Cyprus Securities and Exchange Commission (CySEC) (the "CySEC AML Directive"), as subsequently amended;
- The Implementation of the Provisions of the Resolutions or Decisions of the United Nations Security Council (Sanctions) and of the Decisions and Regulations of the Council of the European Union (Restrictive Measures) Law 58(I) of 2016, as subsequently amended;
- Other laws, directives and regulations of the Republic of Cyprus, issued from time to time, applicable to this Manual;
- Risk Factor Guidelines, issued by the Joint Committee of the European Supervisory Authorities;
- Risk Factor Guidelines and other Guidelines issued by the Financial Action Task Force (FATF).
- Other EU Regulations/Directives issued from time to time on the prevention of the use of the financial system for the purposes of ML and TF.

5. The Company's Key Responsibilities

The Company is ultimately responsible for satisfying AML requirements.

The key roles and responsibilities in relation to AML are as follows:

- Ensuring and monitoring constant compliance with all applicable local and European legislation.
- Deciding on the establishment of business relationships.
- Ensuring that KYC information is kept up-to-date and accurate.
- Ensuring that customers' risk profiles are revisited if more information becomes available on the customers, which alters the information originally assessed as part of the initial risk rating.
- Ongoing monitoring of transactions.
- Ensuring that ongoing reviews (i.e. periodic and ad hoc) are performed.
- Escalating higher risk customers or unusual activity based on the escalation criteria defined in the Manual.
- Promoting a strong culture of AML, CTF and CPF compliance within the Company.
- Developing and implementing procedures appropriate to the nature, size, and complexity of the Company's business and the risks it may reasonably face.
- Ensuring that policies, controls, and procedures are adopted in accordance with the Applicable Legislations, and that these are approved by senior management.

5.1 Responsibilities of the Board of Directors

The Board of Directors has the overall responsibility to define and oversee the implementation of all relevant arrangements that ensure compliance with the Applicable Legislations and the effective management of the Company. The Board of Directors shall assess and periodically review the effectiveness of the policies, arrangements and procedures put in place to comply with the obligations under the Applicable Legislations and respond appropriately to address any deficiencies.

The duties and responsibilities of the Board of Directors of the Company within the framework for the prevention of ML and TF include:

- Determining, recording and approving the general principles of the Company in relation to the prevention of ML and TF and communicating them to the AMLCO and the Senior Management.
- Designating one member of the Company's Board of Directors (either an Executive or a Non- Executive Director) as the responsible person for the implementation of the legal framework related to the prevention and suppression of ML and TF (the "AML Director" or "Designated Member for AML").
- Having direct and continuous overview of the money laundering and terrorist financing issues.

- Having knowledge of the level of risk for money laundering and terrorist financing that the Company is exposed to, so as to decide whether all necessary measures are taken for risk management and minimization, according to the risk appetite of the Company.

- Appointing the AMLCO and determining his/her duties and responsibilities, which are recorded in the section below titled "Duties and Obligations".

- Appointing an AMLCO, and also temporarily an Alternate AMLCO, when the AMLCO is absent and where necessary, assistant compliance officers. The position of the Alternate AMLCO can be undertaken either in-house or delegated to a third- party as long as the person appointed is a natural person;

- Ensuring that the AMLCO, Alternate AMLCO and their assistants (if any), and any other person who has been assigned with the duty of implementing the procedures for the prevention and suppression of Money Laundering and Terrorist Financing (i.e. personnel of the Client Services Department), have complete and timely access to all data and information concerning Clients' identity, transactions' documents (as and where applicable) and other relevant files and information maintained by the Company so as to be fully facilitated in the effective execution of their duties, as included herein.

- Approving this Manual which is communicated to the AMLCO and to all employees of the Company and where appropriate to any natural or legal persons participating directly or indirectly in the operations of the Company under a delegation agreement and who have been assigned with the duty of implementing the AML procedures;

- Ensuring that all employees of the Company know the AMLCO and the Alternate AMLCO and report to them all suspicious transactions and activities in accordance with the requirements of the CySEC AML Directive and this Manual.

- Assessing and approving the AMLCO's and Internal Auditor's annual reports in relation to ML and TF matters and taking all action as deemed appropriate under the circumstances to remedy any weaknesses and/or deficiencies identified in the abovementioned reports.

- Ensuring that the AMCLO has sufficient resources, including competent staff and technological equipment for the effective execution of his/her duties and responsibilities.

- Reviewing and approving the annual report on AML matters and taking actions as deemed necessary under the circumstances to rectify any weaknesses and/or deficiencies identified in such report.

- Implementing adequate and appropriate systems and processes to detect, prevent and deter money laundering arising from serious tax offences.

- Approving the mandatory annual training programme prepared by the AMLCO.
- Ensuring that they receive adequate management information on the implementation of the Company's annual training programme.
- Ensuring to be adequately trained to be well-aware and up to date with the Law.
- Ensuring that the annual training programme of the Company includes the relevant Law and further actions to mitigate any specific and unique vulnerability identified to ensure that the Company's officials do not knowingly aid or abet clients in committing tax offences

5.2 Responsibilities of the AML Director

The AML Director is responsible for matters in relation to the prevention of money laundering and more specifically for ensuring the Company's compliance with all provisions of the Applicable Legislations regarding the prevention of money laundering.

The AML Director shall closely liaise with the Company's AMLCO (unless it is the same person for both functions) for the purpose of devising guidelines and issuing broad instructions to the Company's various departments with a clear focus on ensuring continuous compliance with respect to AML. The AMLCO shall be then responsible to implement the guidelines and broad instructions issued by the AML Director into efficient and transparent processes to be followed across the Company with respect to AML. The Company shall ensure that the AML Director has access to all necessary information, receives the required resources and training for the dispensation of his duties

Duties and responsibilities of the AML Director include the following:

- Ensuring the establishment and maintenance of a compliance culture within the Company;
- Ensuring the implementation of the provisions of the Applicable Legislations issued pursuant thereto including any relevant acts of the European Union;
- Ensuring the implementation of the provisions of this Manual and any additional duties, where appropriate, taking into account the nature and the size of the activities of the Company;
- Maintaining a regular and systematic contact with the AMLCO and the Alternate AMLCO in order to ensure that there is frequent collaboration between the Board and the AML Department;
- Overseeing duties and responsibilities of the AMLCO, as these are detailed in the present Manual;

- Providing guidance, assistance and recommendations where and if required, in order to ensure the Company's full and constant compliance with the AML legislation.
- Following the developments/updates that take place in the AML legislation and ensure that the AMLCO takes relevant actions in this regard.
- Ensuring that the staff receives an appropriate level of AML training relevant to the role they undertake within the regulated entity, with particular attention in the area of suspicious activity monitoring and reporting and establishing whether the training received allows the staff to effectively fulfil its responsibilities.
- Informing the Board of Directors, on a frequent basis, the level of compliance of the Company, in relation to the AML legislation.

5.3 Responsibilities of the AMLCO and the Alternate AMLCO

5.3.1 Duties and obligations

The AMLCO, who belongs to the Senior Management of the Company, so as to command the necessary authority, can be appointed and be removed from his position only by the decision of the Board of Directors of the Company and prior notification and approval by CySEC. The Chief Compliance Officer can also act as AMLCO.

The AMLCO shall lead the Company's Money Laundering Compliance procedures and processes and directly report to the Board of Directors. The AMLCO shall have the resources, expertise as well as access to all relevant information necessary to perform his duties adequately and efficiently. The level of remuneration of the AMLCO shall not compromise his/her objectivity. The AMLCO may appoint Assistant AMLCOs.

The AMLCO shall act independently and autonomously in order to fulfil its obligation. For safeguarding its impartial judgement and to facilitate impartial consultancy to the management, the AMLCO shall not have any business operational responsibilities or undertake responsibilities for the operation of the internal audit.

Where it is deemed necessary, due to the volume and/or the geographic spread of the Company's activities, assistants to the AMLCO may be appointed, by geographical district or otherwise with the purpose of assisting the AMLCO and communicating internal suspicion reports to him/her. The Company communicates immediately to CySEC the names and positions of the persons it appoints as AMLCO and assistants of the AMLCO.

The Company should appoint temporarily an Alternate AMLCO, when the appointed AMLCO is absent, who will undertake the duties and responsibilities of the AMLCO as these are defined herein. It is clarified that this provision does not apply when the AMLCO resigns from his/her position, since in such a case, the Company should appoint a new AMLCO.

In identifying an Alternate AMLCO, the Company shall at all times make sure that it follows the procedures outlined below:

- The Company shall initially examine the option to assign this position to an in-house employee, who has the relevant knowledge and experience and can undertake this position.
- In cases where none of the existing individuals is suitable for this position, the AMLCO function can be outsourced to a third-party service provider as long as the latter provides a natural person to be assigned as the Alternate AMLCO. In this case, the Company's procedures outlined in section "Outsourcing Process" of the Company's "Delegations Manual" shall be followed.
- In case the services of the Alternate AMLCO are outsourced to a third-party service provider, the natural person responsible for this function must disclose/provide to the Company the following details/information:
    - Full Name, as indicated in the identification document;
    - Current occupation;
    - Business electronic address;
    - Communication/Postal address;
    - Business and/or cell phone number; and
    - The length of his/her appointment, if applicable.
- The Company must agree with the Alternate AMLCO the length of time for which he/she will temporarily replace the AMLCO.
- The Company should immediately communicate the appointment of the Alternate AMLCO to CySEC and MOKAS, providing his/her details.
- The Company informs all its staff of the Alternate AMLCO's full name and contact details.

It is noted that the duties/tasks/responsibilities of the Alternate AMLCO do not differ from the ones of the AMLCO.

The person appointed to the position of the AMLCO is in charge of, inter alia, the following:

- Designing the internal practice, measures, procedures and controls relevant to the prevention of ML and TF and describing and explicitly allocating the appropriateness and the limits of responsibility of each officer or any third parties involved in the abovementioned. It is provided that, the above include measures and procedures for the prevention of the abuse of new technologies and systems as well as measures so that the risk of ML and TF is appropriately considered and managed in the course of daily activities of the Company with regard to

possible changes in the Company's economic profile (e.g. penetration into new markets);

- Developing and establishing the CAP in accordance with the principles of the CySEC AML Directive, and submitting it to the Board of Directors of the Company for consideration and approval;

- Reviewing and updating this Manual and the CAP periodically and whenever deemed necessary and ensuring that such updates to be communicated to the Board for their approval;;

- Monitoring and assessing the correct and effective implementation of the Manual, the practices, measures, procedures and controls relevant to the prevention of ML and TF and in general the implementation of this Manual. In this regard, the AMLCO applies appropriate monitoring mechanisms (e.g. on-site visits to the offices of t any person engaged with the Company) which will provide him/her all the necessary information for assessing the level of compliance of the departments and employees of the Company with the procedures and controls which are in force. In the event that he/she identifies shortcomings and/or weaknesses in the application of the required practices, measures, procedures and controls, the AMLCO gives appropriate guidance for corrective measures and, where deemed necessary, informs the Board of Directors of the Company.

- Receiving information from the persons engaged in the business activities of the Company which are considered to be, to their knowledge or suspicion, ML or TF activities, or might be related with such activities. The information is received in a written report form (hereinafter to be referred to as "Internal Suspicion Report"), a specimen of such report is attached as **Annex II.**

- Evaluating and examining the information received, by reference to other relevant information and discusses the circumstances of the case with the informer and, where appropriate, with the informer's superiors. The evaluation of the information is to be done on a report (hereinafter to be referred to as "Internal Evaluation Report"), a specimen of which is attached as **Annex III**.

- If, following the evaluation described in the point above, the AMLCO decides to report the information received to MOKAS (hereinafter to be referred to as "Report to MOKAS"), the Company shall introduce a system which will allow him/her tp complete an online report (Suspicious Transactions Reports/Suspicious Activities Reports ("STR/SAR") on the web-application of MOKAS and submit it through the goAML Professional Edition (PE) system (https://reports.mokas.law.gov.cy/live/home) the soonest possible assuming that the Company has already registered with the relevant reporting system of MOKAS. After the submission of the AMLCO's Report to MOKAS, the accounts involved and any other connected accounts, are to be closely monitored and/or frozen by the AMLCO and following any directions from MOKAS, all the Transactions of the

accounts are to be thoroughly investigated and examined. The Company shall assess whether to terminate its relationship with the customer concerned for risk avoidance reasons.

- If, following the evaluation described in the point above, the AMLCO decides not to notify MOKAS, then he fully explains the reasons for such a decision on the "Internal Evaluation Report" which is attached as Annex III.
- Acting as the first point of contact with MOKAS, upon commencement and during an investigation resulting from the filing of a Report to MOKAS.
- Ensuring the preparation and maintenance of the lists of Clients categorized following the Risk Based Approach, which contains, inter alia, the names of Clients, their account number and the date of approving the first Transaction. Moreover, ensures the updating of the said lists with all new or existing Clients, in the light of additional information obtained.
- Ensuring the preparation and maintenance of lists of the Beneficial owners of the Clients that are legal persons and keep the list up to date. In addition, the AMLCO shall be responsible to keep updated the list of the Beneficial owners' authorised representatives, including their roles, functions and authority
- Evaluating the systems and procedures applied by any third party on whom the Company relies for Client identification and due diligence purposes.
- Ensuring that the agents, branches and subsidiaries of the Company, if any, that operate in countries outside the EEA, have taken all necessary measures for achieving full compliance with the provisions of this Manual, in relation to Client identification, due diligence and record keeping procedures.
- Detecting, recording, and evaluating, at least on an annual basis, all risks arising from existing and new Clients and updates and amending the systems and procedures applied by the Company for the effective management of the aforesaid risks.
- Verifying that the third-party to whom the Company intends to rely for the execution of the Client identification and Due Diligence procedures is an Obliged Entity as defined in Article 2A of the AML Law and gives its written approval for such an arrangement. The written approval shall be kept in the personal file of the third person.
- Providing advice and guidance to the Company's officers, the Fund Administrator and other persons engaged in the business activities of the Company on subjects related to ML and TF.

- Acquiring the required knowledge and skills for the improvement of the appropriate procedures for recognizing, preventing and obstructing any Transactions that are suspected to be associated with ML or TF.
- Determining the Company's officers that need further training and education for the purpose of preventing ML and TF and organizing appropriate training sessions/seminars. In this regard, preparing and applying an annual training program and assessing the adequacy of the education and training provided. Separate AML training may be provided to the Directors and Senior Management.
- Preparing and submitting the monthly prevention statement to CySEC in a timely manner as per the CySEC AML Directive and providing the necessary explanation to the appropriate persons engaged in the business activities of the Company for its completion.
- Preparing the annual AMLCO's Report.
- Responding to all requests and queries from MOKAS and CySEC.
- Providing all requested information and fully cooperating with MOKAS and CySEC.
- Maintaining a registry and relevant statistical information (person submitted the internal report, date of submission to the AMLCO, date of assessment, date of reporting to MOKAS), the evaluation reports and all the documents that verify the accomplishment of his/her duties specified in the present sub-paragraph.
- Maintaining a registry with the details/ information of the third parties on whom the Company relies for the execution of the Client identification and Due Diligence procedures.
- Ensuring the preparation and maintenance of the list of Clients included in the Panama Papers, Sanctions and any other relevant publications.

During the execution of his/her duties and the control of the compliance of the Company with the AML Law and CySEC AML Directive, the AMLCO obtains and utilizes data, information and reports issued by international organizations, as these are stated in paragraph 17 (a) – (i) of the CySEC AML Directive.

5.3.2 Reporting to the Board of Directors of the Company and CySEC

5.3.2.1 Annual Report

The AMLCO annual report is a significant tool for assessing the Company's level of compliance with its obligations laid down in the AML Law and the CySEC AML Directive. The AMLCO Annual Report is prepared and submitted for approval to the Board of Directors, within two months from the end of each calendar year (the latest by the end of February).

The AMLCO annual report, after its approval by the Board of Directors, is submitted to CySEC together with the minutes of the meeting, during which the AMLCO's Annual Report has been discussed and approved. It is provided that the said minutes include the measures decided for the correction of any weaknesses and/or deficiencies identified in the AMLCO Annual Report and the implementation timeframe of these measures. These minutes and the AMLCO Annual Report are submitted to CySEC within twenty days from the date of the relevant meeting, and not later than three months from the end of the calendar year and/or are submitted to CySEC in line with any announcements/circulars issued from time to time as regards the timing of submission.

The AMLCO annual report deals with ML and TF preventive issues pertaining to the year under review and, as a minimum, covers the following:

- Information on the measures taken and/or procedures introduced to ensure compliance with the AML Law and the CySEC AML Directive and/or new provisions of the AML Law and the CySEC AML Directive which took place during the year under review.
- Information concerning the reviews and inspections performed by the AMLCO and any significant weaknesses that were identified. In this regard, the report outlines the seriousness of the deficiencies and weaknesses, the risk implications and the actions taken and/or recommendations made for rectifying the situation.
- The number of any internal suspicion reports submitted by the persons engaged in the business of the Company concerning suspicious Transactions.
- The number of reports that have been submitted by the employees and/or the AMLCO to MOKAS with information/details on the main reasons for suspicion and highlights of any particular trends.
- Information, details or observations regarding the communication with the persons engaged in the business of the Company on ML and TF preventive issues.
- In a summary form, the total cash deposits of clients, who exceed the set limit of €10,000, or currency equivalent, as reported in the Monthly Prevention Statement. In addition, any comments on significant changes observed compared with previous years are also reported.
- Information concerning the policies, measures, practices, controls and procedures followed by the Company in relation to its high-risk clients, as well as the number and the country of origin of these clients with whom a Transaction has been executed,such as companies with bearer shares, trusts, client accounts, politically exposed persons, correspondent accounts for non-EU banks and persons engaged in electronic gambling/gaming through the internet is established, or an Occasional Transaction has been executed.

- Information on the systems and procedures applied by the Company for the ongoing monitoring of clients' Accounts and Transactions.
- Information on the measures taken for the compliance of branches and subsidiaries of the Company, if any, that operate in countries outside the European Economic Area, with the requirements of the CySEC AML Directive in relation to Investor identification, Due Diligence and record keeping procedures and comments/information on the level of their compliance with the said requirements.
- Information on training/education and any educational material provided to staff during the year, reporting, the number of courses/seminars organized, their duration, the number and the position of the employees attending, the names and qualifications of the instructors, and specifying whether the courses/seminars were developed in-house or by an external organization or consultants.
- Information on the training courses/seminars attended by the AMLCO and any other educational material received.
- Results of the assessment of the adequacy and effectiveness of staff training.
- Information on the training program recommended for the following year.
- Information on the systems and procedures applied by the Company for the ongoing monitoring of clients' Accounts and Clients' Transactions.
- Information on the structure and staffing of the department of the AMLCO (if any) as well as recommendations and timeframe for their implementation, including for any additional staff and technical resources which may be needed for reinforcing the measures and procedures against ML and TF.

5.3.2.2 Monthly Prevention Statement

The AMLCO prepares and submits to CySEC on a monthly basis, the relevant monthly prevention form/statement which includes details for the total cash/VAs deposits accepted by the Company, the Internal Suspicions Reports, and the AMLCO's Reports to MOKAS if any for Combating Money Laundering Offences ("MOKAS").

The completion of the Monthly Prevention Statement provides the opportunity to the Company initially to evaluate and, subsequently, to reinforce its systems of control and monitoring of its operations, for the purpose of early identification and detection of transactions which may be unusual and/or carry enhanced risk of being involved in money laundering and terrorist financing operations.

The Company does not accept any cash deposits or process any cash withdrawals and in this respect procedures and controls have been implemented as to ensure that no cash deposits or cash withdrawals have been processed.

The said Monthly Prevention Statement must be completed and submitted to CySEC on the 15th day of each month, with reference period the previous month. The Internal Auditor shall be responsible to review, at least annually, the information contained in the Monthly Prevention Statements and the correct the submission to CySEC.

5.4 Responsibilities of the Internal Auditor

The Company's Internal Auditor's obligations in relation to this Manual have been set as follows:

- To inspect, review and evaluate, at least on an annual basis, the appropriateness, effectiveness and adequacy of this Manual, the practices, measures, procedures and control mechanisms applied for the prevention of ML and TF in order to verify the level of compliance of the Company with the AML Law, the CySEC AML Directive and other applicable regulatory and legislative requirements.

- To conduct independent audit tests, at least on an annual basis, assessing the appropriateness, effectiveness and adequacy of the policy, practices, measures, procedures and control mechanisms applied for the prevention and suppression of Money Laundering and Terrorist Financing mentioned in the Manual. The Internal Auditor shall be responsible to assess, inter alia, the following:

  o customer identification and customer due diligence, in accordance with the provisions of sections 60-66 of the Law
  o record-keeping in accordance with provisions of section 68 of the Law
  o internal reporting and reporting to MOKAS, in accordance with the provisions of section 69 of the Law
  o internal control, risk assessment and risk management in order to prevent money laundering and terrorist financing
  o detailed examination of each transaction which by its nature may be considered to be particularly vulnerable to be associated with money laundering offences or terrorist financing and in particular complex or unusually large transactions and all other unusual patterns of transactions which have no apparent economic or visible lawful purpose
  o whether the employees were properly informed in relation to:
    - the internal AML systems and procedures
    - the Law
    - the Directives issued by the competent Supervisory Authority according to section 59 (4) of the Law

➢ the European Union's Directives on the prevention of the use of the financial system for the purpose of money laundering and terrorist financing and (v) the relevant requirements for personal data protection.

- ongoing training of employees in the recognition and handling of transactions and activities which may be related to money laundering or terrorist financing.

- To submit the findings and observations, in a written report form, to the Board of Directors, at least annually, which decides the necessary measures that need to be taken to ensure the rectification of any weaknesses and/or deficiencies which have been detected and set specific timeframes for implementation.The minutes of the abovementioned decision of the Board of Directors and the internal auditor's report are submitted to the CySEC four months before the end of the calendar year referring to the previous year. Also, the independent audit includes reviews of the previous internal audit reports to assess the effectiveness of the implemented changes.

5.5 Responsibilities of Employees/Staff

All employees of the Company can be personally liable for failure to report information or suspicions, regarding ML/TF.

Accordingly, employees of the Company have an obligation under the AML Law to report to the AMLCO, without delay, any knowledge or reasonable suspicion regarding ML or TF activities, or any activity and/or transaction that might be related to ML or TF, coming to their attention in the course of their employment with the Company.

Reporting to the AMLCO by submitting an Internal Suspicion Report discharges the employees of the Company from their legal obligation. Furthermore, employees of the Company need to be aware of their responsibilities and need to be able to identify red flags (that could lead to suspicion) during the on-boarding of a customer or during the course of a customer relationship. The employees must cooperate and report, without delay, anything that comes to their attention in relation to transactions for which there is a slight suspicion that are related to money laundering or terrorist financing.

Internal Suspicion Reports shall be made through a special, independent and anonymous communication medium which the Company has established. Employees as well as representatives of the Company who submit an internal report or a report to the Unit, shall be protected from exposure to threats, revengeful actions or discrimination in the work environment.

Employees have a duty to be kept updated and be aware of the relevant policies of the Company and study the contents of this Manual as well as follow any education and training programme as provided to them by the Company.

5.6 Education and Training

- The AMLCO shall ensure that the Company's employees are fully aware of their legal obligations according to the Law and the Directive, by introducing a complete employees' education and training program.

- The timing and content of the training provided to the employees of the various departments will be determined according to the needs of the Company. The frequency of the training can vary depending on the amendments of legal and/or regulatory requirements, employees' duties as well as any other changes in the financial system of the Republic.

- The training program aims at educating the Company's employees on the latest developments in the prevention of money laundering and terrorist financing, including the practical methods and trends used for this purpose.

- The employees shall receive training with regards to their legal obligation to report on any reasonable suspicion or knowledge that comes to their attention that another person is engaged in laundering or financing of terrorism offences.

- The employees shall receive ongoing training with regards to suspicious activity monitoring and reporting, and specifically with regards to the recognition and handling of transactions and activities which may be related to money laundering or terrorist financing

- The training program will have a different structure for new employees, existing employees and for different departments of the Company according to the services that they provide. On-going training shall be given at regular intervals so as to ensure that the employees are reminded of their duties and responsibilities and kept informed of any new developments.

- Training may take many forms and may include: face-to-face training seminars, completion of online training sessions, attendance at AML/FT conferences and participation in dedicated AML/FT forums, practice group meetings for discussion of AML/FT issues and risk factors, guidance notes, newsletters and publications on current AML/FT issues.

- Training shall be provided to employees prior to commencing work and at minimum on an annual basis. The Company shall establish mechanisms to facilitate prompt updates on key trends, emerging risks, potential ML/TF activities/risks, legislative changes and internal policies, controls and procedures and shall ensure that such updates are communicated to staff in a timely manner.

- The AMLCO shall be responsible to refer to the relevant details and information in his/her Annual Report in respect of the employees' education and training program undertaken each year.

5.7 AMLCO's Education and Training Program

The Senior Management of the Company shall be responsible for the AMLCO of the Company to attend external training. The AMLCO shall be responsible to include information in respect of the said education and training program(s) attended during the

year in the AMLCO Annual Report. Based on his/her training, the AMLCO will then provide training to the employees of the Company.

The main purpose of the AMLCO training is to ensure that relevant employee(s) become aware of:

- the Law and the Directive,
- the Company's Anti-Money Laundering Manual,
- the statutory obligations of the Company to report suspicious transactions,
- the employees own personal obligation to refrain from activity that would result in money laundering,
- the importance of the Customers' due diligence and identification measures requirements for money laundering prevention purposes.

The AMLCO shall be responsible to include information in respect of his education and training program(s) attended during the year in his Annual Report.

5.8 AML Training Plan

All the Company's employees will attend seminars regarding Anti-Money Laundering topics. It is the Company's decision for the below mentioned personnel to attend at least 5-8 hours annual seminars which will be organized by external organizations regarding AML issues:

- Compliance Officer/ AMLCO
- Head of Safekeeping/ Back Office/ Customer Support
- Head of Market Surveillance
- Executive Directors
- Non-Executive Directors

Internal Training Plan will also be performed for all Company's employees.

5.9 Customer Acceptance Policy (CAP)

The CAP developed and established by the Company defines the criteria for accepting new Clients and defines the Client categorisation criteria which shall be followed by the Company and especially by the employees which shall be involved in the Client Account Opening process. The CAP is based on the requirements of Applicable Legislation. The main purpose of the CAP is to protect the Company's good reputation continuously and consistently, and to prevent the Company from being used for fraudulent or criminal purposes. The underlying principle of the CAP is that the Company should "know its customers" (Know-Your-Customer process / "KYC"). The CAP is prepared after detailed

assessment of the risks faced by the Company from its Customers and/or their transactions and/or their countries of origin or operations, according to the Applicable Legislations.

The Company's employees (i.e. AMLCO, Back Office department) involved in the Customer Account Opening process must strictly follow the CAP procedures. The Head of Back Office shall be responsible for applying all the provisions of the CAP. The responsibility for KYC obligations, both during the process of implementation and thereafter throughout the life cycle of the relationship, rests with the AMLCO. The AMLCO is responsible for monitoring developments in the field, identifying required action and informing and training all relevant personnel. The AMLCO is also responsible for the general supervision of the application of the prescribed procedures and the improvement / amendment of these procedures if the need arises. More specifically, the AMLCO shall ensure that the responsible personnel (i.e. Back-Office Department) follows at all times the relevant written procedures of the Company by performing frequent reviews on a sample basis. If any discrepancies are identified between the actual procedures followed and the written procedures of the Company, the AMLCO is responsible to inform the relevant employees accordingly and take all appropriate measures so as to minimise the risk of discrepancies in the future, for instance either enhancing the procedures/controls already in place or arranging ad hoc trainings for the relevant employees.

The procedures described herein shall apply to all the Customers and prospective Customers of the Company.

The Company's CAP lays down step-by-step procedures that need to be followed in relation to the Customer's accounts from registering and submitting an application to the Company for the establishment of a business relationship with the Company until the time of approval or rejection of such Customer application.

The Internal Auditor shall review and evaluate the adequate implementation of the CAP and its relevant provisions, at least annually.

5.10 Procedure for Accepting new Members

Where the Member is a prospective Member, an account must be opened only after the relevant pre-account opening due diligence and identification measures and procedures have been conducted, according to the principles and procedures set in this Manual. Through the various steps of this procedure the Company ensures that it gathers the necessary KYC and customer due diligence documentation and information as required by the Law. All steps to be followed by the potential Customers are compulsory, and all steps need to be completed by the potential Customers for a Customer account opening application to be successfully submitted to the Company. All documents and data described in the said sections must be collected before accepting a new Customer.

Potential Customers must complete the online registration procedure on the Company's website. This is a multi-faceted document, that apart from being used for the collection of

information for AML purposes, the financial status as well as to build Customers' economic profile.

- The identification of a customer/beneficial owner shall occur before the establishment of a business relationship with the said entity . The identification procedure includes the creation of an economic profile for the customer/beneficial owner.

The verification of the identity of a customer / beneficial owner shall take place before the establishment of a business relationship with the said person. By way of derogation, the verification of the identity of a customer / beneficial owner may be completed during the establishment of the business relationship (the "15-day rule"). More information about the 15-day rule and the relevant procedure followed by the Company can be found below in Section "Time of application of the Customer Identification and Due Diligence Procedures".

All the answers provided by the client during the online registration procedures which relate to AML, are entered automatically by the system in the specially designed database of the Company's CRM (the database has full access controls and audit trail functionality).

No deposits should be accepted by the Company, where the Customer / Beneficial Owner has not provided information as to:

- The full identification of the Member beneficial Owner(s)The creation of an economic profile.

No Member account shall be opened unless the potential Member is approved by:

- the AMLCO and/or
- by the Board Member responsible for the AML function and Senior Management for High-Risk clients with a "PEP status".

5.11 Categories of prohibited customers

The following categories of Customers are prohibited to enter into any type of business relationships or an execution of an occasional transaction with the Company:

- Non - institutional Customers
- Members who do not provide sufficient CDD documents and/or information within the timeframe set out by the Company (please refer below to Section "Time of application of the Customer Identification and Due Diligence Procedures");
- Customers who fail or refuse to submit, the requisite data and information for the verification of their identity and the creation of their business profile, without adequate justification;
- Persons that lack the legal capacity to enter into a contractual arrangement.

- Members who fall under sanctions based on decisions of competent authorities of European Union, United Nations, OFAC, OFSI or other international organizations;
- Members which their beneficial owners, shareholders, and/or directors are associated with money laundering activities, terrorist financing, drug trafficking;
- Anonymous accounts;
- Members not approved by the Company's AML department (i.e. identified as involved in illegal activities/money laundering/terror financing, and or has abused the Company's Electronic Systems, and/or listed by the Company as person that has committed chargeback fraud);
- "Shell banks" as these are defined within the Applicable Legislations and this Manual;
- Credit institutions or financial institutions that are known to allow their accounts to be used by shell banks;
- Members' accounts in the name of a third persons;
- Customers' shares or those of their parent companies have been issued in bearer form;
- Persons involved in the following industries:
    - Electronic gambling /gaming through the internet;
    - Weapon manufacturers;
    - Art and antique dealers;
    - Dealers in high value or precious goods;
    - Unregulated charities;
    - Remittance houses;
    - Exchange houses;
    - Betting;
    - Gambling related;
    - Bank note traders;
    - Cash intensive business;
    - Adult industry.

Factors that might lead the AMLCO to reject or examine more thoroughly an application, include the following:

- The sources of the investment capital are unclear;
- The distance separating the reported residence and work addresses is large and is not justified by the evidence provided by the potential Customer;
- The Member
    - avoids providing Customer due diligence information;
    - avoids giving clear information regarding its business activities;
    - avoids personal contact and meetings;
    - provides information which is either difficult or impossible to verify;
    - holds accounts in many financial services companies;
    - is registered in a country considered to be a "tax haven".

The presence of the above does not define the Customer as a suspect case, but if the customer is a new, unknown, and has approached the Company without sufficient references, then the Company shall have to act with care in examining the application.

5.12 Criteria for categorization of customers

The Company shall classify its Members into High, Medium or Low Risk categories and based on the risk perception decide on the acceptance criteria for each category of Customer, all in accordance with this Manual. Satisfying one or a combination of the criteria under the relevant risk category shall not (unless explicitly stated) in itself determine the AML risk classification of a Member and the Company shall consider the AML risk of Members holistically.

Generally, the Company shall take into consideration the following risk areas for accepting new Members s (as well as for performing the risk scoring procedure):

- Member's Risk;
- Geographical Risk identifying whether the Member has ties to a third country jurisdiction which may be considered suspicious for money laundering services. In such cases the Company will ask for additional information regarding the customer to ensure that such possibility is eliminated or managed accordingly;
- Delivery Channel Business Risk, taking in to account the delivery channels that the Company will use to deliver the services and transactions;
    - the volume and size of transactions;

- the services and financial instruments applied for and the anticipated level and nature of business transactions, in order to ensure that they correspond to the respective customer's profile;
- the expected source and origin of funds, to ascertain whether any of the funds of the customer may be resulted by any money laundering or criminal activities.

In the case the above mentioned principles are considered and followed, and the Company considers that prospective customers pose an average risk to the Company and do not fall under the lower risk or higher risk cases of customers, then they are acceptable and are categorized as medium-risk customers.

The category of low-risk customers includes the customers that the Company has determined to categorize as such, as the business relationship of transactions is supposed to present a lower degree of risk.

The Company may accept clients who are categorized as high-risk customers, provided that they will be categorised as high-risk customers and they will be subject to enhanced due diligence. The Company shall apply the enhanced due diligence and identification measures for the high-risk customers and the relevant due diligence and identification procedures for the specific types of high-risk customers, as applicable.

In general terms, the cases of new customers that are considered by default as high-risk customers and for which enhanced due diligence procedures should always be followed, are the below:

- UBOs or Representatives are Politically Exposed Persons (PEPs);
- Legal entities with connections to a high-risk third countries , identified by the European Commission as high risk third countries (branches or majority-owned subsidiaries of clients established in the Union which are located in high risk third countries shall be excluded, assuming they fully comply with their group-wide policies regarding data protection and sharing information for AML purposes).
- where a cross-border correspondent relationship with a third-country respondent institution exists;
- customer established in a country which inadequately applies Financial Action Task Force's recommendations;
- trust companies;
- customers that perform complex and unusually large transactions that have no obvious economic or lawful purpose, in the course of the relationship with the client.

More specifically, the Company has developed an AML Risk Scoring Matrix for allowing the latter to take into consideration all factors and criteria for the assessment of the AML risk of its clients. More information can be found in the section titled "RISK-BASED APPROACH".

In addition to the above factors to be considered when determining the customer's risk categorisation, prior to establishing any business relationship with a new customer, the AMLCO shall use an online search engine (e.g.Ondato) which enables the user, among others, to screen the prospective customer against adverse media or other reports and/or whether the customer is a Politically Exposed Person.

For more information regarding the customers' risk categorisation, please refer below.

5.13 Foreign Account Tax Compliance Act (FATCA)

Without limiting the foregoing, the Company, a regulated Cyprus Investment Firm, is required to comply based on the Intergovernmental Agreement between Cyprus and the United States and has taken all reasonable steps to be considered in compliance with FATCA. The Customer acknowledges and accepts that the Company, as a Foreign Financial Institution («FFI»), is required to disclose information in relation to any US reportable accounts to the relevant authorities, as per the reporting requirements of FATCA, under the agreement signed between the government of the United States of America and the Government of the Republic of Cyprus to improve international tax compliance and to implement FATCA ("Cyprus IGA"), Cyprus FIs, such as the Company, are required to identify U.S. Reportable Accounts, based on the information collected (e.g. through the electronic questionnaire) and report certain information with respect to these accounts to the Cyprus Tax Department. In turn, the Cyprus Tax Department will exchange such information with the U.S. tax authorities (i.e. the U.S. Internal Revenue Service – "IRS" - https://www.irs.gov/businesses/corporations/foreign-account-tax-compliance-act-fatca).

*The definition of U.S. reportable persons:

- A U.S. citizen (including dual citizen)
- A U.S. resident alien for tax purposes
- A domestic partnership
- A domestic corporation
- Any estate other than a foreign estate
- Any trust if: A court within the United States is able to exercise primary supervision over the administration of the trust, and
- One or more United States persons have the authority to control all substantial decisions of the trust
- Any other person that is not a foreign person.

Substantial U.S. ownership (U.S. person owns more than 10% of the shares of a corporation {vote or value} or of a partnership or of a trust) is also required to comply with FATCA.

"Lower Value Accounts"- Individual accounts with a balance or value as of June 30th, 2014 that exceeds $50.000, but does not exceed $1,000.000.

For accounts with a balance of value as of June 30th, 2014, that is below the threshold stated above there is no need for review, identification and reporting.

"High Value Accounts" – Individual accounts with a balance or value that exceeds $1,000.000 as of June 30th, 2014 or any subsequent year.

For accounts with a balance or value as of June 30th, 2014, that is below the threshold stated above but becomes a High Value Account as of the last day of a subsequent calendar year, the Company completes the enhanced review procedures with respect to such account within six months after the last day of the calendar year in which the account becomes a High Value Account.

If a person is considered as a U.S. Reportable Person, the Back-Office Department shall contact him/her accordingly, so as to request for clarifications. If clients confirmed that they are "U.S. Reportable Persons", then they are requested to complete the FATCA questionnaire accordingly and also to provide the Company with the following:

5.13.1 For new Members

The Company, during the onboarding of a new client, requests from the latter to be informed whether it is considered as a U.S. Reportable Person.

If a person is considered as a U.S. Reportable Person, then they are requested to complete the FATCA questionnaire which is available in the online account opening form accordingly and also to provide the Company with the following:

- Name (stated in U.S. Passport or registration document),
- Address, and
- U.S. TIN of each Specified U.S. Person that is an Account Holder of such account and, in the case of a Non-U.S. Entity that is identified as having one or more Controlling Persons that is a Specified U.S. Person, the name, address, and U.S. TIN (if any) of such entity and each such Specified U.S. Person.

By providing necessary above-mentioned documents the Customer continues the registration process in the usual manner.

5.13.2 For the new Entity Accounts

The Company identifies the Controlling Persons as determined under KYC procedures and resolves whether any such person falls under definition of U.S. Reportable Person.

If the Entity Account Holder falls under definition of U.S. Reportable Persons, the Company treats the account as a U.S. Reportable Account*.

Additional checks must be made by the Back Office in order to ensure that the Company is doing all the necessary actions to identify any Memberswho may be considered US reportable. These checks include the checking of Customer questionnaires, KYC documents as well as IP checks. If any Customer has a connection to the US, the Back-Office department will inform the AMLCO, who will advise the Back office on how to investigate further

5.13.3 Aggregation of Entity Accounts

For purposes of determining the aggregate balance or value of financial accounts held by an Entity, the Company takes into account all accounts held by Entities that are maintained by the Company, to the extent that the Company's computerized system links the accounts by reference to a data element such as Customer number or taxpayer identification number and allow account balances to be aggregated.

5.13.4 Special Aggregation Rule Applicable to Relationship Manager

For purposes of determining the aggregate balance or value of Financial Accounts held by a person to determine whether an account is a High Value Account, the Company requires, in the case of any accounts that a relationship manager knows or has reason to know are directly or indirectly owned, controlled, or established (other than in a fiduciary capacity) by the same person, to aggregate all such accounts.

5.13.5 Currency Transaction Rule

For purposes of determining the balance or value of Financial Accounts denominated in a currency other than the U.S. dollar, the Company converts the dollar threshold amounts described into such currency using a published spot rate determined as of the last day of the calendar year preceding the year in which the Company is determining the balance or value.

5.14 Ongoing Monitoring of Compliance with FATCA Requirements

In its Terms and Conditions of Business the Company refers to the reporting requirements of FATCA. Furthermore, the Company has implemented additional procedures for the ongoing monitoring of compliance with FATCA requirements to its ERP system. The Company reviews on an annual basis whether there is a change in the U.S. indicia of its Customers which might result in identifying U.S. Reportable Persons, the classification and reporting of the account as lower or high.

5.15 Common Reporting Standard Regime (CRS)

The Common Reporting Standard ("CRS") refers to the common requirements and standards created by the Organization for Economic Cooperation and Development

(OECD) for the automatic exchange of certain financial information between countries. The CRS Decree imposes obligations on Cyprus Financial Institutions to identify, maintain and report information about individuals and entities tax resident in another jurisdiction for whom they maintain financial accounts and to report to the Cyprus Tax Department to the extent that it is reportable under the applicable legislation. An up-to-date list of the countries that have either signed or committed to adopt CRS can be found on the OECD's site at: http://www.oecd.org/tax/transparency/AEOI-commitments.pdf.

The Company is required to identify reportable accounts based on the information collected (via a self-certification) and report them accordingly to the local tax authority. In turn, the local tax authority will exchange information with the tax authorities of Reportable Jurisdictions.

Self-Certification means a certification by the Account Holder that provides the Account Holder's status and any other information that may be reasonably requested by the Reporting Cyprus Financial Institution to fulfil its reporting and due diligence obligations, such as whether the Account Holder is resident for tax purposes in a Reportable Jurisdiction.

The following information should be collected from Customers/prospective Customers in order to ensure compliance with CRS requirements and should be reported where required:

- Natural persons:
    - Declaration of tax residency,
    - Residence address,
    - Tax Identification Number (TIN),
    - Date and place of birth of every account holder.
- Legal entities:
    - Classification of entity (NFE or FFI),
    - Declaration of type (passive or active),
    - Tax residency,
    - Residence of controlling persons,
    - Entity's TIN
    - Controlling person's TIN.

The information to be reported for CRS purposes, consists of the above mentioned data and the following:

- The Account Number
- The account balance or value as at 31/12 or, if the account was closed during such year or period, the closure of the account.

Under new regulations all potential and existing Customers must provide information concerning the potential Customer's tax residency for the Company to fulfil its reporting and due diligence obligations, such as whether the Account Holder is resident for tax purposes in a Reportable Jurisdiction. The Company may not rely on a self-certification or documentary evidence if the Company knows or has reason to know that the self-certification or documentary evidence is incorrect or unreliable.

The Company is requested to report the account balance or value as of the end of the calendar year or if the account was closed during the year, the closure of the account. The Information to be reported is to be reported annually.

In case of inadequate information, a problem occurs, as the provided documents through the online step-by-step procedure are not applicable or valid, the Back Office (on-boarding) and Customer Support Department ensures that the missing documentation / information are obtained during the business relationship with the Customer. The Back Office (on-boarding) and Customer Support Department is aware of the missing documentation and is responsible for flagging in the system that there are missing documents.

5.16 Blocked Customer Accounts

Further to the provisions of this Manual, the Company's customers are required to provide the Company with full and updated due diligence documents at all times. The customers are informed of their expired documents on the date of expiry / prior to these being expired in order to provide updated and valid documents. If the clients do not provide valid and updated proof of identification documents within 15 days after the documents have expired, they will be automatically placed under "blocked" status. This means that customers will only be able to close positions but not enter new positions (i.e. trade) until the documents have been provided.

The customers will be able to re-active their accounts and resume trading once they provide their updated proof of identification documents. In the case that the clients do not provide updated KYC documents within 3 months and 3 notifications by the Company via email since the date they have become blocked these clients will be closed and their business relationship with the Company will be terminated. In the unlikely event that the clients will have balances with the Company, then the customers' funds are sent back to the same source as received and the customer's account is closed once the balance of the account is zero.

5.17 Termination of business relationship

The Company may terminate its business relationship with its customers for various reasons and at certain occasions, in accordance with the relevant terms and conditions of the customers' agreement, including but not limited to;

- transactions executed are much larger than the anticipated account's turnover or are not justified by the available information on the customer. For example, the amount of capital that the Customer wishes to invest is larger than expected with respect of the customer's balance sheet;
- customers who do not provide, within a reasonable timeframe of three (3) months, the relevant information and evidence required in order for their economic profile and identification procedures to be verified;
- customers who provide insufficient due diligence documents;
- customers who reside in third countries that the Company does not have any licence or obtained any relevant legal opinion and as such cannot establish any business relationship;
- customers who are in under the "Blocked" status for three (3) months and, thus, the Company shall proceed with termination;
- customers who may request to close their accounts with the Company;

Upon the receipt of written instructions from the customer requesting to close his/her account or due to the Company's decision to close the customer's account (for the reasons explained above), the AML Department shall notify the customers of the termination of the business relationship and the closure of the account via email. The date of the effective customers' accounts termination shall be in accordance with the provisions of the relevant customers' agreement.

Following termination of the business relationship and cease of the provision of services to a customer, the status of the relevant customer account shall be set as "closed" while the client's access to the Company's trading systems shall be restricted. Moreover, the Company shall examine whether it is justified under the specific circumstances to submit a report to MOKAS.

6. Risk Based Approach

The Risk Based approach adopted by the Company for the purpose of assessing a Client's risk profile, so as to focus its effort in those areas where the risk of money laundering and terrorist financing appears to be higher, takes into consideration, among others, the Risk Factors Guidelines according to the Applicable Legislations.

The AMLCO shall monitor and evaluate, on an on-going basis, the effectiveness of the measures and procedures of this Section of the Manual.

The adopted risk-based approach that is followed by the Company, and described in the Manual, has the following general characteristics:

- recognises that the money laundering or terrorist financing threat varies across Customers, countries, services and financial instruments;
- allows the Board of Directors to differentiate between clients of the Company in a way that matches the risk of their particular business;
- allows the board of directors to apply its own approach in the formulation of policies, procedures and controls in response to the Company's particular circumstances and characteristics;
- helps to produce a more cost-effective system;
- promotes the prioritisation of effort and actions of the Company in response to the likelihood of money laundering or terrorist financing occurring through the use of services provided by the Company; and
- when assessing the ML/TF risk, must always take into consideration the Government's National Risk Assessment Report (NRA Report) and its provisions.

The Risk Based Approach involves specific measures and procedures in assessing the most cost effective and proportionate way to manage the money laundering and terrorist financing risks faced by the Company. Such measures and procedures include: Business-wide risk assessment; Customer Due Diligence; Obtaining a Holistic View; Monitoring and reviewing.

The above-mentioned measures and procedures are covering the areas below:

- identification and assessment of the money laundering and terrorist financing risks emanating from particular Customers, financial instruments, services, and geographical areas of operation of the Company and its Customers;
- documenting in the policies, measures, procedures and controls to ensure their uniform application across the Company by persons specifically appointed for that purpose by the board of directors;
- management and mitigation of the assessed risks by the application of appropriate and effective measures, procedures and controls;
- continuous monitoring and improvements in the effective operation of the policies, procedures and controls.

The application of appropriate measures and the nature and extent of the procedures on a risk-based approach depends on different risk-factors/ areas. Such risk-factors include the following:

    - Products, services and transactions;

- Customers;
- Distribution Channels;
- Countries and geographical characteristics;
- The volume and size of transactions
- Deviations from the anticipated level of transactions; and
- The nature and purposes of business transactions.

The AMLCO shall be responsible for the development of the policies, procedures and controls on a risk-based approach. Furthermore, the AMLCO shall also be responsible for the implementation of the policies, procedures and controls on a risk-based approach. The Internal Auditor shall be responsible for reviewing the adequate implementation of a risk-based approach by the AMLCO, at least annually.

6.1 Business-wide risk assessment: Methodology and Risk Factors

Business-wide risk assessments help the Company understand where it is exposed to ML/TF risk and which areas of its business it should prioritise in the fight against ML/TF. To that end, and in line with the Directive (EU) 2015/849, the Company identifies and assesses the ML/TF risk associated with the products and services it offers, the jurisdiction it operates in, the customers it attracts and the transaction or delivery channels it uses to service its customers. The Company applies appropriate measures and procedures, on a risk-based approach, taking steps proportionate to its nature and size, in order to identify and assess ML/TF risk across the Company's business.

In line with Directive (EU) 2015/849 the Company's risk assessment procedure consists of two related but distinct steps, which are:

- ML/FT risk identification and recording;
- ML/TF risk assessment;
- Design and implementation of measures and procedures to manage and mitigate the risks.

6.1.1 ML/TF risk identification and recording

The Company takes all necessary steps to find out which ML/TF risks it is, or would be, exposed to as a result of entering into a business relationship or carrying out an occasional transaction.

When identifying ML/TF risks associated with a business relationship or occasional transaction, the Company considers relevant risk factors including who the customer is, the countries or geographical areas they operate in, the particular products, services and transactions the Customer requires and the channels that the Company uses to deliver these products, services and transactions.

6.1.1.1 Sources of information

Where possible, information about these ML/TF risk factors shall come from a variety of sources, whether these are accessed individually or through commercially available tools or databases that pool information from several sources. The AMLCO in cooperation with the Back-Office department determines the type and numbers of sources on a risk-sensitive basis.

The Company always considers the following sources of information:

- the European Commission's supranational risk assessment;
- information from government, such as the government's national risk assessments, policy statements and alerts, and explanatory memorandums to relevant legislation;
- information from regulators, such as guidance and the reasoning set out in regulatory fines;
- information from Financial Intelligence Units (FIUs) and law enforcement agencies, such as threat reports, alerts and typologies; and
- information obtained as part of the initial CDD process.

On implementing appropriate measures and procedures on a risk based approach, and on implementing the customer identification and due diligence procedures, according to this Manual, the AMLCO should consult data, information and reports [e.g. customers from countries which inadequately apply Financial Action Task Force's (FATF), country assessment reports] that are published in following relevant organisations:

- FATF - www.fatf-gafi.org▪
- The EU Common Foreign & Security Policy (CFSP)- http://ec.europa.eu/external_relations/cfsp/sanctions/list/consol-list.htm
- the Council of Europe Select Committee of Experts on the Evaluation of Anti-Money Laundering Measures (MONEYVAL) - www.coe.int/moneyval▪
- the UN Security Council Sanctions Committees - www.un.org/sc/committees/▪
- the International Money Laundering Information Network (IMOLIN) - www.imolin.org▪
- the International Monetary Fund (IMF) – www.imf.org.
- KnowYourCountry - https://www.knowyourcountry.com/country-ratings-table
- the Joint Committee European Supervisory Authorities - https://www.esma.europa.eu/about-esma/governance-structure/joint-committee

- the Ministry of Foreign Affairs regarding the United Nations Security Council Resolutions or Decisions (Sanctions) or/and the European Union Council Decisions and Regulations (Restrictive Measures) - http://www.mfa.gov.cy/mfa/mfa2016.nsf/mfa35_en/mfa 35_en?OpenDocument
- the EU Sanctions Map - https://www.sanctionsmap.eu/#/main.
- the OFAC Sanctions List Search - https://sanctionssearch.ofac.treas.gov/
- the OFSI Consolidated List Search - https://sanctionssearchapp.ofsi.hmtreasury.gov.uk/

The Company may consider other sources of information in this context, which may include, among others:

- the company's own knowledge and professional expertise;
- information from industry bodies, such as typologies and emerging risks;
- information from civil society, such as corruption indices and country reports;
- information from international standard-setting bodies such as mutual evaluation reports or legally non-binding blacklists;
- information from credible and reliable open sources, such as reports in reputable newspapers;
- information from credible and reliable commercial organisations, such as risk and intelligence reports; and
- information from statistical organisations and academia.

6.1.1.2 Risk Factors

When identifying risks associated with a business relationship or occasional transaction, the following, inter alia, are the non-exhaustive risk factors which the Company considers with respect to money laundering and terrorist financing:

6.1.1.2.1 Customer risk factors

When identifying the risk associated with their Customers, including their Customers' beneficial owners, the Company considers the risk related to:

- the Customer's and the Customer's beneficial owner's business or professional activity;
- the political exposure of the beneficial owner of the Customer;
- the Customer's and the Customer's beneficial owner's reputation; and

- the Customer's and the Customer's beneficial owner's nature and behaviour.

6.1.1.2.2 Countries and geographical areas

When identifying the risk associated with countries and geographical areas, the Company considers the risk related to:

- the jurisdictions in which the Customer and beneficial owner are based;
- the jurisdictions that are the Customer's and beneficial owner's main places of business;
- the jurisdictions of the sources of funds and wealth for the beneficial owner of the Customer;
- the jurisdictions to which the customer and beneficial owner have relevant personal links; and
- the jurisdiction from where funds are received from or sent to.

6.1.1.2.3 Products, Services and Transactions Risk Factors

When identifying the risk associated with their products, services or transactions, the Company considers the risk related to:

- the level of transparency, or opaqueness, the product, service or transaction affords;
- the complexity of the product, service or transaction; and
- the value or size of the product, service or transaction.

6.1.1.2.4 Delivery Channel Risk Factors

When identifying the risk associated with the way in which the Customer obtains the products or services they require, the Company considers the risk related to:

- the extent to which the business relationship is conducted on a non-face-to face basis; and
- any introducers or intermediaries the firm might use and the nature of their relationship with the firm.

In accordance with Sections 63(2) and 64(3) of the AML Law the Company takes into consideration the non-exhaustive list of factors and types of evidence of potentially lower and higher risk situations set out in Annex II and Annex III of the said Law.

6.1.1.2.5 Lower risk indicators

- **Customer Risk Factors:**

- public companies listed on a stock exchange and subject to disclosure requirements, either by stock exchange rules or through law or enforceable means, which impose requirements to ensure adequate transparency of beneficial ownership;
- prudentially supervised companies whose regulatory framework and supervision is equivalent to the EU;
- public administrations or enterprises;
- customers that are resident in geographical areas of lower risk as set out below.

- **Product, service, transaction or delivery channel risk factors:**
  - Settlement methods through AML-equivalent institutions;
  - products where the risks of money laundering and terrorist financing are managed by other factors such as purse limits or transparency of ownership such as certain types of electronic money;
  - settlement to self-hosted wallets of a client.
- **Geographical risk factors:**
  - Member States;
  - third countries having effective AML systems;
  - third countries identified by credible sources as having a low level of corruption or other criminal activity;
  - third countries which, on the basis of credible sources such as mutual evaluations, detailed assessment reports or published follow-up reports, have requirements to combat money laundering and terrorist financing consistent with the revised FATF Recommendations and effectively implement those requirements.

6.1.1.2.6 Higher risk indicators

- **In Customer risk factors:**
  - the business relationship is conducted in unusual circumstances;
  - customers that are resident in geographical areas of higher risk as set out in below;
  - the customer's exposure to high-risk-jurisdictions;
  - legal persons or arrangements that are personal asset-holding vehicles;

- customers and/or companies in the ownership structure of the Customer that have nominee shareholders or shares in bearer form;
- businesses that are physical-cash-intensive;
- the ownership structure of the Customer appears unusual or excessively complex given the nature of the Customer's business.

- **Product, service, transaction or delivery channel risk factors:**
  - private banking;
  - products or transactions that might favour anonymity;
  - non-face-to-face business relationships or transactions, without certain safeguards, such as electronic signatures, relevant trust services as defined in Regulation (EU) No. 910/2014 or any other secure, remote or electronic identification process regulated, recognized, approved or accepted by the relevant national authorities;
  - payment received from unknown or unassociated third parties;
  - new products and new business practices, including new delivery mechanism, and the use of new or developing technologies for both new and pre-existing products;
  - trust accounts;
  - transactions related to oil, arms, precious metals, tobacco products, cultural artefacts, and other items of archaeological, historical, cultural and religious importance, or of rare scientific value, as well as ivory and protected species.

- **Geographical risk factors:**
  - countries identified by credible sources, such as mutual evaluations, detailed assessment reports or published follow-up reports, as not having effective AML systems;
  - countries identified by credible sources as having significant levels of corruption or other criminal activity;
  - connections to countries subject to sanctions, embargos or similar measures issued by, for example, the Union or the United Nations;
  - connections to countries providing funding or support for terrorist activities, or that have designated terrorist organisations operating within their country.

6.1.2 ML/TF risk assessment

6.1.2.1 Obtaining a holistic view

The Company takes a holistic view by gathering sufficient information to be satisfied that they have identified and assessed all relevant risks, including, where necessary, by applying additional CDD measures associated with a particular business relationship or occasional transaction.

These factors together will determine the level of ML/TF risk associated with a business relationship or occasional transaction.

6.1.2.2 Weighting risk factors

During Customers'/prospective Customers' risk-assessment, the AMLCO decides about the weight given to each of the factors which is likely to vary from each Customer's circumstances.

When weighting risk factors, the Company makes an informed judgement about the relevance of different risk factors in the context of a business relationship or occasional transaction and he/she allocates different scores to different factors. This can result in allocating different 'scores' to different factors; for example, we may decide that a customer's personal links to a jurisdiction associated with lower ML/TF risk is less relevant in light of the features of the product they seek or vice versa. Ultimately, the weight given to each of these factors is likely to vary from product to product and customer to customer (or category of customer).

The Company always makes sure that:

- weighting is not unduly influenced by just one factor;
- economic or profit considerations do not influence the risk rating;
- weighting does not lead to a situation where it is impossible for any business relationship to be classified as high risk;
- the provisions of Directive (EU) 2015/849 and/or The AML Law regarding situations that always present a high money laundering risk cannot be overruled by the Company's weighting.
- the Company is able to override any automatically generated risk scores where necessary. The rationale for the decision to override such scores should be documented appropriately.

In cases where an automated IT system is used to allocate overall risk scores to categorise business relationships or occasional transactions, the Company must obtain an understanding how the system works and how it combines risk factors to achieve an

overall risk score. As well as that, the Company must be satisfied that the scores allocated reflect its understanding of ML/TF risk and we will be able to demonstrate this to CySEC.

6.1.2.3 Customer Categorisation

Each of the existing or prospective Customers of the Company is classified into one of the three categories, depending on the assessed level of risks possibly associated with business relationship with such Customer – Low Risk, Normal (Medium) Risk, High Risk.

The AML function shall decide on the most appropriate way to categorise risk. This will depend on the nature and size of the Company's business and the types of ML/TF risk it is exposed to.

Further to the above, the Company has developed a documented Risk Scoring Matrix taking into account the relevant legislative framework. The Risk Scoring Matrix can be found in **Annex VI** of this AML Manual.

It is important to note that risk factors laid down in this Manual are not exhaustive, nor is there an expectation that the Company will consider all risk factors in all cases. The Company will take a holistic view of the risk associated with the situation and note that, unless Directive (EU) 2015/849 or Cyprus legislation states otherwise, the presence of isolated risk factors does not necessarily move a relationship into a higher or lower risk category.

6.1.2.3.1 Low Risk Customers

When assessing the risks of money laundering and/or terrorist financing which relate to types of Customers, geographical areas and particular products, services, transactions or delivery channels, the Company always takes into account at least the factors of potentially lower risk situations set out in this Manual.

The following situations may contribute to reducing risk:

- The Customer is an institutional investor whose status has been verified by an EEA government agency, for example a government-approved pensions scheme;
- The Customer is a government body from an EEA jurisdiction;
- The Customer is a financial institution established in an EEA jurisdiction.

6.1.2.3.2 Medium Risk Customers

Normal (or Medium) Risk Customers are customers that are not categorised in the Low or High-Risk Categories following the risk-assessment. The Customers classified into this category do not represent any significant risks for a Company. They may include persons registered or domiciled in third countries, offshore and former offshore jurisdictions, Customers without any track record of their activities, newly registered companies.

6.1.2.3.3 High Risk Customers

In accordance with paragraph 64 of the AML Law the following categories are always classified as High-Risk:

- When it is transacting with a natural person or legal entity with an establishment in a high-risk third country;
- In cross border correspondent relationships with a third-country respondent institution, a credit institution and financial institution;
- In transactions or business relationships with PEPs.

In situations where during the risk-assessment there will be identified significant high-risk factors, the Customer will be categorized as High Risk.

6.2 Design and implementation of measures and procedures to manage and mitigate the risks

When the Company identifies the risks it faces, then it designs and implements the appropriate measures and procedures for the correct management and mitigation, which involve:

- adaptation of the Customer due diligence procedures in respect of Customers in line with their assessed money laundering and terrorist financing risk;
- requiring the quality and extent of requisite identification data for each type of Customer to be of a certain standard (e.g. documents from independent and reliable sources, third person information, documentary evidence);
- obtaining additional data, information and supporting documents from the Customers, where this is appropriate for the proper and complete understanding of their activities and source of funds and wealth and for the effective management of any increased risk emanating from the particular business relationship or the occasional transaction;
- frequently searches of the Customer and persons related and/ or connected with the Customer in screening tools and other databases/ lists for PEPs and sanctions and
- ongoing monitoring of high-risk Customers' transactions and activities.

The risk assessment and the implementation of the measures and procedures of the paragraph above, result in the categorisation of Customers. The said categorisation is based on criteria which reflect the possible risk causes and each category is accompanied with the relevant due diligence procedures, regular monitoring and controls.

The Company shall prepare and maintain lists of customers, which contain, inter alia, the Customers' names and jurisdiction, account numbers, and date of commencement of

business relationship. The said lists shall be promptly updated with all new or existing Customers that the Company has determined, in the light of additional information received, that fall under one of the risk categories.

The Company is, at all times, in a position to demonstrate that the extent of measures and control procedures that apply are proportionate to the risk it faces for the use of services provided, for the purpose of money laundering or terrorist financing.

The Company shall monitor and evaluate, on an ongoing basis, the effectiveness of the measures and procedures that have been introduced above. For more details, please refer to Section: Ongoing Monitoring Procedure.

6.3 Dynamic Risk Management

Risk management is a continuous process, carried out on a dynamic basis. Risk assessment is not an isolated event of a limited duration. Customers' activities change as well as the services and financial instruments provided by the Company change. The same happens to the financial instruments and the transactions used for money laundering or terrorist financing. The measures, the procedures and controls are kept under regular review so that risks resulting from changes in the characteristics of existing customers, new customers, services and financial instruments are managed and countered effectively. These reviews shall be duly documented, as applicable, and form part of the Annual Money Laundering Report.

7. Customer Identification, Construction of Economic Profile and Due Diligence Procedures

7.1 Application of customer due diligence and identification procedures

As a regulated entity carrying out financial or other business activities, the Company is obliged to comply with the Applicable Legislation and apply appropriate systems and procedures in relation to Customer identification and CDD.

In accordance with provisions of Article 60 of the AML Law Due Diligence measures are applied in the following cases:

- When establishing a business relationship;
- When carrying out an occasional transaction which:
    - amounts to an equal to or higher than fifteen thousand (15,000) Euro whether the transaction is carried out in a single operation or in several operations which appear to be linked; or
    - Constitutes a transfer of funds as defined in Section 3 (9) of Regulation (EU) 2015/ 847 of an amount exceeding one thousand (1000) Euro.

- When there is a suspicion of money laundering or terrorist financing, regardless of the amount or any derogation, exemption or minimum threshold pursuant to the provisions of the AML Law;
- When there are doubts about the veracity or adequacy of previously obtained customer identification data.
- In the case of persons trading in goods, when carrying out occasional transactions in cash amounting to ten thousand (10000) Euro or more, whether the transaction is carried out in a single operation or in several operations which appear to be linked.

The Company shall apply each of the CDD measures set out in Article 13(1) of Directive (EU) 2015/849 but may determine the extent of these measures on a risk- sensitive basis. The Company's decision on CDD measures is to apply full CDD prior to account opening for all new customers and will not avail itself of the above exemptions CDD measures help the Company better understand the risk associated with individual business relationships or occasional transactions.

Initial CDD will include at least risk-sensitive measures to:

- identify the Customer and, where applicable, the Customer's beneficial owner or legal representatives;

It is noted that, the Company needs to collect proof of registration in the relevant register or extract of information on the beneficial owner from the relevant register, for instance, the Central Register of Trust, Register of Crypto Asset Service Provider etc.

- verify the Customer's identity on the basis of reliable and independent sources and, where applicable, verify the beneficial owner's identity in such a way that the firm is satisfied that it knows who the beneficial owner is; and
- establish the purpose and intended nature of the business relationship.

7.2 Responsible Department for KYC & Approved Customers

All of the Customer's documents should be uploaded online and then an assigned Back-Office representative checks the respective documents. The checking process is started by the Back Office, which approves/rejects each KYC document and subsequently approves or rejects the account opening of a prospective client. If all documents are received, but if a document is missing or the Customers skips the document upload, the representative contacts the Customer and collects all necessary documentation, uploading it to the Customer's profile, and submits the Customer for approval.

Furthermore, the Head of Back-Office Department shall be responsible to collect and file the relevant KYC documents, according to the record keeping procedures described in this Manual.

7.3 Customer Identification and Construction of an Economic Profile

The Company shall be satisfied that it is dealing with a real person and, for this reason, obtains sufficient evidence of identity to verify that the person is who he claims to be.

It is noted that no single form of identification can be fully guaranteed as genuine or representing correct identity and, consequently, the identification process will generally need to be cumulative.

It is never acceptable to use the same verification data or information for verifying the Customer's identity and verifying its home address.

Furthermore, the Company verifies the identity of the beneficial owners of the Customers' accounts. The Company obtains adequate data and information to understand the ownership and control structure of the Customer. Irrespective of the customer's type (e.g. natural or legal person, sole trader or partnership), the Company requests and obtains sufficient data and information regarding the Customer's business activities and the expected pattern and level of transactions. However, it is noted that no single form of identification can be fully guaranteed as genuine or representing correct identity and, consequently, the identification process will generally need to be cumulative.

In the case of beneficiaries of trusts or of similar legal arrangements that are designated by particular characteristics or class, the Company shall obtain sufficient information concerning the beneficiary so as to be satisfied that it will be able to establish the identity of the beneficiary at the time of the pay out or at the time of the exercise by the beneficiary of its vested rights. The Company shall take all necessary reasonable steps to ensure the verification of the identity of the natural person, which holds the position of Managing Director and keeps a record of the actions taken, as well as any difficulties found during the verification process.

The verification of the Customers' identification is based on reliable data and information issued or obtained from independent and reliable sources, meaning those data, and information that are the most difficult to be amended or obtained illicitly.

The Company utilises various methods in order to check and verify whether its prospective Customers fall under any restriction, before the establishment of the Business Relationship, inter alia:

- World Compliance Check
- Online checks in Anti-Money Laundering Country Risk Libraries;
- Sanctions Lists, such as EU, OFAC, OFSI EU Terror list, United Nations, Bank of England etc.

A person's residential and business address is an essential part of his identity and, thus, a separate procedure for its verification. The Company shall not accept the same verification data or information for verifying the Customer's identity and verifying its home address.

7.4 Identification of the Ultimate Beneficial Owners (UBOs)

As regards the beneficial ownership, the Company shall obtain and hold adequate, accurate and recent information on the customer's beneficial ownership, including the details of the beneficial interests held. The beneficial owners, including the owners through shares, voting rights, ownership interest, bearer shareholdings or control via other means, shall provide the Company with all this information. The said information shall be made accessible to CySEC, in a timely manner upon request.

The Company should verify the identity of the beneficial owners (as these are defined in this Manual) of the Customers' accounts. In the cases of legal persons, the Company obtains adequate data and information to understand the ownership and control structure of the Customer. Irrespective of the Customer's type (e.g. legal person, sole trader or partnership), the Company requests and obtains sufficient data and information regarding the customer's business activities and the expected pattern and level of transactions. However, it is noted that no single form of identification can be fully guaranteed as genuine or representing correct identity and, consequently, the identification process will generally need to be cumulative.

Further to the aforesaid, the Company shall acquire and keep adequate and up-to-date information on beneficial owners, including the details of the rights held by beneficial owners as follows:

- the name and surname, the date of birth, the nationality and the address;
- the type and holding percentages through direct or indirect ownership;
- the identity document number of the natural person, his / her type of document and the country of issue of the document;
- the date on which the natural person became the beneficial owner; and
- the date on which there were changes in the details of the natural person or ceased to be a true beneficiary

Beneficiaries, including beneficiaries through shares, voting rights, property rights, shares bearer or control by other means, companies and other legal entities, provide to companies and other legal entities with all necessary information in order to comply with the requirements referred to in above paragraph.

Moreover, and referred to in paragraph above the beneficiaries shall ensure the provision of information by the Company on the beneficial owner in a corresponded relationship and in addition, information in the course of the due diligence and Client identification measures specified in the AML Law and CySEC AML Directive.

The Company shall send notice to any natural person who has reasonable grounds to believe that he is the beneficial owner. The notice shall be in writing, signed by an official of

the Company and sent to any natural person for whom there are reasonable grounds to be considered a true beneficiary, who is required to:

- state whether or not he is the beneficial owner of the Customer or other legal entity; and
- if any, provide in writing or update the information referred to in paragraph 1, with a notice no later than fifteen (15) days from the date of the notice.

The Company is not required to send a notice under this paragraph if -

- the Company has already been informed of the status of a natural person as a beneficial owner and has been provided with all the information referred to in above), or
- the information and data have already been provided to the Company and another legal entity either by a member of the company or by this natural person or by another person.

The information kept in the central register of beneficial owners of companies and other legal entities referred above is adequate, accurate and current. Companies need to report to the Registrar of Companies and Official Receiver any difference they detect between the information on the beneficial owner included in the Register and those at their disposal.

Provided that the Company is not solely relying on the information held in the central register of beneficial owners and other legal entities referred to in sub-paragraph (4) in article 61A of the Law, in order to meet the requirements of the due diligence and Client identification measures. The requirements are met using a risk-based approach.

The Company as Obliged entity, by the Legitimate Interest shall have access to the following data, subject to its prior electronic registration:

- the name,
- month and year of birth,
- nationality and country of residence of the beneficial owner,
- as well as the nature and extent of the rights it holds.

Provided that Legitimate Interest means solely the interest of the Company in the fight against ML/TF as provided by the Law and the access to information about the beneficial owner is made in accordance with the provisions of the Personal Data Processing (Protection of Individuals) Law.

According to the provisions relating to identification procedures and customers due diligence requirements, proof of identity is satisfactory if:

- it is reasonable possible to establish that the Customer is the person he claims to be; and

- the person who examines the evidence is satisfied, in accordance with the procedures followed under the AML Law, that the client is actually the person he claims to be.

The data and information that are collected before the establishment of the business relationship, with the aim of constructing the Customer's economic profile and, as a minimum, include the following:

- the purpose and the reason for requesting the establishment of a business relationship;
- the anticipated account turnover, the nature of the transactions, the expected origin of incoming funds to be credited in the account and the expected destination of outgoing transfers/payments;
- the Customer's profession, employer name and business operations in case of a customer-natural person;
- the Customer's size of wealth and annual income and the clear description of the main business/professional activities/operations.

The data and information that are used for the construction of the Customer's-legal person's economic profile include, inter alia:

- the name of the company,
- the LEI of the company,
- the country of its incorporation,
- form of Company,
- trade name,
- the head offices address,
- license number (if applicable),
- type of license (if applicable),
- wallet addresses (hosted and self-hosted, if applicable),
- the names and the identification information of the beneficial owners, directors and authorised signatories,

- financial information, including balance sheet, own funds, etc.,
- ownership structure of the group that the company may be a part of (country of incorporation of the parent company, subsidiary companies, entities in the chain of ownership and associate companies, percentages of ownership main activities and financial information).

The said data and information are recorded in a separate electronic form designed for this purpose which is retained in the Customer's file along with all other documents. The said form is updated regularly or whenever new information emerges that needs to be added to the economic profile of the Customer or alters existing information that makes up the economic profile of the Customer.

Transactions executed for the Customer are compared and evaluated against the anticipated account's turnover, the usual turnover of the activities/operations of the customer and the data and information kept for the Customer's economic profile. Significant deviations are investigated and the findings are recorded in the respective customer's file. Transactions that are not justified by the available information on the customer, are thoroughly examined so as to determine whether suspicions over money laundering or terrorist financing arise for the purposes of submitting an internal report to the AMLCO, and then by the latter to MOKAS, according to this Manual.

The construction of the customer's economic profile according to the above provisions shall be undertaken by the AML department followed by the AMLCO. In this respect, the data and information collected for the construction of the economic profile shall be fully documented and filed, as applicable, by the AML department. The Customer's economic profile shall be updated during the ongoing monitoring performed by the AMLCO, a risk-based approach as explained in this Manual.

7.5 Basic Due Diligence

Whenever a Customer requests the establishment of a Business Relationship or an occasional transaction, the Company should request the following CDD documents (the "CDD Documents") for the natural persons (i.e. directors, shareholders):

- Proof of Identity (POI) – Natural Persons:
    - Acceptable documents:
- For natural persons not residing in the Republic, passports shall always be requested from the Clients not residing in the Republic and, if available, official national identity cards issued by the competent authorities of their country of origin shall be obtained.
- for natural persons residing in the Republic valid Passport from Customer's country of origin or Identification card;
    - Proof of Identity documents must include the following information:

- Number of the document;
- Full Name;
- Photo;
- Date and place of birth;
- Date of issue and expiry;
- Issuing Authority;
- Signature (if applicable).

The Company, upon receipt of Proof of Identity verifies precisely whether a Customer is included in the relevant list of persons' subject to financial sanctions, issued by the United Nations or the European Union or OFAC or OFSI. Proof of Residence (POR) – Natural Persons – issued within the last three (3) months:

    - Acceptable documents:

- Utility bill, such as electricity, water, landline telephone and internet, municipality bills, common expenses etc;
- Local Authority Tax statements;
- Insurance;
- Bank Statement.

    - Proof of address documents must include the following information:

- Full name of the Customer,
- Full residence address,
- Date of issue,
- Issuing company/institution (name, logo, stamp or at least details of the company/institution)

Utility bills including only P.O. Boxes are not accepted.

- Proof of Payment (depending on the options below):

Further to the above, the Company shall request further details and identify the origin of the funds deposited in the Customers' accounts, as well as the first deposit (FTD) according to the procedures outlined below.

- Credit/Debit Card:

    - Copy of card (front and back).

    - The front should present the last 4 digits (Customer should hide the rest).
    - The Customer should hide the CVV code.
    - The front should include the Customer name and the expiration date.
    - The card must be signed.
- Wire transfer:
    - Swift/BIC copy.
    - Bank Statement or another document showing the Account Owner, Account No., Swift Number, IBAN and the Deposit.
- Shared wallets such as Skrill etc.:
    - Screenshot of the transaction including Customer's name, account number and transaction amount.
    - Valid Permit residence, if applicable;
    - Source of fund and/or wealth verification document, if applicable.

All documents must be colour copy and the responsible person must:

- Ensure that the document is authentic and not modified;
- The copy should be provided in a way that its borders are visible;
- Compare the details registered in CRM and ensure they are matching with the provided document;
- Ensure that the quality of the document is sufficient.
- Ensure that the document is valid (i.e. passports).
- Ensure that the date of issue is in 3 months.

Copies of the pages containing the relevant information from the said documents are obtained and kept in the Customer's file.

If in doubt as to the genuineness of any document (passport, national identity card, or documentary evidence of address), the AMLCO should seek verification of the Proof of Identity with an Embassy or the Consulate of the issuing country or a reputable credit or financial institution situated in the Customer's country of residence.

The electronic identity verification is carried out either directly by the Company or through a third party. Both the Company and the said third parties cumulatively satisfy the following conditions:

- The electronic databases kept by the third party or to which the third party or the Company has access are registered to and/or approved by the Data Protection Commissioner in order to safeguard personal data (or the corresponding competent authority in the country the said databases are kept).

- Electronic databases provide access to information referred to both present and past situations showing that the person really exists and providing both positive information (at least the customer's full name, address and date of birth) and negative information (i.e. committing offences such as identity theft, inclusion in deceased persons records, inclusion in sanctions and respective measures' list by the Council of the European Union and the UN Security Council, OFAC and OFSI.

- Electronic databases include a wide range of sources with information from different time periods with real-time update and trigger alerts when important data alter.

- Transparent procedures have been established allowing the Company to know which information was searched, the result of such search and its significance in relation to the level of assurance of the customer's identity verification.

- Procedures have been established allowing the company to record and save the information used and the result in relation to identity verification.

Also, the Company evaluates the results of electronic verification in order to ensure that proof of identity is satisfactory. According to Article 61(3) of the AML Law, proof of identity is satisfactory if:

- it is reasonable possible to establish that the customer is the persons he claims to be; and

- the person who examines the customer's evidence is satisfied, in accordance with the procedures under the AML Law, that the customer is actually the person he claims to be.

The Company establishes mechanisms for the carrying out of quality controls in order to assess the quality of the information on which it intends to rely.

The information must come from two or more sources. The electronic verification procedure shall at least satisfy the following correlation standard:

- Identification of the Customer's full name and current address from one source, and

- Identification of the Customer's full name and either his current address or date of birth from a second source.

In addition, as part of the identity verification via the electronic verification the Company receives a confirmation of a facial recognition which is performed by any of the following methods:

- Selfie upload
- Liveliness check
- Recorded video call

For the purpose of carrying out the electronic verification, the Company shall establish procedures in order to satisfy the completeness, validity and reliability of the information to which it has access. It is provided that the verification procedure shall include a search of both positive and negative information.

The requirements of Article 64(1)(a) of the AML Law and of paragraph 24 and Fourth Appendix of the CySEC AML Directive shall also apply to companies or other legal persons requesting to establish a business relationship or an occasional transaction by mail, telephone, or through the internet. The Company shall take additional measures to ensure that the companies or other legal persons operate from the address of their main offices and carry out legitimate activities in all respects.

However, due to the difficulty in matching the Customer with the collected identification data, the Company shall apply enhanced Customer Identification and due diligence measures, in line with this Manual, so as to effectively mitigate the risks associated with such business relationship or occasional transaction.

7.6 Specific Customer Identification Procedures

Specific Customer Identification Procedures and Information Requested from Different Categories of Customers. Based on the Law and the Directive, the following customer identification procedures are applied within the Company:

7.6.1 Natural persons residing in the Republic

The Company ascertains the true identity of natural persons who are residents of the Republic Cyprus by obtaining the following information:

- true name and/or names used as these are sated on the official identity card or passport,
- full permanent address in the Republic, including postal code,
- telephone (home and mobile) and fax numbers (if any),
- e-mail address, if any,
- date and place of birth,
- nationality, and

- details of the profession and other occupations of the customer including the name of employer/business organization.

The acceptable method for the verification of the identification of a Customer's identity is the reference to an original document which is issued by an independent and reliable source that carries the Customer's photo.

After the Company is satisfied with the Customer's identity from the original identification documents presented, it keeps copies of the pages containing all relevant information which are certified, by the Company, as true copies of the original documents.

In addition to the name verification, it is important that the Customer's permanent address is also verified by using one of the following ways:

- visit at the place of residence (in such a case, the Company's officer who carries out the visit prepares a memo which is retained in the Customer's file, or
- the production of a recent (up to 3 months) utility bill, local authority tax bill or a bank statement or any other document same with the aforesaid (to protect against forged or counterfeit documents, the prospective customers are required to produce original documents).

In addition to the above, the procedure for the verification of a Customer's identity is reinforced if the said Customer is introduced by a reliable staff member of the Company, or by another existing reliable customer who is personally known to a member of the Board of Directors. Details of such introductions are kept in the customer's file.

7.6.2 Natural persons not residing in the Republic

For Customers who are not residing in the Republic, in addition to the information collected during the present Specific Customer Identification Procedures, the Company, without prejudice to the application on a risk sensitive basis, requires and receives information on public positions which the prospective customer holds or held in the last twelve months as well as whether he is a close relative or associate of such individual, in order to verify if the customer is a politically exposed person, according to point (2) of the Fifth Appendix of the CySEC AML Directive.

For those customers not residing in the Republic, passports are always requested and, if available, official national identity cards issued by competent authorities of their country of origin are obtained and certified true copies of the pages containing the relevant information from the said documents are obtained and kept in the customers' files. In addition, it is advised, if in doubt for the genuineness of any document (passport, national identity card or documentary evidence of address), to seek verification of identity with an Embassy or the Consulate of the issuing country or a reputable credit or financial institution situated in the customer's country of residence.

In addition to the aim of preventing money laundering and terrorist financing, the abovementioned information is also essential for implementing the financial sanctions imposed against various persons by the United Nations, the European Union, OFAC and OFSI. In this regard, passport's number, issuing date and country as well as the customer's date of birth always appear on the copies of documents obtained, so that the Company would be in a position to verify precisely whether a customer is included in the relevant list of persons subject to financial Sanctions.

Identification of Customers with more than one citizenship:

The Company shall request and receive information from prospective customers during the account opening stage and during performance of ongoing CDD, e.g. review period, whether an individual client or the Beneficial Owner(s) of a legal entity client has/have dual citizenship. Relevant information should be collected in case that a client has more than one citizenship. In case of a customer or its Beneficial Owner with more than one citizenship, the Company shall request and obtain all the passports and/or identity cards of the concerned client and verify them accordingly according to the procedures specified in the relevant sections of this Manual (including carrying out the relevant screening). The Company should also request and collect information as to the reasoning of more than one citizenship. Moreover, the Company shall pay particular attention over customers who submit passports or identity cards issued by countries who run citizenship by investment programmes.

The Company shall check the date that the passport/identity card was issued, whether the client's name/surname is not native to the country of issue as well as whether the customer's nationality and/or place of birth is other than the country of the document issue. The said checks are indicators that a customer might have more than one citizenship. In case where a customer is found to have obtained more than one citizenship, the Company shall investigate the reasoning for the additional citizenships and decide according to its AML/CFT risk assessment whether this factor should be taken into consideration as a higher risk variable when determining the risk categorisation of a customer.

7.6.3 Joint accounts

In the cases of joint accounts of two or more persons, the identity of all individuals - Customers that hold or have the right to manage the account, are verified according to the procedures set in points (1) and (2) of the Fifth Appendix of the CySEC AML Directive.

7.6.4 Accounts of unions, societies, clubs, provident funds and charities

In the case of accounts in the name of unions, societies, provident funds and charities, the Company ascertains their purpose of operation and verifies their legitimacy by requesting the production of the articles and memorandum of association/procedure rules and registration documents with the competent governmental authorities (in case the law requires such registration). Furthermore, the Company obtains a list of the members of

board of directors/management committee of the above mentioned organizations and verifies the identity of all individuals that have been authorized to manage the account according to the procedures set in the present Section of the Manual.

7.6.5 Accounts of unincorporated businesses, partnerships and other persons with no legal substance

In the case of unincorporated businesses, partnerships and other persons with no legal substance, the identity of the directors, partners, beneficial owners and other individuals who are authorised to manage the account is verified according to the procedures set in the present Section of this Manual. In addition, in the case of partnerships, the original or a certified true copy of the partnership's registration certificate is obtained.

The Company obtains documentary evidence of the head office address of the business, ascertains the nature and size of its activities and receives all the information required according to the Directive for the creation of the economic profile of the business

The Company requests, in cases where it exists, the formal partnership agreement and obtains a mandate from the partnership authorizing the opening of the account and confirming authority to a specific person who will be responsible for its operation.

7.6.6 Accounts of legal persons

The Company takes all necessary measures for the full ascertainment of the legal person's control and ownership structure as well as the verification of the identity of the natural persons who are the beneficial owners and exercise control over the legal person, so that the Company is satisfied that it knows who the beneficial owner is, including, as regards legal persons, trusts, companies, foundations and similar legal arrangements, taking reasonable measures to understand the ownership and control structure of the customer.

The verification of the identification of a legal person that requests the establishment of a business relationship or the execution of an occasional transaction, comprises the ascertainment of the following:

- the registered number,
- the registered corporate name and trading name used,
- the full addresses of the registered office and the head offices,
- the telephone numbers, fax numbers and e-mail address,
- the members of the board of directors,
- the individuals that are duly authorized to operate the account and to act on behalf of the legal person,

- the beneficial owners of private companies and public companies that are not listed in a regulated market of a European Economic Area country or a third country with equivalent disclosure and transparency requirements'
- the correctness of the information reported by the beneficial owner from another third-party source (e.g., central registries of beneficial owners),
- the registered shareholders that act as nominees of the beneficial owners,
- the economic profile of the legal person, according to this Manual.

For the verification of the identity of the legal person, the Company requests and obtains, inter alia, original or certified true copies of the following documents:

- ➢ certificate of incorporation and certificate of good standing of the legal person,
- ➢ certificate of registered office,
- ➢ certificate of directors and secretary,
- ➢ certificate of registered shareholders in the case of private companies and public companies that are not listed in a regulated market of a European Economic Area country or a third country with equivalent disclosure and transparency requirements,
- ➢ certificate of good standing (issued within the last six months)
- ➢ memorandum and articles of association of the legal person,
- ➢ a resolution of the board of directors of the legal person for the opening of the account and granting authority to those who will operate it,
- ➢ In the cases where the registered shareholders act as nominees of the beneficial owners, a copy of the trust deed/agreement concluded between the nominee shareholder and the beneficial owner, by virtue of which the registration of the shares on the nominee shareholder's name on behalf of the beneficial owner has been agreed.
- ➢ documents and data for the verification, according to the provisions of the present Directive, the identity of the persons that are authorized by the legal person to operate the account, as well as the registered shareholders and beneficial owners of the legal person.

Where deemed necessary for a better understanding of the activities, sources and uses of funds/assets of a legal person, the Company obtains copies of its latest audited financial statements (if available), and/or copies of its latest management accounts.

For legal persons incorporated outside the Republic, the Company requests and obtains documents similar to the above.

As an additional due diligence measure, on a risk-sensitive basis, the Company may carry out a search and obtain information from the records of the Registrar of Companies and Official Receiver of the Republic (for domestic companies) or from a corresponding authority in the company's (legal person's) country of incorporation (for foreign companies) and/or request information from other sources in order to establish that the applicant company (legal person) is not, nor is in the process of being dissolved or liquidated or struck off from the registry of the Registrar of Companies and Official Receiver and that it continues to be registered as an operating company in the records of the Registrar of Companies and Official Receiver of the Republic or by an appropriate authority outside the Republic. It is pointed out that, if at any later stage any changes occur in the structure or the ownership status or to any details of the legal person, or any suspicions arise emanating from changes in the nature of the transactions performed by the legal person via its account, then it is imperative that further enquiries should be made for ascertaining the consequences of these changes on the documentation and information held by the Company for the legal person and all additional documentation and information for updating the economic profile of the legal person is collected.

In relation to the verification of the beneficial owners of a legal person, the Company shall also make use of the information included in the central registry of beneficial owners of companies and other legal entities. It is, however, noted that the Company shall not rely exclusively on the information included in the registry for complying with its obligations of client due diligence and identification, and shall apply a risk-based approach. Any inconsistencies noted between the information included in the central registry and the information in relation to the beneficial owners which are at the Company's disposal, shall be reported to the Registrar of Companies.

In the case of a Customer-legal person that requests the establishment of a business relationship or the execution of an occasional transaction and whose direct/immediate and principal shareholder is another legal person, registered in the Republic or abroad, the Company, before establishes a business relationship or executes an occasional transaction, verifies the ownership structure and the identity of the natural persons who are the beneficial owners and/or control the other legal person.

Apart from verifying the identity of the beneficial owners, the Law requires that the persons who have the ultimate control over the legal person's business and assets are identified. In the cases that the ultimate control rests with the persons who have the power to manage the funds, accounts or investments of the legal person without requiring authorization and who would be in a position to override the internal procedures of the legal person, the Company, verifies the identity of the natural persons who exercise ultimate control as

described above even if those persons have no direct or indirect interest or an interest of less than 25% plus one share in the legal person's ordinary share capital or voting rights.

In cases where the beneficial owner of a legal person, requesting the establishment of a business relationship or the execution of an occasional transaction, is a trust set up in the Republic or abroad, the Company must ascertain in a legal substance, the name and the date of establishment of the trust and verify the identity of the trustor, trustee, protector (if any) and beneficiaries according to the customer identification procedures prescribed in the AML Law.

7.6.7 Investment funds, mutual funds and firms providing financial or investment services

Without prejudice of the provisions of the AML Law, the Company may establish and maintain business relationships or execute occasional transactions with persons who carry out the above services and activities which are incorporated and/or operating in countries of the European Economic Area or a third country which according to a decision of the Advisory Authority for Combating Money Laundering Offences and Terrorist Financing it has been determined that applies requirements equivalent to those laid down in the European Union Directive, provided that:

- the said persons possess the necessary license or authorization from a competent supervisory/regulatory authority of the country of their incorporation and operation to provide the said services, and
- are subject to supervision for the prevention of money laundering and terrorist financing purposes.

In the case of the establishment of a business relationship or the execution of an occasional transaction with persons who carry out the above services and activities and which are incorporated and/or operating in a third country other than those mentioned in first bullet above, the Company requests and obtains, in addition to the abovementioned, in previous points, documentation and the information required for the identification and verification of persons, including the beneficial owners, the following:

- a copy of the license or authorization granted to the said person from a competent supervisory/regulatory authority of its country of incorporation and operation, whose authenticity should be verified either directly with the relevant supervisory/regulatory authority or from other independent and reliable sources, and
- adequate documentation and sufficient information to fully understand the control structure and management of the business activities as well as the nature of the services and activities provided by the Customer.

In the case of investment funds and mutual funds the Company, apart from identifying beneficial owners, obtains information regarding their objectives and control structure,

including documentation and information for the verification of the identity of investment managers, investment advisors, administrators and custodians.

7.6.8 Trust Accounts

When the Company establishes a business relationship or carries out an occasional transaction with trusts, it must ensure that all relevant information is obtained and all necessary procedures are followed, as these kinds of accounts are considered of higher risk, and enhanced due diligence procedures should be followed, according to the CySEC AML Directive.

For Trust accounts the Company shall apply the following:

- When the Company establishes a Business Relationship or carries out an Occasional Transaction with trusts, it shall ascertain the legal substance, the name and the date of establishment of the trust and verify the identity of the trustor, trustee and Beneficial Owners, according to the Client identification procedures prescribed in the relevant section of this Manual.
- Furthermore, the Company shall ascertain the nature of activities and the purpose of establishment of the trust as well as the source and origin of funds requesting the relevant extracts from the trust deed and any other relevant information from the trustees. All relevant data and information shall be recorded and kept in the Client's file.

7.7 Transactions that favour anonymity

In the case of Customer's transactions via internet, phone, fax or other electronic means where the Customer is not present as to verify the authenticity of his signature or that he is the real owner of the account or that he has been properly authorised to operate the account, the Company applies reliable methods, procedures and control mechanisms over the access to the electronic means so as to ensure that it deals with the true owner or the authorised signatory of the account. In the cases where the transaction instructions are via the internet – the Customer can use his login details and/or electronic signature to verify its authorization.

7.8 Time of application of the Customer Identification and Due Diligence Procedures

Following the provisions of Applicable Legislations, the Company must perform the obligatory identification of each Customer and verification of identity of each Customer and, where applicable, its beneficial owners before the establishment of a business relationship or the carrying out of the transaction. In cases where the Company concludes a new business relationship with a company or other legal entity or with a trust or similar legal entity settlement, subject to the obligation to record information on the beneficial

owner in the relevant register that obliged entity collect proof of registration in the relevant register or extract of information on the beneficial owner from the relevant register.

By way of exemption to the general rule, and subject to the controls outlined here below, it is possible to allow the verification of the identity of the Customer and the beneficial owner to be completed during the establishment of a business relationship, provided thatALL the below conditions are met:

- this is necessary in order not to interrupt the normal contact of business,
- where there is low risk of money laundering or terrorist financing accruing; and
- where the verification procedure is completed as soon as possible after the initial contact.

The Company's decision on CDD measures is to apply full CDD prior to account opening for all new Customers and not to avail itself of such exemptions.

In relation to the exemption rule mentioned above, the risk may be assessed as low when, as a minimum and among others, all the following conditions are taken into consideration:

- If the verification of the Customer/beneficial owner's identity has not been completed, the cumulative amount of deposited funds of a Customer/beneficial owner should not exceed two thousand (2,000) Euro, irrespective of the number of accounts the Customer holds with the Company. The amount of two thousand (2,000) Euro does not automatically categorise the business relationship with the customer as low risk. It is noted that the Company should assess each business relationship's risk in accordance with the Applicable Legislations.
- The Company accepts deposits only from a bank account (or through other means that are linked to a bank account e.g. credit card), that is in the name of the Customer with which it establishes a business relationship.
- The cumulative time in which the verification of the identity of a Customer/beneficial owner is completed, must not exceed 15 days from the initial contact.
- It is noted that the 'initial contact' takes place the moment that the Customer either accepts the terms and conditions or makes his first deposit, whichever comes first.
- Within the timeframe of 15 days from initial contact, the Company takes all reasonable measures to ensure that the percentage of Customers that have not complied with the request to submit verification documents, is considerably low, e.g. the Company issues requests/reminders to the

customer/beneficial owner informing them of their obligation to submit the requested documents for the verification of their identity.

- Where the verification of the Customer/beneficial owner's identity has not been completed during the designated timeframe of 15 days, the commencement of a business relationship must be terminated on the date of the deadline's expiry and all deposited funds must be returned to the Customer/beneficial owner, in the same bank account from which they originated. The procedure for returning the funds must occur immediately, regardless of whether the customer has requested the return of their funds or not. The returned funds (deposits) include any profits the Customer has gained during his transactions and deducting any losses incurred.
- No funds are withheld and no accounts are frozen, save for those cases of suspicion of money laundering, where the Company is under obligation to immediately report their suspicion to MOKAS in the designated procedure stated in the AML Law and CySEC AML Directive.

It is the responsibility of the Back Office Department to warn new customers appropriately, sufficiently in due time of the above procedure, including for example the policy for treating open positions, the procedure for possible return of funds, and receive their explicit consent as to the procedure that is to be followed, before the establishment of the business relationship.

In addition, the Back Office Department shall send reminders to Customers frequently, within 15 days from the initial contact outlined above.

Once the Customer has completed the Know Your Customer/Due Diligence Procedures as outlined in this Manual, they will be set to full compliance and their Trading Account will be open for trading.

Declaration of Deposit MUST be obtained through the business relationship with the Customer.

Failure to provide FULL KYC information/documents within 15 calendar days will lead to reject the Customer, i.e. the Company shall not carry out any transaction through a bank account, establish a Business Relationship or carry out an Occasional Transaction and the AMLCO should assess if it is necessary to report the incident to MOKAS.

It is the Responsibility of the Back-Office Department to send notification to the Customers informing them either that their Account has been Opened or Rejected.

Customer identification and due diligence requirements shall be applied not only to all new Customers but also to existing Customers at appropriate times, depending on the level of ML/TF risk being involved (see Section "Ongoing Monitoring Procedures").

7.9 Reliance on Third Parties for Customer Identification and Due Diligence Purposes

Generally, the Company doesn't rely on third parties for Customer Identification and Due Diligence Purposes. However, in exceptional circumstances, subject to certain conditions pertaining, the Company may rely on the performance by third parties for some or all the elements of its Customer Identification process.

A "third person" for the purposes of this Section may also be any other person who is engaged in financial business, and/or accountants and/or independent legal professionals and/or persons providing to third parties trust and company services as included in the definition of the term "Other Business Activities" and who operate in countries outside the EEA and which according to a relevant decision of the Advisory Authority, have been determined that they impose equivalent procedures and measures for the prevention of Money Laundering and Terrorist Financing to those laid down by the Applicable Legislations.

It is provided that the above mentioned third persons have to fulfil the requirements set out in the subparagraphs below.

Such conditions are:

- Prior to commencing the business relationship, the Company shall apply due diligence/identification procedures to the third party;
- The Company shall establish an agreement with the third party which sets out the obligations of each party;
- The Company maintains a separate file for every third party, which contain the relevant information;
- The third person makes immediately available all data and information, which must be certified true copies of the originals, that were collected in the course of applying Customer identification and Due Diligence procedures;
- The commencement of a cooperation with any third party and the acceptance of customer identification data verified by a third party, are subject to approval by the AMLCO;
- The Company applies the appropriate Due Diligence measures on the third person with respect to his professional registration and procedures and measures applied from the third person for the prevention of money Laundering and terrorist financing, according to the provisions of the Applicable Legislations.;

For the purposes of this Section, third person means credit institutions or financial institutions or auditors or independent legal professionals or person providing trust and

company services, included in the definition of the term "Other Business Activities", falling under the Applicable Legislations and which:

- they are subject to mandatory professional registration, recognised by law; and
- they are subject to supervision regarding their compliance with the requirements of the Applicable Legislations.

The Company may rely on third parties only at the outset of establishing a business relationship or the execution of an occasional transaction for the purpose of verifying the identity of its Customers. Any additional data and information, according to the degree of risk, for the purpose of updating the Customer's economic profile or for the purpose of examining unusual transactions executed through the account, shall be obtained directly from the natural persons (directors, beneficial owners) who control and manage the activities of the Customer and have the ultimate responsibility of decision making as regards to the management of the customer's funds and assets.

Where the third party is an accountant, an independent legal professional, or a trust and company services provider from a country which is a member of the European Economic Area or a third country that the Advisory Authority for Combating Money Laundering and Terrorist Financing has determined to be applying procedures and measures for the prevention of money laundering and terrorist financing equivalent to the Applicable Legislations, then the Company, before accepting the Customer identification data verified by the said third party shall apply the following additional measures/procedures:

- the AMLCO or the appointed person shall assess and evaluate the systems and procedures applied by the third person for the prevention of Money Laundering and Terrorist Financing, as applicable.
- as a result of the assessment of point (a) above, the AMLCO must be satisfied that the third person implements Client identification and due diligence systems and procedures which are in line with the requirements of the Law.
- the AMLCO shall maintain a separate file for every third person of the present paragraph, where it stores the assessment report and other relevant information (for example identification details, records of meetings, evidence of the data and information in the point above).
- the commencement of the cooperation with the third person and the acceptance of Client identification data verified by the third person is subject to approval by the AMLCO, according to point (l) of Section 6.2 of the Manual.

It is clarified that for the purposes of this Section of the Manual, the terms financial institutions and persons engaged in financial business activities do not include currency exchange offices and money transmission or remittance offices.

The AMLCO shall be responsible for the implementation of the provisions mentioned in this Section of the Manual.

The Internal Auditor shall be responsible to review the adequate implementation of the provisions mentioned herein, at least annually.

8. Risk Management

The Company's risk assessment shall help to identify where the Company should focus its AML risk management efforts, both during customer onboarding at first time and for the duration of the business relationship.

The Customer due diligence measures and identification procedures are obligatory for each Customer, however, the Company may determine the extent of such measures on a risk-sensitive basis depending on the type of Customer, business relationship, product or transaction, provided the Company is able to demonstrate to the competent supervisory authorities that the extent of measures is appropriate in view of the risks of the use of its services for the purposes of money laundering and terrorist financing.

The findings from the business-wide risk assessment, will be used to help the Company's decisions on the appropriate level and type of CDD measures that will be applied to individual business relationships and occasional transactions, as well as to better understand the risk associated with individual business relationships or occasional transactions.

Where the risk associated with a business relationship is low, and to the extent permitted by Applicable Legislations, the Company may be able to apply simplified customer due diligence measures (SDD). Where the risk associated with a business relationship is increased, the Company shall apply enhanced customer due diligence measures (EDD).

8.1 Simplified Customer Identification and Due Diligence Procedures

According to the relevant sections of the AML Law and the CySEC AML Directive, the Company may apply simplified customer due diligence measures where the ML/TF risk associated with a business relationship has been assessed as low. Provided that the Company carries out sufficient monitoring of the transactions and the business relationships to enable the detection of unusual or suspicious transactions.

It is provided that the Company must collect sufficient information, so as to decide whether the Customer can be exempted according to the provisions of the AML Law. Such information may include the details of the Customer's license and registration information, analysis of applicable legislation of the Customer's country of domicile, as well as any relevant information obtained from available sources.

It must also be sufficient to give the Company enough information about the nature of the business relationship to identify any unusual or suspicious transactions. SDD does not exempt Company from reporting suspicious transactions to the MOKAS. Where there are

indications that the risk may not be low, for example where there are grounds to suspect that ML/TF is being attempted or where the firm has doubts about the veracity of the information obtained, SDD must not be applied. Equally, where specific high-risk scenarios apply and there is an obligation to conduct EDD, SDD must not be applied.

Applying simplified customer due diligence procedures does not absolve from the need of any CDD measures about the natural persons who can commit the Customer in any agreement. However, the Company may adjust the amount, timing or type of each or all of the CDD measures in a way that is commensurate to the low risk they have identified.

Such CDD measures include but are not limited to:

- adjusting the timing of CDD, for example where the product or transaction sought has features that limit its use for ML/TF purposes, for example by:
    - verifying the Customer's or beneficial owner's identity during the establishment of the business relationship; or
    - verifying the Customer's or beneficial owner's identity once transactions exceed a defined threshold or once a reasonable time limit has lapsed. The Company will make sure that:
        - this does not result in a de facto exemption from CDD, that is, the Company must ensure that the customer's or beneficial owner's identity will ultimately be verified;
        - the threshold or time limit is set at a reasonably low level (although, with regard to terrorist financing, the Company should note that a low threshold alone may not be enough to reduce risk);
        - the Company has systems in place to detect when the threshold or time limit has been reached; and
        - the Company does not defer CDD or delay obtaining relevant information about the customer where applicable legislation, for example Regulation (EU) 2015/847 or provisions in national legislation, require that this information be obtained at the outset.
- adjusting the quantity of information obtained for identification, verification or monitoring purposes, for example by:
    - verifying identity on the basis of information obtained from one reliable, credible and independent document or data source only; or
    - assuming the nature and purpose of the business relationship because the product is designed for one particular use only, such as a company pension scheme.

- adjusting the quality or source of information obtained for identification, verification or monitoring purposes, for example by:
    - accepting information obtained from the Customer rather than an independent source when verifying the beneficial owner's identity (note that this is not permitted in relation to the verification of the customer's identity); or
    - where the risk associated with all aspects of the relationship is very low, relying on the source of funds to meet some of the CDD requirements, for example where the funds are state benefit payments or where the funds have been transferred from an account in the customer's name at an EEA firm.
- adjusting the frequency of CDD updates and reviews of the business relationship, for example carrying these out only when trigger events occur such as the customer looking to take out a new product or service or when a certain transaction threshold is reached;
    - The Company must make sure that this does not result in a de facto exemption from keeping CDD information up-to-date.
- adjusting the frequency and intensity of transaction monitoring, for example by monitoring transactions above a certain threshold only.
    - Where the Company chooses to do this, it will ensure that the threshold is set at a reasonable level and that there are systems in place to identify linked transactions that, together, would exceed that threshold.

The information the Company obtains when applying SDD measures will enable the Company to be reasonably satisfied that its assessment that the risk associated with the relationship is low is justified. When assessing the risks of money laundering and/or terrorist financing which relate to types of clients, geographical areas and particular products, services, transactions or delivery channels, the Company shall take into account at least the factors of potentially lower risk situations listed in this Manual. It must also be sufficient to give the firm enough information about the nature of the business relationship to identify any unusual or suspicious transactions. SDD does not exempt an institution from reporting suspicious transactions to the MOKAS.

Where there are indications that the risk may not be low, for example where there are grounds to suspect that ML/TF is being attempted or where the Company has doubts about the veracity of the information obtained, SDD must not be applied. Equally, where specific high-risk scenarios apply and there is an obligation to conduct EDD, SDD must not be applied.

On the basis of an appropriate risk assessment that the risk of ML/TF is low, the Company may not apply certain Client due Diligence measures in respect of electronic money, provided that all of the following mitigation conditions are met:

- The payment instrument is not reloadable or has a maximum monthly payment transaction limit of one hundred and fifty (150) Euros that can be used for payment transactions only within the Republic,
- The maximum amount stored electronically does not exceed one hundred and fifty (150) Euros,
- The payment instrument is used exclusively for the purchase of goods or services,
- The payment instrument cannot be funded with anonymous electronic money,
- The issuer has adequate and sufficient systems and procedures to monitor transactions or business relationships in order to detect unusual or suspicious transactions.

However, the above provisions shall not apply in case there is a cash repayment or cash withdrawal of the monetary value of the electronic money and the amount exceeds fifty (50) Euros or, in the case of remotely payment transactions, where the payment exceeds fifty (50) Euros per transaction. Furthermore, the obligation to monitor on an on-going basis the transactions and the business relationship as well as detecting and reporting any suspicious transactions is not waived.

8.2 Enhanced Customer Identification and Due Diligence Procedures

Under the AML Law, the Company is required to have in place enhanced procedures where money laundering risk or terrorist financing is high in order to manage and mitigate those risks appropriately.

Enhanced customer due diligence measures need not be invoked automatically with respect to branches or majority-owned subsidiaries of obliged entities established in the Union which are located in high-risk third countries, where those branches or majority-owned subsidiaries fully comply with the group-wide policies and procedures. Those cases are handled by using a risk-based approach.

The Company shall apply enhanced customer due diligence measures, in addition to the cases mentioned above, in the cases listed below.

The Company shall examine, as far as reasonably possible, the background and purpose of all complex and unusually large transactions, and all unusual patterns of transactions, which have no apparent economic or business or lawful purpose and in particular, the Company shall increase the degree and nature of monitoring of the business relationship, in order to determine whether those transactions or activities appear suspicious.

The Company recognizes that there is a heightened risk of not knowing the Customer's true identity for certain types of accounts, such as an account opened in the name of an entity that is created, or conducts substantial business in, a jurisdiction that has been designated by relevant authorities as of primary money laundering concern or has been designated as non-cooperative by an international body such as the Financial Action Task Force (FATF).

The Company will apply the additional EDD measures in those situations where this is commensurate to the ML/TF risk they have identified. Such additional procedures for verifying the identity of certain Customers would include obtaining information about individuals with authority or control over such accounts. It is clarified that EDD measures cannot be substituted for regular CDD measures but must be applied in addition to regular CDD measures.

Enhanced due diligence measures to be followed by the Company where applicable, in addition to the measures under the simplified due diligence procedure, may include procedures to increase the quantity of information obtained for customer due diligence purposes or the quality of the information obtained to confirm the customer's or UBO's identity.

The Company may choose not to increase the quantity or quality of information obtained during the enhanced due diligence procedure in all cases but, in certain high-risk situations it may choose as more appropriate treatment, to focus on enhanced ongoing monitoring and review during the course of the business relationship. The Company shall determine the frequency and intensity of monitoring on a risk-sensitive basis, taking into account the nature, size and complexity of its business and the level of risk to which it is exposed.

These additional measures performed in specific cases of high-risk customers, include the following:

8.2.1 Non-Face to Face Customers

The Company may establish business relationships with non-face-to-face Customers, subject to enhanced due diligence measures are applied. The said measures are the following:

- The first payment of the operations is carried out through an account opened in the Customer's name with a credit institution operating and licensed in a Member State of the EEA or in a third country which was considered by the Company as of lower risk;

- A direct confirmation (or a true copy of the confirmation) of the establishment of business relationship is obtained through direct personal contact, as well as, the true name, address and passport/ identity card number of the customer, from a credit institution or a financial institution with which the Customer cooperates, operating in a Member Stare or in a third country which was considered by the Company as of lower risk;

- Telephone contact with the Customer in case of physical persons at their home or office or a legal entity at head office address provided, on a telephone number that has been verified from independent and reliable sources. During the telephone contact, the Company shall confirm additional aspects of the identity information submitted by the Customer during the procedure of opening his account;

- Communication via video call with the Customer, provided the video recording and screen shot safeguards apply to the communication. It is provided that a Customer, whose identity was verified hereunder, cannot deposit an amount over two thousand (2.000) Euros per annum, irrespective of the number of accounts that he keeps with the Company, unless an additional measure as specified in this section is taken in order to verify his identity. During the internet communication, the Company shall confirm additional aspects of the identity details submitted by the Customer when opening his account.

It is provided that the Company shall apply appropriate measures and procedures in order to:

- Confirm and monitor both the amount of the Customer's deposit and the risk for money laundering or terrorist financing and take additional measures to verify the Customer's identity depending on the degree of the risk.

- Ensure the normal conduct of business is not interrupted where the amount of the deposit exceeds the amount of two thousand (2.000) Euros per annum.

- Warn the Customer appropriately and in due time for the above procedure in order to obtain the Customer's express consent prior to its commencement.

- Form called "Personal Meeting Note" and "Skype Video Call Note" can be as an additional confirmation of Face-to-Face meeting [Annex III, point (c) of the Fifth Anti Money Laundering Directive (EU) 2018/843] with the prospective or existing Customers or any other person that has an intention to conduct the business relationship with the Company (such as an Introducing Broker or similar). In order to categorise Customer as Face-to-Face the employee who held a meeting must notify AMLCO about past meeting by e-mail. When a true copy of Customers' document is provided after face-to-face meetings, AML Department upload scan-copies to Customers' profiles and store the true-copy documentation.

- Communication with the Customer through at an address that the Company has previously verified from independent and reliable sources, in the form of registered

letter (for example, such communication may take the form of a direct mailing of account opening documentation to him, which the Customer shall return to the Company or the Company may send security codes required by the customer to access the accounts opened through the internet).

- The electronic identity verification is carried out either directly by the Company or through a third party. Both the Company and the said third parties cumulatively satisfy the following conditions:
    - The electronic databases kept by the third party or to which the third party or the Company has access are registered to and/or approved by the Data Protection Commissioner in order to safeguard personal data (or the corresponding competent authority in the country the said databases are kept).
    - Electronic databases provide access to information referred to both present and past situations showing that the person really exists and providing both positive information (at least the Customer's full name, address and date of birth) and negative information (i.e. committing offences such as identity theft, inclusion in deceased persons records, inclusion in sanctions and respective measures' list of EU, UN, OFAC and OFSI.
    - Electronic databases include a wide range of sources with information from different time periods with real-time update and trigger alerts when important data alter.
    - Transparent procedures have been established allowing the Company to know which information was searched, the result of such search and its significance in relation to the level of assurance of the Customer's identity verification.
    - Procedures have been established allowing the Company to record and save the information used and the result in relation to identity verification.

Also, the Company evaluates the results of electronic verification in order to ensure that proof of identity is satisfactory. According to Article 61(3) of the AML Law, proof of identity is satisfactory if:

- it is reasonable possible to establish that the customer is the persons he claims to be; and
- the person who examines the customer's evidence is satisfied, in accordance with the procedures under the AML Law, that the customer is actually the person he claims to be.

The Company establishes mechanisms for the carrying out of quality controls in order to assess the quality of the information on which it intends to rely.

The information must come from two or more sources. The electronic verification procedure shall at least satisfy the following correlation standard:

- Identification of the customer's full name and current address from one source, and
- Identification of the customer's full name and either his current address or date of birth from a second source.

In addition, as part of the identity verification via the electronic verification the Company receives a confirmation of a facial recognition which is performed by any of the following methods:

- Selfie upload
- Liveliness check
- Recorded video call

For the purpose of carrying out the electronic verification, the Company shall establish procedures in order to satisfy the completeness, validity and reliability of the information to which it has access. It is provided that the verification procedure shall include a search of both positive and negative information.

The requirements of Article 64(1)(a) of AMLLaw and of CySEC AML Directive shall also apply to companies or other legal persons requesting to establish a business relationship or an occasional transaction by mail, telephone, or through the internet. According to Article 64(1)(a) of the AML Law, the Company should apply the following enhanced customer due diligence measures:

- obtain additional information on the customer and on the beneficial owner(s);
- obtain additional information on the intended nature of the business relationship;
- obtain information on the source of funds and source of wealth of the customer and of the beneficial owner(s);
- obtain information on the reasons for the intended or performed transactions;
- obtain the approval of senior management for establishing or continuing the business relationship with such person;
- conduct enhanced monitoring of the business relationship by increasing the number and timing of controls applied, and selecting patterns of transactions that need further examination.

The Company shall take additional measures to ensure that the companies or other legal persons operate from the address of their main offices and carry out legitimate activities in all respects.

However, due to the difficulty in matching the Customer with the collected identification data, the Company shall apply enhanced Customer Identification and due diligence measures, in line with this Manual, so as to effectively mitigate the risks associated with such business relationship or occasional transaction.

8.2.2 Correspondent relationships with respondent institutions from a non-EEA state:

In cross border correspondent relationships with a third-country respondent institution, a credit institution and financial institution is:

- Gathering sufficient information about the Customer (institution) to understand fully the nature of its business and activities;
- Assessing from publicly available information, the reputation of the institution and the quality of its supervision;
- Assessing the systems and procedures applied by the Customer for the prevention of ML/TF;
- Obtaining approval from Senior Management before entering into correspondent relationship.
- Documenting the respective responsibilities of the person engaged in financial or other business activities and of the Customer.
- With respect to payable-through accounts, must be ensured that the Customer has verified the identity of its customers and performed ongoing due diligence on the customers having direct access to the correspondent bank accounts and that it is able to provide relevant Customers' due diligence data to the correspondent institution, upon request.

8.2.3 Politically Exposed Persons (PEPs)

The Company may establish a business relationship with persons who have important public position or political office, or their immediate family members or persons known to be their close associates or any other persons according to the definition of PEPs, but as this entails additional risks, enhanced due diligence procedures should be followed.

The establishment of a Business Relationship or the execution of an Occasional Transaction with persons holding important public positions in a foreign country and with natural persons closely related to them, may expose the Company to enhanced risks, especially if the potential Client seeking to establish a Business Relationship or the execution of an Occasional Transaction is a PEP, a member of his immediate family or a close associate that is known to be associated with a PEP.

The Company shall pay more attention when the said persons originate from a country which is widely known to face problems of bribery, corruption and financial irregularity and whose anti-money laundering laws and regulations are not equivalent with international standards. In order to effectively manage such risks, the Company shall assess the countries of origin of its Clients in order to identify the ones that are more vulnerable to corruption or maintain laws and regulations that do not meet the 40+9 requirements of the

FATF. With regards to the issue of corruption, one useful source of information is the Transparency International Corruption Perceptions Index which can be found on the website of Transparency International at www.transparency.org. With regard to the issue of adequacy of application of the 40+9 recommendations of the FATF, the Company shall retrieve information from the country assessment reports prepared by the FATF or other regional bodies operating in accordance with FATF's principles (e.g. Moneyval Committee of the Council of Europe) or the International Monetary Fund.

Without prejudice to the application, on a risk-sensitive basis, of Enhanced Customer Due Diligence Measures, where a person has ceased to be entrusted with a prominent public function within the meanings above for a period of at least one year, the Company shall not be obliged to consider such a person as PEP. The Company shall still be required to take into account the continuing risk posed by that person and to apply appropriate and risk-sensitive measures until such time as that person is deemed to pose no further risk specific to politically exposed persons.

The Company has put in place appropriate risk management systems, including risk-based procedures to enable it to determine whether a prospective customer is a PEP.

Such procedures include, depending on the degree of risk:

- from reliable commercial electronic database for PEPs,
- seeking and obtaining information from the Customer himself, and
- from publicly available sources of information.

In the case of legal entities, the procedures aim at verifying whether the beneficial owners, authorised signatories and persons authorised to act on behalf of the legal entities are PEPs. In case of identifying one of the above as a politically exposed person, then automatically the account of the legal entity or arrangement should be subject to Enhanced Due Diligence Measures. In addition, as per the applicable legislative framework, all member states need to identify politically exposed persons, in a relevant list which shall be made public. Hence, the Company shall also obtain information from these lists, if available.

In addition to the above, PEP accounts shall be identified through particular public functions as well. The Company might use, to this extent, any function included in the list prepared and updated by CySEC, that indicates the exact functions which, according to the Law, regulations and administrative positions, qualify as prominent public functions.

Before establishing a business relationship or execution of an occasional transaction with a PEP, the Company must obtain adequate documentation to ascertain not only the identity of the said person but also to assess his business reputation (i.e. reference letters from third parties, search of available reliable information). More specifically, procedures include:

- Obtain senior management (Executive Directors) approval for entering into, or continuing, a business relationship with a PEP and inform AMLCO.
- As well as with all other categories of existing or potential Customers, the Company must create the economic profile of the Customer by obtaining the information from the Customer, according to this Manual. In addition, take adequate measures to establish the source of wealth and the source of funds to be used in the business relationship in order to allow the Company to satisfy itself that it does not hold and handle the proceeds from corruption and/ or other criminal activity.
- The details of the expected business and nature of activities of the Customer form the basis for the future monitoring of the account. The profile should be regularly reviewed and updated with new data and information. The Company must be particularly cautious and most vigilant where its Customers or beneficial owners are involved in /have links to businesses which appear to be most vulnerable to corruption and ML/TF risks, such as trading in bullions, oil, arms, cigarettes and alcoholic drinks, construction, pharmaceuticals and healthcare, Money Service Businesses, casinos, dealers in precious metals.
- The account is subject to annual review in order to determine whether to allow its continuance of operation. A short report is prepared summarising the results of the review by the AMLCO. The report is submitted for consideration and approval to the Board of Directors and filed in the Customer's personal file.

8.2.4 Further considerations

The establishment of a Business Relationship or the execution of an Occasional Transaction with a PEP entails higher risk.

The Company shall pay extra attention when the said persons originate from a country which is widely known to face problems of bribery, corruption and financial irregularity and whose anti-money laundering laws and regulations are not equivalent with international standards.

In order to effectively manage such risks, the Company shall assess the countries of origin of its Customers in order to identify the ones that are more vulnerable to corruption or maintain laws and regulations that do not meet the FATF Recommendations. With regard to the issue of corruption, one useful source of information is the Transparency International Corruption Perceptions Index which can be found on the website of Transparency International at www.transparency.org.

With regard to the issue of adequacy of application of the FATF Recommendations, the Company shall retrieve information from the country assessment reports prepared by the FATF or other regional bodies operating in accordance with FATF's principles (e.g. Moneyval Committee of the Council of Europe) or the International Monetary Fund.

Where a PEP is no longer entrusted with a prominent public function by the Republic or a member state or a third country, or with a prominent public function by an international organization, the Company shall take into account the continuing risk posed by that person and applies appropriate and risk-sensitive measures for at least 12 months, until that person is deemed to pose no further risk to politically exposed persons. Such a report is submitted for consideration and approval to the Board of Directors and filed in the Customer's personal file.

It is noted that, as every high risk account, PEPs' accounts are subject to annual review and re-approval by the Board of Directors, in order to determine whether to allow its continuance of operation.

8.2.5 Customers from countries which inadequately apply FATF Recommendations

The 40+9 recommendations of the FATF (the "FATF Recommendations") constitute the primary internationally recognised standards for the prevention and detection of Money Laundering and Terrorist Financing.

The Company shall apply the following with respect to Customers from countries which inadequately apply FATF Recommendations:

- Exercise additional monitoring procedures and pay special attention to Business Relationships and transactions with persons, including companies and financial institutions, from countries which do not apply or apply inadequately the aforesaid FATF Recommendations;

- Transactions with persons from the said countries, for which there is no apparent economic or visible lawful purpose, are further examined for the establishment of their economic, business or investment background and purpose. If the Company cannot be fully satisfied as to the legitimacy of a transaction, then a Suspicious Transaction Report is filed to MOKAS, according to this Manual;

- With the aim of implementing the above, the Head of the Back Office Department and the AMLCO shall consult the country assessment reports listed above. Based on the said reports, the AMLCO assesses the risk from transactions and Business Relationships with persons from various countries and decides on the countries that inadequately apply the FATF Recommendations. According to the aforesaid decision of the AMLCO, the Company applies, when deemed necessary, Enhanced Due Diligence Measures for identifying and monitoring transactions of persons originating from countries with significant shortcomings in their legal and administrative systems for the prevention of Money Laundering and Terrorist Financing.

8.2.6 Unusual Transactions

The Company has in place adequate policies and procedures to detect unusual transactions or patterns of transactions. Where we detect transactions that are unusual because:

- they are larger than what the Company would normally expect based on its knowledge of the Customer, the business relationship or the category to which the Customer belongs;
- they have an unusual or unexpected pattern compared with the Customer's normal activity or the pattern of transactions associated with similar Customers, products or services; or
- they are very complex compared with other, similar, transactions associated with similar Customer types, products or services, and
- the Company is not aware of an economic rationale or lawful purpose or doubts the veracity of the information it has been given, we will apply EDD measures.

The following EDD measures should be sufficient to help the Company determine whether these transactions give rise to suspicion and must at least include:

- taking reasonable and adequate measures to understand the background and purpose of these transactions, for example by establishing the source and destination of the funds or finding out more about the Customer's business to ascertain the likelihood of the customer making such transactions; and
- monitoring the business relationship and subsequent transactions more frequently and with greater attention to detail. The Company may decide to monitor individual transactions where this is commensurate to the risk it has identified.

8.2.7 High-risk third countries and other high-risk situations

When dealing with natural persons or legal persons established or residing in a high-risk third country identified by the European Commission and in all other high-risk situations, the Company will take an informed decision about which EDD measures are appropriate for each high-risk situation. The appropriate type of EDD, including the extent of the additional information sought, and of the increased monitoring carried out, will depend on the reason why an occasional transaction or a business relationship was classified as high risk.

In general, with regard to business relations or transactions with high-risk third countries, the following enhanced due diligence measures apply:

- Collect additional customer and beneficial owner information.
- Collect additional information on the planned nature of the business relationship.

- Collect information on the origin of the capital and the source of the Client's wealth and beneficial owner.
- Collect information on the purpose of transactions planned or executed.
- Obtain approval of senior management for establishing or continuing the business relationship.
- Conduct enhanced ongoing monitoring of the business relationship by increasing the number and timing of controls applied, and selecting patterns of transactions that need further examination.
- The Company is not required to apply all the EDD measures listed below in all cases. For example, in certain high-risk situations it may be appropriate to focus on enhanced ongoing monitoring during the course of the business relationship.
- EDD measures we will apply may include:
    - Increasing the quantity of information obtained for CDD purposes:
        - Information about the Customer's or beneficial owner's identity, or the customer's ownership and control structure, to be satisfied that the risk associated with the relationship is well understood. This may include obtaining and assessing information about the customer's or beneficial owner's reputation and assessing any negative allegations against the customer or beneficial owner. Examples include:
            - information about family members and close business partners;
            - information about the customer's or beneficial owner's past and present business activities; and
            - adverse media searches.
        - Information about the intended nature of the business relationship to ascertain that the nature and purpose of the business relationship is legitimate and to help firms obtain a more complete customer risk profile. This may include obtaining information on:
            - the number, size and frequency of transactions that are likely to pass through the account, to enable the firm to spot deviations that might give rise to suspicion (in some cases, requesting evidence may be appropriate);
            - why the customer is looking for a specific product or service, in particular where it is unclear why the

customer's needs cannot be met better in another way, or in a different jurisdiction;

- the destination of funds;
- the nature of the customer's or beneficial owner's business, to enable the firm to better understand the likely nature of the business relationship.

8.2.8 High Risk Customers by Risk Scoring

In a situation where a Customer and/or potential Customer does not fall in the categories mentioned above, but falls under High Risk categorization due to the result of the Risk Scoring Questionnaire, the Back Office Department will forward the case to the AMLCO, who will decide on what exact enhanced due diligence measures will be taken.

Increasing the quality of information obtained for CDD purposes to confirm the Customer's or beneficial owner's identity including by:

- requiring the first payment to be carried out through an account verifiably in the customer's name with a bank subject to CDD standards that are not less robust than those set out in Chapter II of Directive (EU) 2015/849; or
- establishing that the Customer's wealth and the funds that are used in the business relationship are not the proceeds of criminal activity and that the source of wealth and source of funds are consistent with the firm's knowledge of the customer and the nature of the business relationship. In some cases, where the risk associated with the relationship is particularly high, verifying the source of wealth and the source of funds may be the only adequate risk mitigation tool. The source of funds or wealth can be verified, inter alia, by reference to VAT and income tax returns, copies of audited accounts, pay slips, public deeds or independent media reports.

Increasing the frequency of reviews to be satisfied that the firm continues to be able to manage the risk associated with the individual business relationship or conclude that the relationship no longer corresponds to the firm's risk appetite and to help identify any transactions that require further review, including by:

- increasing the frequency of reviews of the business relationship to ascertain whether the Customer's risk profile has changed and whether the risk remains manageable;
- obtaining the approval of senior management to commence or continue the business relationship to ensure that senior management are aware of the risk their firm is exposed to and can take an informed decision about the extent to which they are equipped to manage that risk;

- reviewing the business relationship on a more regular basis to ensure any changes to the customer's risk profile are identified, assessed and, where necessary, acted upon; or
- conducting more frequent or in-depth transaction monitoring to identify any unusual or unexpected transactions that might give rise to suspicion of ML/TF. This may include establishing the destination of funds or ascertaining the reason for certain transactions.

8.2.9 Trust accounts

In the cases where the Company establishes a business relationship or carries out an occasional transaction with a client that is either a Trust or has a Trust in its shareholding structure, the Company must ascertain the nature of activities and the purpose of establishment of the trust as well as the source and origin of funds requesting the relevant extracts from the trust deed and any other relevant information from the trustees.

All relevant data and information should be recorded and kept in the Customer's file.

It is the responsibility of the Back-Office Department to keep record of the actions taken in order to identify the beneficial ownership:

- the settlor,
- the trustee or commissioner,
- the protector, if any,
- the beneficiary/ies, or where the individual benefiting from the legal arrangement or legal entity have yet to be determined, the class of persons in whose main interest the legal arrangement or entity is set up or operates,
- any other natural person exercising ultimate control over the trust by means of direct or indirect ownership or by other means; and
- in the case of legal entities, such as foundations, and legal arrangements similar to trusts, the natural person holding equivalent or similar positions to the person referred to in point c) above;

It is noted that, in the case where the trustees of the trust are established or reside in a different EU country or where the trustee of the trust enters into multiple business relationships in the name of the trust in a different EU country, a certificate of proof of registration on such a registry or an excerpt of the beneficial ownership information held in a register by the relevant EU country's authority shall be obtained during the customer due diligence procedure, and will be deemed as sufficient to consider that the registration is fulfilled.

As per the Applicable Legislations, CySEC shall establish and maintain a Register of Explicit Trusts and Similar Legal Arrangements in the Republic, in which information on explicit

trusts, similar legal arrangements, the actual beneficiaries of explicit trusts and the actual beneficiaries of similar legal arrangements. Thus, in that case the Company shall take in consideration all the information that can be retrieve from this Register.

The Company by the Legitimate Interest shall have access to the following data:

- the name of beneficiary of trust
- the month and year if birth
- the country of residence
- the nationality of beneficiary
- the type and extend of the rights they have in the express trust.

The measures provided for in the present section apply to other types of legal arrangements with a structure or functions similar to trusts. According to the FATF ''Report on the misuse of corporate vehicles'' a foundation may be used for similar purposes as a trust.

A foundation is a legal entity which can carry out activities and its income derived from the principal assets is used to fulfil the statutory purposes of the foundation. A foundation is controlled by a Board of Directors and does not have owners. In this connection, as in the case of trusts, the identity of the founder, the beneficiaries, the Board of Directors and other persons who hold important powers in the foundation (e.g. the protector) should be verified. In addition, information such as the purpose of incorporation, its registered address and other relevant information should also be received by the Company. Therefore, the Company should take copies of extracts from the articles of association or statute, where the latter exists, to verify the above information. All the relevant data and information should be recorded and archived in the Customer's file.

8.2.10 Other considerations

The Company will not enter into a business relationship if it is unable to comply with their CDD requirements, if it is not satisfied that the purpose and nature of the business relationship are legitimate or if we are not satisfied that we can effectively manage the risk that we may be used for ML/TF purposes. Where such a business relationship already exists, the Company will terminate it or suspend transactions until it can be terminated, subject to instructions from law enforcement, where applicable.

Where the Company has reasonable grounds to suspect that ML/TF is being attempted, it will report this to MOKAS.

The Company notes that the application of a risk-based approach does not of itself require it to refuse, or terminate, business relationships with entire categories of customers that they associate with higher ML/TF risk, as the risk associated with individual business relationships will vary, even within one category.

9. Ongoing Monitoring Procedure

9.1 General

The Company considers that the constant monitoring of the Customers' accounts and transactions is an imperative element in the effective controlling of the risk of money laundering and terrorist financing.

In this respect, the AMLCO and AML Department shall be responsible for maintaining as well as developing the on-going monitoring process of the Company.

The Internal Auditor shall review the Company's procedures with respect to on-going monitoring procedures, at least annually.

The Company is applying various systems and procedures in order to ensure compliance with the AML Law and CySEC AML Directive, as well as to mitigate any potential risk, including the money laundering and terrorist financing risk.

9.2 Procedures

The procedures and intensity of monitoring of accounts and examining transactions are based on the level of applicable risk and, in addition to the detection of unusual or suspicious transactions, must achieve the following:

- Identification of all high-risk Customers; the systems or the measures and procedures of the Company are able to produce detailed lists of high-risk Customers so as to Facilitate enhanced monitoring of accounts and transactions,
- Investigation of detected unusual or suspicious transactions and, where applicable, relevant internal and external reporting,
- Ascertaining the source and origin of the funds credited to accounts.
- Identification transactions which, by their essence, may be associated with money laundering,
- Identification of Unusual transactions - the transactions which have no apparent economic or visible lawful purpose, and
- Identification of Suspicious transactions - the transactions which may be considered to be inconsistent with the usual business patterns of the Customer, his normal personal, trading or financial activities, his economic profile or the usual turnover of his account with the Company.

The frequency of ongoing monitoring of the Company's Customers is performed for all Customers, depending on their risk categorization:

- PEPs: every year,

- High Risk Customers: every year,
- Normal Risk Customers: one and half year,
- Low Level: every two years.

More detail regarding the application and frequency of sanctions screening can be found below.

As part of its AML ongoing monitoring process the Company has established and maintains the following mechanisms/procedures to ensure that it has effective controls as per this Manual. The said mechanisms/procedures results are communicated to the Board of Directors on at least quarterly basis.

9.3 Ongoing Monitoring of Customers Accounts

In addition to the Customer due diligence measures and identification procedures, the Company ensures that the Customer identification records remain completely updated with all relevant identification data and information throughout the business relationship. The Company examines and checks, on a regular, and at least annual, basis, the validity and adequacy of the Customer identification data and information it maintains, especially those concerning high risk Customers. The results of these regular reviews are recorded in reliable notes should be kept in the respective Customer file.

If at any time during the business relationship the Company becomes aware that reliable or adequate data and information are missing from the identity and the economic profile of the Customer, then it must take all necessary actions, by applying the Customer identification and due diligence procedures to collect the missing data and information, the soonest possible, so as to identify the Customer and update and complete the Customer's economic profile, taking into consideration the level of inherent risks. In addition, updates and regular checks on the information/documentation provided to clients shall be performed, where the Company has a duty, under the provisions of the applicable legislative framework, to contact the customer during the calendar year concerned with the purpose of reviewing any substantive information related to the beneficial owner(s).

In addition to the above procedures, the Company checks the adequacy of the data and information of the Customer's identity and economic profile, whenever one of the following events or incidents occurs:

- An important transaction takes place which appears to be unusual compared to the normal pattern of transactions and the economic profile of the Customer;
- A material changes in the Customer's legal status and situation, such as:
- Change of directors/ secretary,
- Change of registered shareholders and/ or beneficial owners,
- Change of registered office,

- Change of trustees,
- Change of corporate name and/ or trading name,
- Change of the principal trading partners and/ or undertaking of new major business activities,
- A material change in the way and the rules the Customer's account is operated, such as:
    - Change in the persons that are authorised to operate the account,
    - Application for the opening of a new account for the provision of new investment services and/ or Financial Instruments.

Throughout the ongoing monitoring of Customers' accounts, the AML Department manages to review and update all the CDD identification documents and their economic profile information, mitigating any potential risk, including the money laundering and terrorist financing risk, associated with Customer profile and Customer behaviour. The results of ongoing monitoring are communicated with the Administration/Back Office Department which is responsible to collect any missing CDD documents and data.

In addition, the Administration/Back Office Department is responsible to constantly monitor Customers' identification documents expiry.

The AML Department makes sure that it follows at all times the above mentioned pre-set period and all the identification documents, as well the economic profile information is updated accordingly.

The AML Department periodically is examining and checking the validity and adequacy of the Customers' identification data and information and economic profile and is requesting the Administration/Back Office Department to collect, inter alia, the following documents:

- Proof of ID, if the provided one has been expired or is going to be expired in the next 30 days;
- Proof of Residence, if the provided one is not issued within the last 6 (six) months or is going to expire in the next 15 days;
- Information and/or clarification in order to update the Economic Profile if needed.

The Customer is contacted in appropriate time before any of the documents collected as part of the Customer Due Diligence Process expires or already expired and is asked, where applicable, to provide a copy of the renewed document (i.e. passport) or to inform us whether the due-to-expire instrument of authorization (i.e. Power of Attorney) will be renewed or not, and if it will be renewed, to obtain us with a copy of the renewed document. If the documents weren't provided, the Administration/Back Office and/or Support Departments are in charge to contact the Customer for the document re-request.

In case it is still not provided, the Customer will be informed about the termination of business relationship with the Company.

The Company's AML Department is always reserving its right to request for further documentation and/or clarifications according to each case.

Upon the receipt of all required documentation and/or information, the Customers' accounts and economic profile are reviewed and updated accordingly.

Evidence of ongoing monitoring performance as well as Risk database world compliance check are available in each Customer's economic profile/compliance form.

The Company shall introduce and implement, where appropriate and proportionate, in view of the nature, scale and complexity of its business and the nature and range of the investment services and activities undertaken in the course of that business, adequate automated electronic management information systems which will be used in the investigation of Customer's transactions and be capable of supplying the Board of Directors and the AMLCO, on a timely basis, all the valid and necessary information for the identification, analysis and effective monitoring of client accounts and transactions based on the assessed risk for money laundering or terrorist financing purposes.

The relevant electronic management information systems shall be capable of extracting a list of data and information that is missing regarding the client identification and the construction of a customer's economic profile. In addition, the system may allow automated reminders regarding the expiration of certain identification documents like passports and utility bills as well as reminders for the KYC review of the Customers' accounts, by sending automated emails. The monitoring of accounts and transactions are carried out in relation to specific types of transactions and economic profile, as well as by comparing periodically the actual movement of the account with the expected turnover as declared at the establishment of the business relationship. For all the Customers' accounts, automated electronic management information systems shall be able to add up the movement of all related accounts on a consolidated basis and detect unusual or suspicious activities and types of transactions. This can be done by setting limits for a particular type, or category of accounts (e.g. high risk accounts) or transactions (e.g. deposits and withdrawals in cash, transactions that do not seem reasonable based on usual business or commercial terms, significant movement of the account incompatible with the size of the account balance), taking into account the economic profile of the Customer, the country of his origin, the source of the funds, the type of transaction or other risk factors. The Company shall give particular attention to transactions exceeding the above mentioned limits, which may indicate that a customer might be involved in unusual or suspicious activities.

9.4 Ongoing Monitoring of Transactions

In regard to the Customers' transaction monitoring undertaken throughout the course of the business relationship, the Company is working on an ongoing basis and applies

adequate and appropriate systems and procedures in order to ensure that Customers' transaction monitoring is performed properly and efficiently.

The procedure the AML Department is following, to scrutinise the Customers' transactions on an ongoing basis, is based on the monitoring of the actual versus the initial set level of transactions per the pre-set economic profile data of Customers, constructed during the establishment of the business relationship.

For each Customer an Economic Profile is constructed, based on the evaluation of the relevant data and information provided before the establishment of the business relationship. During the approval process, all Customers are allocated a justified deposit amount based on their economic profile. Through the business relationship, the AML Department monitors, on an ongoing basis, through a reporting system, the Customers that exceed their justified deposit amount and thus they fall outside the regular pattern of their accounts' activity and economic profile.

Monitoring of the Customers' transactions and accounts is the obligatory component of the effective management of the risk of money laundering which is carried out by the AMLCO in relation to specific types of transactions and economic profile, as well as by comparing periodically the actual movement of the account with the expected turnover as declared at the establishment of the business relationship.

Furthermore, the monitoring covers Customers who do not have a contact with the Company as well as dormant accounts showing unexpected movements.

Transactions matched on the multilateral trading facility operated by the Company for the Customer are compared and evaluated against the anticipated account's turnover, the usual turnover of the activities/operations of the Customer and the data and information kept for the Customer's economic profile. Significant deviations are investigated, and the findings are recorded in the respective Customer's file.

Transactions which are not justified by the available information on the Customer are thoroughly examined so as to determine whether suspicions over money laundering or terrorist financing arise for the purposes of submitting an internal report to the AMLCO and then by the latter to MOKAS, according to this manual.

All the Company Customers' funds are held in separate, segregated accounts that are designated solely for Customer deposits and withdrawals.

For the deposit to be accepted the Company account holders must have a valid bank or credit card account in their name. The bank/credit card statement must show their name and the same registered address as that shown on their application. The Company matches each deposit to the account name held on file for that Customer. As a matter of policy, the Company does not accept cash or cash equivalents (for example 'travellers' cheques') from Customers.

The withdrawal procedure at the Company follows the strict principle that ensures funds are securely remitted back to their originating source.

The Company reserves the right to refuse to process a transaction where it believes the transaction to be connected in any way to money laundering or criminal activity.

9.5 Sanction Lists Screening

Online automated sanction screening is performed during Customer onboarding process against many sanction lists available on the Company's systems such as the European Union (EU), United Nations (UN), OFAC and OFSI for the identification of sanctioned individuals and entities. In addition to the above, the Company's automated sanction screening is performed on a daily basis against all existing customers. In case of any positive finding occurring, the Company has in place an alert system which notifies the AML department. Upon evaluation from the AMLCO, the business relationship with such a customer shall be terminated.

9.6 Registers

The Company shall maintain the registries as described below. Registries data is kept in and can be extracted from the Company's ERP system. It is not necessary to maintain dedicated databases.

9.6.1 Active Accounts Registry

The Head of Administration/Back Office shall ensure that the complete Customers' list (i.e. active Customers) is always up-to-date and which shall include as a minimum the following information:

- Customers' identification code;
- Customers risk classification and categorization;
- Each Customer's Country of Residence;
- Registration/Account opening date;
- Total deposits and withdrawals;
- Trading Benefit granted;
- Account Balance.

9.6.2 AML Monitoring Registry

The AMLCO is responsible to establish and maintain a registry in respect to the ongoing monitoring of Customers accounts and transactions. It shall keep track of checks performed by the Company with respect to:

- Client ID

- Date of performed check
- What triggered the check - scope of check
- Assessment performed/transaction analysis/inconsistencies vs clients' economic profile/supporting documentation
- Result and next steps (i.e. report to MOKAS or reason for not reporting)

The AMLCO when necessary, at least on monthly bases selects sample accounts for review and updates the said registry accordingly.

9.6.3 Inactive/Dormant Account Registry

The AMLCO is responsible to establish and maintain a dormant account registry and the Head of Administration/Back Office shall update it on a daily basis, when applicable. If the Customer's account becomes dormant, the account balance is nil, and/or the Customer cannot be contacted the Company reserves the right to close the Trading Account without notifying the Customer.

The Dormant fee report can be extracted from the Company's internal reporting system, when applicable, and includes records of the amount and date of Dormant Fee charged.

9.6.4 PEP Account Registry:

The AMLCO is responsible to establish the PEP Account Registry and The Head of Administration/Back Office shall update it on a daily basis, when applicable. Recorded PEP Accounts are subject to enhanced on-going monitoring of business relationship.

9.6.5 Account Closure/Rejection registry:

The Head of Administration/Back Office is responsible to keep the Account Closure/Rejection registry up to date at all times. The said registry is subject to account closure/rejection and includes the reason, date of closure/rejection and dates of notification of termination sent to the affected Customers.

Upon account closure/rejection the Administration/Back Office Department shall send an email to the Customer regarding the termination and the date of termination.

9.6.6 Economic Profile Registry:

The AMLCO is responsible to establish and maintain an Economic Profile Registry of Customers account in line with the information provided during the account opening process for the purpose of construction of economic profile. The AMLCO ensures to keep the registry up to date at all times.

The Head of Back Office is responsible to inform the AMLCO where changes occur in this respect.

10. Treatment of High Risk clients or mismatching KYC or Economic Profile Information

The Company will proceed with one or more of the following actions for Customers who have been identified as high risk and/or that their transaction and/or funding activities performed are not in line with the KYC and/or Economic Profile information, as per on-going monitoring registries in place:

- Request further information from the involved Customer why the transactional and/or funding activities performed are not in line with the KYC and/or Economic Profile information provided.
- Request the involved Customer to update information/documentation provided for the KYC and/or Economic Profile in order to be in line with the transactional and/or funding activities performed.
- Request the involved Customer to withdraw and/or close any open position for the purpose of business relationship termination (i.e. account closure).
- Disable the option to deposit any new funds, taking into consideration that this will not lead to any stop-out result.
- Do not process the deposit and refund to the same remit as deposit.

11. Record Keeping

11.1 General

The Back Office Department of the Company shall maintain records of:

(a) the Customer identification documents obtained during the Customer identification and Due Diligence procedures, as applicable by the Law and the Directive, as well as evidence of the evaluation of the systems and procedures used by the third party that the Company relies on for the Customer identification and due diligence, in the case where the customer due diligence procedure is performed by a third party;

(b) the details of all relevant records with respect to the provision of Investment Services to Customers.

(c) the supporting evidence and records of all business relations and transactions which are necessary for the determination of the transactions and their recording;

(d) the relevant documents regarding the correspondence with customers and other persons with whom the Company maintains a business relationship;

(e) the records of any reports related to suspicious transactions submitted to the Head of Compliance and AML and/or MOKAS;

(f) relevant information for each third party which the Company relies on for client identification and due diligence procedures

(g) adequate, precise and certified information with regards to its own Beneficial Owners, including details with regards to their rights. The Company shall share the afore-mentioned information with other obliged entities as well as Regulatory Authorities when required for purposes of compliance with the Law.

The AMLCO is responsible for keeping record of all the documents / data related to the investigation of Money Laundering activities and any reports filed to the Commission or Board of Directors of the Company.

This includes:

(a) Staff training records;

(b) Periodic operations review records;

(c) Reports and recommendations submitted to the Company's Board;

(d) Reports submitted to the Commission;

(e) Money laundering inquiries from the MOKAS;

(f) Money laundering reports and disclosures to the MOKAS.

The Company keeps record of the documents, data and information collected and/ or obtained within the scope of Customer identification and due diligence procedures for a period of 5 (five) years, which period is calculated after the carrying out of an occasional transaction or the termination of the business relationship.

The above documents shall be made available without delay to MOKAS and the CySEC, for the purpose of discharging the duties imposed on them by the AML Law, as the information may be used as evidence in any subsequent investigation by the authorities. The records kept by the AML department provide audit trail evidence during any subsequent investigation. In practice, the business units of the Company will be routinely making records of work carried out for clients in the course of normal business and these records should be archived.

Client identification documents obtained prior to conducting a business relationship or during the client file review stage should always be recent (one year from the issue date where applicable) and always up to date. Documents relating to the verification of the client's resident address and/or bank references are considered recent when submitted to the Company within six (6) months from the issue date.

It is provided that the documents and other data relevant to ongoing investigations are kept until MOKAS confirms that the investigation has been completed and the case has been closed.

The period of document keeping referred above, including the period of further compliance, which is not more than five (5) additional years, it shall also apply in relation to the data accessible through the Central Electronic Register of Banking Accounts, Payment Accounts and Safe Deposits Boxes.

11.2 Format of Records

The Administration/Back Office shall retain the documents, data and information mentioned in this Manual, other than the original documents or their certified true copies that are kept in a hard copy form, may be in other forms, such as electronic form, provided that the Administration/Back Office Department is able to retrieve the relevant documents and/ or data without undue delay and present them at any time, to CySEC or to MOKAS, after a request.

If any of the documents provided is other than Greek or English language, translation form must be prepared and attached together with the document including the name of the person that performed the translation and the respective date.

In case the Company establishes a documents/ data retention policy, it shall take into consideration the requirements of the Applicable Legislations.

The Internal Auditor shall review the adherence of the Company to the above, at least annually.

11.3 Certification and language of documents

The Customer identification documents/data obtained must be in the following form(s):

(a) Original; or

(b) True copy of the original:

- where the certification is *made by the Company* in cases where establishes the customer's identity itself, once the original is presented thereto; or
- where the certification is *made by third parties*, in cases where they establish the customer's identity mentioned in this Manual; or
- where the certification is *made by a competent authority or person that*, pursuant to the relevant provisions of the laws of their country, is responsible to certify the authenticity of documents or information (in this case the documents should be apostilled or notarized); or

(c) In case of non-face-to-face business relationships or transactions, without certain safeguards, such as electronic signatures, copies of the original documents/data may be collected or the Company may use electronic means in for the collection of data and information provided that at least one of the procedures for non-face to face business relationships outlined in this Manual is followed.

The responsibility for the acceptability or otherwise of any unduly certified copies submitted to the Company lies with the AMLCO. However, the Company shall not be liable for any forged documents, except where it was aware or should have been aware of the forgery. The Company and the approved persons shall be entitled to rely on the truth of duly certified documents submitted by the customer in original form or in duly certified copies, except where the Company and the approved persons are in any way aware or should have been aware that the documents submitted by the customer are not accurate or provide misleading information.

11.4 Personal Data

Personal data shall be processed by the Company on the basis of law only for the purposes of the prevention of money laundering and terrorist financing and shall not be further processed in a way that is incompatible with those purposes.

The Company shall provide new customers with the following:

- Information required pursuant to Article 11(1) of the Law of 2018 on the Protection of Natural Persons Against the Processing of Personal Data and the Free Movement of this Data (Law 125 (I) / 2018) and Regulation (EU) 2016/679 on the protection of natural persons with regard to the processing of personal data and on the free movement of such data, before the establishment of the business relationship or the carrying out of an occasional transaction; and

- Information, prior to the commencement of a business relationship or the execution of an occasional transaction, on the processing to which the personal data is subjected pursuant to the provisions of the present Law for purposes of prevention of money laundering and terrorist financing.

The access rights to the data subject, may be lifted in whole or in part in accordance with the provisions of the Processing of Personal Data as per the Law 125 (I) / 2018 and Regulation (EU) 2016/679, for purposes of proper fulfilment of the duties of obliged entities and supervisory authorities or to avoid obstruction of official or legal inquiries, analyses, investigations or procedures for the purposes of the Law and to ensure of the prevention, investigation and detection of money laundering and terrorist financing is not jeopardized.

The processing of personal data based on the provisions of the AML Law with the aim of prevention of money laundering and terrorist financing is considered a matter of public interest in accordance with the provisions of Directive 95/46/EC.

12.Recognition and Reporting Suspicious Transactions, Activities to MOKAS

12.1 Reporting of Suspicious Transactions to the AMLCO

All Company employees are obliged to report to the AMLCO any suspicious transactions or cases where there is an attempt of executing transactions which knows or suspect that are

related to money laundering or terrorist financing by completing the form in Annex II of this Manual.

12.2 Suspicious Transactions

The definition of a suspicious transaction as well as the types of suspicious transactions which may be used for Money Laundering and Terrorist Financing are almost unlimited. A suspicious transaction will often be one which is inconsistent with a Customer's known, legitimate business or personal activities or with the normal business of the specific account, or in general with the economic profile that the Company has created for the Customer. The Company ensures that it maintains adequate information about a Customer and knows enough about its activities to recognize on time that a transaction or a series of transactions is unusual or suspicious.

Examples, in accordance with the CySEC AML Directive, of what might constitute suspicious transactions/activities related to Money Laundering and Terrorist Financing are listed in **Annex VII**I of the Manual. The relevant list, however, includes examples that might not apply directly to the Company's business model such as examples that relate to cash transactions. Moreover, the relevant list is not exhaustive, nor it includes all types of transactions that may be used, nevertheless it can assist the Company and its employees (especially the AMLCO and the Head of Administration/back Office) in recognising the main methods used for Money Laundering and Terrorist Financing. The detection by the Company of any of the transactions contained in the said list prompts further investigation and constitutes a valid cause for seeking additional information and/or explanations as to the source and origin of the funds, the nature and economic/business purpose of the underlying transaction, and the circumstances surrounding the particular activity.

In order to identify suspicious transactions, the AMLCO shall perform the following activities:

- monitor on a continuous basis any changes in the Customer's financial status, business activities, type of transactions etc.;
- monitor on a continuous basis if any Customer is engaged in any of the practices described in the list containing examples of what might constitute suspicious transactions/activities related to Money Laundering and Terrorist Financing which is mentioned in Annex VIII of this Manual.

Furthermore, the AMLCO shall perform the following activities:

- receive and investigate information from the Company's employees, on suspicious transactions which creates the belief or suspicion of money laundering. This information is reported on the Internal Suspicion Report (**Annex II**). The said reports are archived by the AMLCO;
- evaluate and check the information received from the employees of the Company, with reference to other available sources of information and the exchanging of information in relation to the specific case with the reporter and, where this is

deemed necessary, with the reporter's supervisors. The information which is contained on the report which is submitted to the AMLCO is evaluated on the Internal Evaluation Report, which is also filed in a relevant file;

- if, as a result of the evaluation described above, the AMLCO decides to disclose this information to MOKAS, then he prepares a report through the goAML web application, which he submits to MOKAS.
- if as a result of the evaluation described above, the AMLCO decides not to disclose the relevant information to the MOKAS, then he fully explains the reasons for his decision on the Internal Evaluation Report.

12.3 Protection of Persons Reporting

The disclosure of information in good faith by the Company or by an employee or a representative, i.e. director of the Company does not constitute a breach of any contractual or statutory, regulatory or administrative prohibition of disclosure of information, nor implies any liability for the Company or its directors or employees, even if the circumstances did not allow them to know precisely what the main illegal activity was and regardless of whether it was actually committed Illegal activity.

Persons who submit an internal report or report to MOKAS shall be protected against any threat, retaliation, or hostile action and in particular by adverse acts or discrimination in the workplace, according to the AML Law and CySEC AML Directive.

In addition, persons, who is exposed to threats, retaliation or hostile actions, and in particular adverse acts or discrimination in the workplace because he submitted an internal report or a report to MOKAS for suspicious transactions, may submit a complaint in a manner that is safe in the supervisory authority and, without prejudice to the confidential the nature of the information gathered by MOKAS, has the right to effective treatment to defend rights in accordance with the provisions of this subparagraph.

12.4 Submission of the AMLCO's report to MOKAS

All the reports of the AMLCO are sent or submitted to MOKAS electronically through the web application system goAML at https://reports.mokas.law.gov.cy/live where the Company is registered as par its mandatory obligation. The system will allow saving of draft reports and other features that will assist the AMLCO to prepare the report. The system will allow attaching to the report relevant documents. This option is more time consuming since all relevant fields should be filled-in in the system.

After submitting the suspicious report, the Company adheres to any instructions given by MOKAS and, in particular, as to whether or not to continue or suspend a particular transaction or to maintain the particular account active. According the Applicable Legislations, MOKAS may instruct the Company to refrain from executing or delay the execution of a customer's transaction without such action constituting a violation of any contractual or other obligation of the Company and its employees, or the Company itself

may subsequently with to terminate its relationship with the Customer concerned for risk avoidance reasons.

In such events, the Company exercises particular caution, according to the Applicable Legislations, not to alert the customer concerned that a suspicious report has been submitted to MOKAS. Close liaison with MOKAS is, therefore, maintained to avoid any frustration to the investigations conducted. Furthermore, after the submission of a suspicious report, the Customers' accounts concerned as well as any other connected accounts are placed under the close monitoring of the AMLCO.

The Company ensures that in the case of a suspicious transaction investigation by MOKAS, it will be able to provide without delay the following information:

- the identity of the account holder(s);
- the identity of the beneficial owner(s) of the account;
- the identity of the person(s) authorized to manage the account;
- data of the volume of funds or level of transactions flowing through the account;
- connected accounts;
- in relation to specific transactions:
    - the origin of the funds, as applicable;
    - the type and amount of the currency involved in the transaction;
    - the form in which the funds were placed or withdrawn, for example cash, cheques, wire transfers;
    - the identity of the person that gave the order for the transaction;
    - the destination of the funds, as applicable;
    - the form of instructions and authorisation that have been given;
    - the type and identifying number of any account involved in the transaction.

According of Company’s internal procedures Enhanced Due Diligence includes:

- Request a second proof of Identity
- MRZ check of ID document and/or passport
- KYC call
- Additional search vs. sanction lists
- Additional approval by AMLCO and Management
- Request of proof of source of funds
- Request of proof of source of wealth

- Additional management approval for internal transfer transaction when high-risk Customers are involved
- Interviews
- Collection of additional information from different sources (public and non-public)

ANNEX I

RISK BASED APPROACH – COUNTRIES

(The list may be reviewed)

LOW-RISK COUNTRIES

Member states of the EU

Austria, Estonia, Italy, Portugal, Belgium, Finland, Latvia, Romania, Bulgaria, France, Lithuania, Slovakia, Cyprus, Germany, Luxembourg, Slovenia, Croatia, Greece, Malta, Spain, Czech Republic, Hungary, Netherlands, Sweden, Denmark, Ireland, Poland, United Kingdom

**Gibraltar is a British Overseas Territory within Europe. It is part of the European Union and is directly subject to the requirements of the money laundering directive, which it has implemented. It therefore has the same equivalence status as an EU member state.*

The European Economic Area (EEA) EEA-countries

Iceland, Liechtenstein and Norway

Protocol territories

Akrotiri and Dhekelia, Channel Island, Faroe Islands, Isle of Man, Jersey, Åland Islands

Countries outside the EU/EEA which are assessed as low-risk countries (Reference is to be made to BASEL AML Index of 2020, countries scored <5.0. In case of a doubt, please further refer to the FATF on the specific country evaluation report)

Egypt, Bermuda, Ecuador, El Salvador, South Africa, Costa Rica, Luxemburg, Switzerland, Colombia, Indonesia, South Korea, Singapore, Georgia, Peru, St. Vincent and the Grenadines, Ireland, Bahrain, Taiwan, St. Lucia, Grenada, United Kingdom, Macedonia, Uruguay, Dominica, Chile, Montenegro, Cook Islands, Andorra.

MEDIUM-RISK COUNTRIES (BASEL AML Index of 2020, countries scored >5.0<7.0)

Armenia, Brazil, Dominican Republic, Antigua and Barbuda, Argentina, Kazakhstan, Guatemala, Moldova, India, japan, Mexico, Ukraine, Azerbaijan, Malaysia, Samoa, Gambia, Lebanon, Saudi Arabia, Aruba, Turks and Caicos, Tunisia, Guyana, Serbia, Russia, Morocco, Honduras, Marshall Islands, Seychelles, Bosnia-Herzegovina, Belize, Philippines, Uzbekistan, Turkey, Qatar, Bangladesh, United Arab Emirates, Jordan, Thailand, Tajikistan, Bolivia, Liberia, Kyrgyzstan, Tanzania, Paraguay, Sri Lanka, Cape Verde, Venezuela, Algeria, China, Cote d'Ivoire, Benin, Nigeria.

HIGH-RISK COUNTRIES based on:

- ✔ **COMMISSION DELEGATED REGULATION (EU) 2016/1675**

- ✔ **COMMISSION DELEGATED REGULATION (EU) 2018/105**
- ✔ **COMMISSION DELEGATED REGULATION (EU) 2018/212**

I. The following jurisdictions are identified as having strategic deficiencies in their AML regimes by the EU Commission:

1	Afghanistan
2	Barbados
3	Burkina Faso
4	Cameroon
5	Cayman Islands
6	Democratic Republic of the Congo
7	Gibraltar
8	Haiti
9	Jamaica
10	Jordan
11	Mali
12	Mozambique
13	Myanmar
14	Nigeria
15	Panama
16	Philippines
17	Senegal
18	South Africa
19	South Sudan
20	Syria
21	Tanzania
22	Trinidad and Tobago

II. High-risk third countries which have provided a written high-level political commitment to address the identified deficiencies and have developed an action plan with FATF.

1	Albania
2	Barbados
3	Burkina Faso
4	Cameroon
5	The Cayman Islands
6	The Democratic Republic of Congo
7	Croatia
8	Gibraltar
9	Haiti
10	Jamaica
11	Jordan
12	Mali
13	Mozambique
14	Nigeria
15	Panama
16	Philippines
17	Senegal
18	South Africa
19	South Sudan
20	Syria
21	Tanzania
22	Turkey
23	Uganda
24	United Arab Emirates
25	Vietnam
26	Yemen

II. High-risk third countries which have provided a high-level political commitment to address the identified deficiencies, and have decided to seek technical assistance in the implementation of the FATF Action Plan, which are identified by FATF Public Statement:

- **Iran**

III. High-risk third countries which present ongoing and substantial money-laundering and terrorist-financing risks, having repeatedly failed to address the identified deficiencies and which are identified by FATF Public Statement.

- **Democratic People's Republic of Korea (DPRK)**

IV. HIGH-RISK COUNTRIES (BASEL AML Index of 2020, countries scored >7.0)

Angola, Vietnam, Cambodia, Kenya, Senegal, Sierra Leone, Cayman Islands, Mozambique, Laos, Haiti, Afghanistan.

The following countries are EXCLUDED from our services:

Azerbaijan, Sudan, USA, Syria, North Korea. In addition, refer to Annex VI for the full list of prohibited jurisdictions.

It is important to note that the Company will not onboard any customers residing outside the EEA except Switzerland.

ANNEX II

INTERNAL SUSPICION REPORT FOR MONEY LAUNDERING AND TERRORIST FINANCING

INFORMER'S DETAILS	
Name:	Tel:
Department:	Fax:
Position:	Email address:
CUSTOMER'S DETAILS	
Account number(s):	
Name:	
Address:	
	Date of Birth:
Tel:	Occupation:
Fax:	Details of Employer:
Passport No.:	Nationality:
ID Card No.:	Other ID Details:
INFORMATION/SUSPICION	
Brief description of activities/transaction:	
Reason(s) for suspicion:	
Informer's Signature:	Date:
FOR AMLCO USE	
Date Received:	Time Received:	Ref.
Reported to MOKAS: Yes/No	Date Reported:	Ref.

ANNEX III

INTERNAL EVALUATION REPORT FOR MONEY LAUNDERING AND TERRORIST FINANCING

Reference:	Customer's Details:
Informer:	Department:
INQUIRIES UNDERTAKEN (Brief Description)	
ATTACHED DOCUMENTS	
AMLCO'S DECISION	
FILE NUMBER	
AMLCO'S	**SIGNATURE** **DATE**

ANNEX IV

EMPLOYEE ACKNOWLEDGEMENT

All employees share responsibility for behaving in a manner that will enhance the reputation of PM MTF Ltd Ltd. The firm requests and requires that all employees make a personal commitment to the observation of the highest ethical standards and exercise of proper judgement in all aspects of his/her business dealings.

I, _____, have read the PM MTF Ltd Anti-Money Laundering Manual. I understand it and agree that I am in compliance and will continue to apply the rules and procedures set forth therein and my obligations thereunder. I agree that throughout the period of my employment with PM MTF Ltd. I will comply in each and every respect with the rules and regulations and all other laws with respect to the prevention of money laundering and terrorist financing.

Date : _____

Job Title / Function : _____

Employees signature : _____

ANNEX V

SOURCE OF WEALTH AND FUNDS

Request of proof of Source of wealth is an additional due diligence measure which is applied to customer profiles on a risk-based approach.

The Company applies an additional due diligence measure in regard to deposits above 10.000 (in Euro). For the Company it is of major importance how the Client acquired the monies he deposits. This reflects the Company's commitment to maintain the highest possible standard of business practice and to counter money laundering and the financing of terrorism. Therefore, the Company request from the Client to complete a questionnaire and provide any documentary evidence as to the source of funds of the clients' deposit in order for the Company to identify and assess clearly the economic profile of the Client.

The general rule to request from the Customer to provide confirmation of Source of Income is the following:

To check the nature of income from the questionnaire, to check the deposit transaction(s) and after to choose from the list below types of documents to request from the Customer.

Documents to be uploaded to CRM must be legible and clearly show, that the investment funds belong to the relevant Customer.

List of examples of information and/or supporting documentation to establish Source of Wealth and Funds:

**Information means data to be collected from the electronic questionnaire and provided documents from the Customer. If missing – to ask the Customer to provide/explain.*

Source of funds/wealth	**Information* / Documents that may be required**
Employment Income	Information: - Nature of employer's business - Name and address of the employer Documents: - Annual salary and bonuses for the last couple of years *OR* - Last month/recent pay slip *OR* - Confirmation from the employer of annual salary *OR* - Bank Statement showing receipt of salary *OR* - Latest accounts or tax declaration if self employed.
Savings / Deposits/ Investments	Information: - Description of the source of wealth (if not in questionnaire) Documents: - Statement from the Bank account/ Depositary/ Trading account/ Portfolio management account/ alternative pension statement etc.

Property Sale	Information: - Details of the property sold (i.e. address, date of sale, sale value of property sold, parties involved) Documents: - Copy of contract of sale OR - Title deed from land registry and bank statement showing incoming balance transaction from sale
Sale of shares or other investment	Information: - Date of sale - Sale value of shares sold and how they were sold (i.e. name of stock exchange) Documents: - Copy of contract OR - Statement of account from agent OR - Transaction receipt/confirmation OR - Shareholder's certificate.
Loan/ Borrowings	Information: - Amount, date and purpose of loan - Name and address of Lender - Details of any security Documents: - Loan agreement
Company Sale	Information: - Total sales price - Name and Address of Company - Nature of business - Date of sale and receipt of funds Documents: - Copy of the contract of sale AND one of: - Internet research of Company Registry OR - Customers' share participation OR - Media coverage.
Company Profits / Dividends	For Company Profits: - Copy of latest audited financial statements OR - Copy of latest management accounts - Tax declaration form For Dividends: - Board of Directors approval AND - Dividend distribution
Inheritance	Information: - Name of deceased - Date of death - Relationship to Customer

	- Date received - Total amount - Solicitor's details <u>Documents:</u> - Tax clearance documents OR - Lawyer Confirmation
Gift	<u>Information:</u> - Date received - Total amount - Relationship to Customer <u>Documents:</u> - Letter from donor explaining the reason for the gift and the source of donor's wealth AND - Identification documents of donor AND - Donor's source of wealth.
Maturity/ Surrender of life policy	<u>Information:</u> - Amount received - Policy provider - Policy number/reference - Date of surrender
Pension	Annual Pension Statement
Other income sources	<u>Information:</u> - Nature of income - Amount - Date received and from whom <u>Documents:</u> - Appropriate supporting documentation

ANNEX VI

RISK SCORING

Description of the basics and methods of giving Clients the risk categories:

Natural Persons:

Low risk:	<10
Medium Risk:	10-39
High risk:	40-69
Unacceptable risk:	70 -

Factor	Description	Scoring	Countries
Place of residence (in CRM: Result for Residence Country(AML)	The Client has a permanent place of residence in an EU or EFTA country	-10	Austria, Belgium, Bulgaria, Croatia, Cyprus, Czech Republic, Denmark, Estonia, Finland, France, Greece, Spain, Netherlands, Ireland, Lithuania, Luxembourg, Latvia, Germany, Poland, Portugal, Romania, Slovakia, Slovenia, Sweden, Hungary, Italy Liechtenstein, Norway, Iceland, Switzerland,Malta
	The Client is a resident of a third country, defined by credible sources as a country with a low level corruption	-6	New Zealand, Singapore
	The Client is a resident of a Prohibited Country or Region	100	Albania, Barbados, Burkina Faso, Cambodia, Cayman Islands, Jamaica, Myanmar, Uganda, Senegal, Syria, Yemen, Panama, Haiti, Jordan, Mali, , Morocco, Philippines, Turkey, Democratic People's Republic of Korea (DPRK – North Korea), Iran, Cuba, Afghanistan, Eritrea, Iraq, Kyrgyzstan, Lebanon, Liberia, Libya, Palestinian Territory, Somalia,

			Sudan (North and South), Yemen. Crimea, Cuba, Luhansk and Donetsk, Kherson, Zaporizhzhia, Gibraltar, Democratic Republic of the Congo, Mozambique, Senegal, Tanzania, United Arab Emirates
	The Client is resident of a high risk country	35	Belarus, Bosnia and Herzegovina, Burundi, Central African Republic, China, Democratic Republic of the Congo, Guinea, Guinea-Bissau, Moldova, Montenegro, Russia, Serbia, Tunisia, Ukraine, Venezuela, Zimbabwe, Nicaragua and Pakistan
Client's characteristics (CRM: Result for Sanction List (AML))	The Client is entered on a Sanction List	100	
PEP (CRM: Result for Consent (AML))	The Client has a PEP status	40	
The way of concluding the contract (CRM: Result for Lead Origin (AML))	Physical presence at the Company's headquarters or in branch	0	
	Via internet	5	
Distribution channel(CRM Distribution channel → Result_for_Affiliation_AML)	Directly via Company's website	0	
	Via affiliate's website	5	
Source of Income (Result for MiFID (AML))	Employment	0	
	Pension	0	
	Rent	0	
	Inheritance	15	
	Company Profits/Dividends	5	
	Other income sources	0	
	Current Industry Options	**Scoring**	
	Accounting	0	
	Admin / Secretarial	0	
	Agriculture	0	
	Hospitality	0	

Industry	Creative / Media / Marketing / PR / Advertising	0	
	Defence / Military	35	
	Education	0	
	Legal	0	
	Energy / Natural Resources / Mining	35	
	Engineering / Manufacturing	5	
	Export/ Import	20	
	Financial Services	0	
	Government / Public Sector	15	
	Health / Social Care	5	
	IT / Technology	0	
	Money Services / Payments Business	35	
	Not Profit/ Charity	10	
	Pharmaceuticals	10	
	Trading in Precious Metals or Scrap	35	
	Construction	5	
	Retail	0	
	Business Administration	0	
	Transport	0	
	Other	0	

Legal Entities:

Low risk:	<10
Medium Risk:	10-39
High risk:	40-69
Unacceptable risk:	70 -

Factor	**Scoring**	**Scoring**	**Countries**
Characteristics of a legal person	The client is a company in which one of shareholders is treasury state.	-20	

	The Client is a state treasury company, local government etc.	-30	
	The Client is a public company	-10	
	The Client is a financial institution supervised by an appropriate regulator	-15	
	The Client operates in the form of an association or foundation	50	
	The Client has a complicated ownership structure	15	
	The client is a shell bank	70	
	The Client is a correspondent bank	70	
	The Client has a permanent place of residence in an EU or EFTA country	-10	Austria, Belgium, Bulgaria, Croatia, Cyprus, Czech Republic, Denmark, Estonia, Finland, France, Greece, Spain, Netherlands, Ireland, Lithuania, Luxembourg, Latvia, Germany, Poland, Portugal, Romania, Slovakia, Slovenia, Sweden, Hungary, Italy Liechtenstein, Norway, Iceland, Switzerland, Malta
	The Client is a resident of a third country, defined by credible sources as a country with a low level corruption	-6	New Zealand, Singapore
Seat	The Client has its seat in a Prohibited Country	100	Albania, Barbados, Burkina Faso, Cambodia, Cayman Islands, Jamaica, Myanmar, Uganda, Senegal, Syria, Yemen, Panama, Haiti, Jordan, Mali, , Morocco, Philippines, Turkey, Democratic People's Republic

			of Korea (DPRK – North Korea), Iran, Cuba, Afghanistan, Eritrea, Iraq, Kyrgyzstan, Lebanon, Liberia, Libya, Palestinian Territory, Somalia, Sudan (North and South), Yemen. Crimea, Cuba, Luhansk and Donetsk, Kherson, Zaporizhzhia, Gibraltar, Democratic Republic of the Congo, Mozambique, Senegal, Tanzania, United Arab Emirates
	The Client has its seat in a high risk country	45	Belarus, Bosnia and Herzegovina, Burundi, Central African Republic, China, Democratic Republic of the Congo, Guinea, Guinea-Bissau, Moldova, Montenegro, Russia, Serbia, Tunisia, Ukraine, Venezuela, Zimbabwe, Nicaragua and Pakistan
Beneficial owner (in case of a several beneficial owners the points do not add up – the highest grade is taken into account)	The actual beneficiary appears on the PEP list	40	
	The Client has a permanent place of residence in an EU or EFTA country	-10	Austria, Belgium, Bulgaria, Croatia, Cyprus, Czech Republic, Denmark, Estonia, Finland, France, Greece, Spain, Netherlands, Ireland, Lithuania, Luxembourg, Latvia, Germany, Poland, Portugal, Romania, Slovakia, Slovenia, Sweden, Hungary, Italy Liechtenstein, Norway, Iceland,Switzerland
	The Client is a resident of a third country, defined by credible sources as a country with a low level corruption	-6	New Zealand, Singapore

	Beneficial owner is a resident of a Prohibited Country	100	Albania, Barbados, Burkina Faso, Cambodia, Cayman Islands, Jamaica, Myanmar, Uganda, Senegal, Syria, Yemen, Panama, Haiti, Jordan, Mali, , Morocco, Philippines, Turkey, Democratic People's Republic of Korea (DPRK – North Korea), Iran, Cuba, Afghanistan, Eritrea, Iraq, Kyrgyzstan, Lebanon, Liberia, Libya, Palestinian Territory, Somalia, Sudan (North and South), Yemen. Crimea, Cuba, Luhansk and Donetsk, Kherson, Zaporizhzhia, Gibraltar, Democratic Republic of the Congo, Mozambique, Senegal, Tanzania, United Arab Emirates
	Beneficial owner is a resident of a high risk country	35	Belarus, Bosnia and Herzegovina, Burundi, Central African Republic, China, Democratic Republic of the Congo, Guinea, Guinea-Bissau, Moldova, Montenegro, Russia, Serbia, Tunisia, Ukraine, Venezuela, Zimbabwe, Nicaragua and Pakistan
The way of concluding the contract	Physical presence at the Company's headquarters or in branch	0	
	By correspondence	5	
Distribution channel	Client acquired directly by the Company	0	
	Client acquired with the involvement of an affiliate	5	
	Current Industry Options	**Scoring**	
	Accounting	0	
	Admin / Secretarial	0	
	Agriculture	0	
	Hospitality	0	

Industry	Creative / Media / Marketing / PR / Advertising	0	
	Defence / Military	35	
	Education	0	
	Legal	0	
	Energy / Natural Resources / Mining	35	
	Engineering / Manufacturing	5	
	Export/ Import	20	
	Financial Services	0	
	Government / Public Sector	15	
	Health / Social Care	5	
	IT / Technology	0	
	Money Services / Payments Business	35	
	Not Profit/ Charity	10	
	Pharmaceuticals	10	
	Trading in Precious Metals or Scrap	35	
	Construction	5	
	Retail	0	
	Business Administration	0	
	Transport	0	
	Other	0	

ANNEX VII

Definitions

Part1:

Definition 1: Politically Exposed Person
The meaning 'Politically Exposed Persons' includes the following natural persons who are or have been entrusted with prominent public functions' in Cyprus or abroad: heads of State, heads of government, ministers and deputy or assistant ministers; members of parliaments or of similar legislative bodies; members of the governing bodies of political parties; members of supreme courts, of constitutional courts or of other high-level judicial bodies whose decisions are not subject to further appeal, except in exceptional circumstances; members of courts of auditors or of the boards of central banks; ambassadors, chargés d'affaires and high-ranking officers in the armed forces; members of the administrative, management or supervisory bodies of State-owned enterprises; directors, deputy directors and members of the board or equivalent function of an international organization; mayor. None of the categories set out in points a) to i) should be understood as covering middle ranking or more junior officials.
Definition 2: Close Relative or Close Associates
Politically Exposed Persons are also the Close Relatives of such persons as set out under Definition 1, which means: the spouse, or a person considered to be equivalent to a spouse, of a politically exposed person; the children and their spouses, or persons considered to be equivalent to a spouse, of a politically exposed person; the parents of a politically exposed person. Politically exposed persons are also persons known to be close associates of such persons as set out under Definition 1, which means:

Any natural person who is known to have joint beneficial ownership of legal entities or legal arrangements, or any other close business relations, with a person referred to in Definition 1; Any natural person who has sole beneficial ownership of a legal entity or legal arrangement which is known to have been set up for the benefit de facto of the person referred to in Definition 1.

Part 2:

Definition 3: U.S. Reportable person
A U.S. citizen (including dual citizen); A U.S. resident alien for tax purposes; A domestic partnership; A domestic corporation; Any estate other than a foreign estate; Any trust if: A court within the United States is able to exercise primary supervision over the administration of the trust, and One or more United States persons have the authority to control all substantial decisions of the trust; Any other person that is not a foreign person. Substantial U. S. ownership (U.S. person owns more than 10% of the shares of a corporation (vote or value) or a partnership or of a trust) is also required to comply with FATCA.

ANNEX VIII

EXAMPLES OF SUSPICIOUS TRANSACTIONS/ACTIVITIES

A. Money Laundering

- Transactions without clear economic purpose or unnecessarily complex transaction.
- Use of foreign accounts of companies or group of companies with complicated ownership structure which is not justified based on the needs and economic profile of the Customer.
- Transactions or the size of transactions requested by the Customer do not comply with his/her normal practice and business activities.
- Large volume of transactions and/or money deposited or credited into, an account when the nature of the Customer's business activities would not appear to justify such activity.
- When the business relationship of the Customer consists of only one transaction or lasts for a short period of time.
- There is no visible justification for a customer using the services of the company. For example, a Customer whose address is located quite far from the company and in an area where he could be served by another Company.
- There are frequent transactions in the same financial instrument without obvious reason or under circumstances that appears unusual (Churning).
- There are frequent small purchases of a financial instrument by a customer who settles in cash, and then the total number of the financial instrument is sold in one transaction with settlement in cash or with the proceeds being transferred, with the customer's instructions, in an account other than his usual account.
- Any transaction the nature, volume or frequency appears to be unusual. For example, the cancellation of an order, especially after the deposit of the consideration.
- Transactions which are inconsistent with normal market practice, in relation to the size of the order and the frequency.
- The settlement of any transaction, especially large transactions in cash.
- Settlement of the transaction by a third person which is different than the customer which gave the order.
- Instructions of payment to a third person which has no obvious link/connection with the instructor.

- Transfer of funds to and from countries or geographical areas which do not apply or the apply inadequately FATF's recommendations on money laundering and terrorist financing.
- Customer is unwilling to provide/ complete information when establishes a business relationship regarding the nature and purpose of its business, anticipated account activity, prior banking relationships, names of its officers and directors, or information on its business location. The Customer usually gives little or misleading information that is difficult or costly for the Company to verify.
- Customer gives unusual or suspicious identification documents that their authenticity cannot be directly verified.
- Customer's home/business telephone is disconnected.
- Customer makes frequent or large transactions and has no record of past or present employment experience.
- Difficulties or delays on the submission of the financial statements or other identification documents, of a customer/legal person.
- A Customer who has been introduced by an overseas Financial Institution or a third person, whose countries or geographical areas of origin do not apply, or they apply inadequately FATF's recommendations on money laundering and terrorist financing.
- Shared address for individuals involved in cash transactions, especially when the address is also a business location and/or does not appear to correspond to the stated occupation (e.g. student, unemployed, self- employed, etc).
- The declared profession of the customer is not commensurate with the level or size of the executed transactions.
- Financial transactions for non-profit or charitable organizations, for which there appears to be no logical economic purpose or in which there appears to be no link between the stated activity of the organization and the other parties in the transaction.
- Unexplained inconsistencies arising during the customer identification (e.g. regarding previous or current county of residence, country of issue of the passport, countries visited according to the passport, and documents furnished to confirm name, address and date of birth etc).
- Complex trust or nominee network.
- Transactions or company structures established or working with an unneeded commercial way, e.g. companies with bearer shares or bearer financial instruments or use of a postal box.
- Use of general nominee documents in a way that restricts the control exercised by the company's Board of Directors.

- Changes in the lifestyle of employees, for example luxurious way of life or avoidance or absence from the office due to holidays.
- Changes in performance and behaviour of employees.

B. <u>Terrorist Financing:</u>

The funding or terrorist organizations is made from both legal and illegal revenue generating activities. Criminal activities generating such proceeds include:

- Kidnappings – requiring ransom
- Extortion – demanding protection money
- Smuggling
- Thefts
- Robbery
- Narcotics trafficking

Legal fund-raising methods used by terrorist groups include:

- Collection of membership dues and/or subscriptions
- Sale of books and other publications
- Cultural and social events
- Donations
- Community solicitations and fund-raising appeals

Funds obtained from illegal sources are laundered in the following ways:

- Cash smuggling by couriers or bulk cash shipments
- Structured deposits to or withdrawals from bank accounts
- Purchases of monetary instruments – traveller's cheques, bank cheques, money orders
- Use of credit or debit cards
- Wire transfers by using straw men

- False identities
- Front and shell companies
- Nominees from among their close family members, friends and associates

C. <u>Non-profit organizations:</u>

The use of a non-profit and charitable organization for raising funds and/or serving as cover for transferring funds in support of terrorists' acts can be made in the following ways:

- Establishing a non-profit organization with a stated charitable purpose but which exists only to channel funds to a terrorist organization;
- A non-profit organization with a legitimate humanitarian or charitable purpose is infiltrated by terrorists who divert funds collected for an ostensibly legitimate charitable purpose for the support of a terrorist group;
- The non-profit organisation serves as an intermediary or cover for the movement of funds on an international basis.
- The non-profit organisation provides administrative support to the terrorist movement.

D. Unusual characteristics of non-profit organisations indicating that the they may be used for an unlawful purpose are the following:

- Inconsistencies between the apparent sources and amount of funds raised or moved.
- A mismatch between the type and size of financial transactions and the stated purpose and activity of the non-profit organisation.
- A sudden increase in the frequency and amounts of financial transactions for the account of a non-profit organisation.
- Large and unexplained cash transactions by non-profit organisations.
- The absence of contributions from donors located within the country of origin of the non-profit organisation.

<u>Stages of Money Laundering:</u>

There are four stages of money laundering during which there may be numerous transactions made by the launderers that could alert the Company to criminal activities:

- Placement - the physical disposal of cash proceeds derived from illegal activity;

- Structuring - a form of placement where the launderer makes many small cash deposits instead of a large one to evade local regulatory reporting requirements applicable to cash transactions;

- Layering - Refers to the creation of complex networks of transactions which attempt to obscure the link between the initial entry point and the end of the laundering cycle;

- Integration - the provision of apparent legitimacy to criminally derived wealth. If the layering process has succeeded, integration schemes place the laundered proceeds back into the economy in such a way that they re- enter the financial system, appearing to be normal business funds.

ANNEX IX

FATF Risk-based Approach Guidance for the Securities Sector
(updated October 2019)

Final Guidelines on EDD Factors

Combination of the following factors can lead to High-Risk Classification and the need for EDD:

- Customer is sanctioned by the relevant national competent authority for non-compliance with the applicable AML.
- Customer is a PEP or customer's family members or close associates are PEPs (including where a beneficial owner of a customer is a PEP)
- Customer resides in or whose primary source of income originates from high-risk jurisdictions.
- Customer resides in countries considered to be uncooperative in providing beneficial ownership information
- Customer acts on behalf of a third party and is either unwilling or unable to provide consistent information and complete documentation
- Customer has been mentioned in negative news reports from credible media, particularly those related to predicate offences for ML/TF or to financial crimes.
- Customer's transactions indicate a potential connection with criminal involvement, typologies or red flags as classified by FATF reports.
- Customer is also a securities provider, acting as an intermediary or otherwise, but is either unregulated or regulated in a jurisdiction with weak AML oversight (example: some third countries; offshore jurisdictions).
- Customer is engaged in, or derives wealth or revenues from, a high-risk cash-intensive business.
- The number of Suspicious Transaction Reports and their potential concentration on particular Customer groups.
- Customer is a legal entity predominantly incorporated in the form of bearer shares.
- Customer is a legal entity whose ownership structure is unduly complex
- Customers who have sanction exposure (e.g. have business/ activities/ transactions).
- Customer has a non-transparent ownership structure

Final Guidelines on EDD Measures

- Limiting the extent, type or timing of CDD measures
- Obtaining fewer pieces of customer identification data
- Altering the type of verification carried out on customer's identity
- Inferring the purpose and nature of the transactions or business relationship established based on the type of transaction carried out or the relationship established, without collecting additional information or carrying out additional measures related to understanding the nature and purpose
- Verifying the identity of the customer and the beneficial owner after the establishment of the business relationship (e.g. if transaction or account values rise above a defined monetary threshold) .
- Reducing the frequency of customer identification updates if the securities provider implements or is required to implement a periodic review process based on a formal cycle
- Reducing the degree and extent of on-going monitoring and scrutiny of transactions, for example based on a reasonable monetary threshold

Final Guidelines Product/Customer Transactions suspicious activity indicators:

- Transactions do not have apparent economic rationale.
- Transactions appear to be undertaken in a structured, sequential manner in order to avoid transaction monitoring/reporting thresholds.
- A concentration ratio of transactions relating to a particular and/or higher risk jurisdiction that is notably higher than what is to be expected considering its normal patterns of trading of a customer.
- Frequent trades resulting in losses for which the Customer appears to have no concern.
- Sudden spike in transaction volumes, which deviates from previous transactional activity absent any commercial rationale or related corporate action event.
- Mirror trades or transactions involving securities used for currency conversion for illegitimate or no apparent business purposes.
- A pattern of securities transactions indicating the customer is using securities trades to engage in currency conversion. Examples of securities that can be used in this manner include dual-currency bonds, American Depositary Receipts (ADRs) and foreign ordinary shares traded in the Over-the-Counter Market.

- Securities transactions are unwound before maturity, absent volatile market conditions or other logical or apparent reason.
- Trading or journaling in the same security or securities between numerous accounts controlled by the same people (e.g. potential wash sales and/or directed trading).
- Two or more unrelated accounts at the securities firm trade an illiquid or low priced security suddenly and simultaneously
- Purchase of a security does not correspond to the customer's investment profile or history of transactions (e.g. the customer may never have invested in equity securities or may have never invested in a given industry) and there is no reasonable business explanation for the change.
- Transactions that suggest the customer is acting on behalf of third parties with no apparent business or lawful purpose.
- Funds deposited for purchase of a long-term investment followed shortly by a customer request to liquidate the position and transfer the proceeds out of the account.

Final Guidelines Suspicious Trading or Market Manipulation

- Making a large purchase or sale of a security, or option on a security, shortly before news or a significant announcement is issued that affects the price of the security, which may be suggestive of potential insider trading or market manipulation.
- A request is made to execute and/or clear a buy order and sell order for the same security or similar or correlated securities (and/or on behalf of the same beneficial owner), in close chronology.
- Accumulation of stock in small increments throughout the trading day to increase price.
- Engaging in prearranged or other non-competitive securities trading, including wash or cross trades of illiquid or low-priced securities.
- Marking the closing price of a security.
- Front-running suspected with regard to other pending customer orders.

Final Guidelines Suspicious Movement of funds or securities

- The securities account is used for payments or outgoing wire transfers with little or no securities activities

- Funds are transferred to financial or depository institutions other than those from where the funds were initially received, specifically when different countries are involved.
- Customer "structures" deposits, withdrawals or purchase of monetary instruments below a certain amount to avoid reporting or recordkeeping requirements.
- Customer engages in excessive journal entries of funds or securities between related or unrelated accounts without any apparent business purpose.
- Payment by third party check or money transfer from a source that has no apparent connection to the customer.
- Customer uses a personal/individual account for business purposes.
- Payment to a third party to which the customer has no apparent connection.
- Frequent transactions involving round or whole dollar amounts.
- The customer requests that certain payments be routed through *nostro or correspondent accounts held by the financial intermediary instead of its own accounts.
- Funds transferred into an account that are subsequently transferred out of the account in the same or nearly the same amounts, especially when origin and destination locations are high-risk jurisdictions.
- A dormant account suddenly becomes active without a plausible explanation (e.g. large amounts are suddenly wired out).
- Frequent domestic and international automated teller or cash machine activity out of character with the customer's expected activity.
- Many small, incoming wire transfers or deposits made using checks and money orders that are almost immediately withdrawn or wired out in a manner inconsistent with the Customer's business or history. This may be an indicator of, for example, a Ponzi scheme.
- Wire transfer activity, when viewed over a period of time, reveal suspicious or unusual patterns.
- Transfers of funds or securities are made to the same person from different individuals or to different persons from the same individual with no reasonable explanation.
- Unusually large aggregate wire transfers or high volume or frequency of transactions are made with no logical or apparent reason.
- Customer transfers/receives funds to/from persons involved in criminal or suspicious activities (as per the information available).

- In/out transactions for substantial amounts on a short-term basis.
- Receipt of unexplained amounts, followed, shortly thereafter, by a request to return amounts.
- Frequent transfers of securities' ownership.
- Use of bearer securities with physical delivery.
- Frequent change of bank account details or information for redemption proceeds, in particular when followed by redemption requests.
- The usage of brokerage accounts as long term depository accounts for funds.

Final Guidelines on EDD - Non Exhaustive List of Mitigation Techniques

- Obtaining additional Customer information, such as the customer's reputation and background.
- Carrying out additional searches (e.g. internet searches using independent and open sources) to better inform the Customer risk profile
- Carrying out additional searches focused on financial crime risk indicator (i.e. negative news screening) to better assess the Customer risk profile
- Obtaining additional or more particular information about the intermediary's underlying Customer base and its AML controls
- Undertaking further verification procedures on the Customer or beneficial owner if they may be involved in criminal activity.
- Obtaining additional information about the Customer's source of wealth or the source of funds involved in the transaction.
- Verifying the source of funds or wealth involved in the transaction or business relationship
- Evaluating the information provided with regard to the destination of funds and the reasons for the transaction
- Seeking and verifying additional information from the customer about the purpose and intended nature of the transaction or the business relationship.
- Requiring that the withdrawal payment is made through the initial account used for investment.
- Increasing the frequency and intensity of transaction monitoring.